



Private International Law (Conflict of Laws)

Distance Learning Material

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BAHIR DAR UNIVERSITY FACULTY OF LAW

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General Course Introduction

So far in your studies of the different law courses, you have had the chance to make an extensive exploration in to both substantive and procedural laws of Ethiopia and also, the general jurisprudence vital for creating a thorough understanding of our laws. In this course, Conflict of Laws or Private International Law, which is to some extent a different and cross- subject course, you will study about ways of dealing with problems of private nature that arise from interactions of different legal systems. The study of this course will expose you to knowledge that is indispensably required when dealing with a wide variety of international and interstate conflict cases.

Course Objectives

At the end of the study of the Course, students will be able to:

- Understand the basic principles and the major theories of Private International Law
- Deal with cases containing foreign elements
- Appreciate the importance of conflict of laws in the context of Globalization
- Explain the problems caused by the lack of a Private International Law legislation/statute or precedent system in Ethiopia.
- Engage in the issues of inter-state conflict of laws in the context of the Ethiopian federal arrangement

Chapter One

Introduction to Private International Law

Conflict of laws as a branch of law purports to provide systematic solutions to problems that are inevitably encountered when a case containing a foreign element is brought before a court of law. Though the goals are almost the same all the times and in all places, different views have been reflected on how these solutions can be achieved and should be implemented. The different theories on conflict of laws that you will be studying testify to this effect. You will see in this chapter that scholars on Private International Law have divergent views regarding a number of points starting from definition and the name that must be ascribed to the subject under study to the issues of scope and harmonization. This first chapter is, therefore, meant to introduce you to the basics of Conflict of Laws that will be of paramount importance for your understanding of the subsequent chapters of the module.

Course Objectives

At the end of the study of the Course, students will be able to:

- Explain the major elements that a definition of conflict of laws should contain
- Understand the nature of Conflict of Laws rules
- Appreciate the scope of Private International Law
- Analyze the different theories on conflict of laws
- Explain the development of Conflict of Laws in retrospect
- Explain the relationship between Private International Law and Public International Law

Chapter Introduction

The world in which we are living is divided into a number of states each possessing its own system of law. This phenomenon of diverse state laws and the absence of uniform universal private law is at the basis of the subject known as Conflict of Laws or Private International Law. This is not, however, to mean that every legal case raises conflictual point.

Where all the pertinent facts of a particular matter are located in the local state (or the forum state) before which the case is brought, no question of conflict of laws is involved. That is to mean, if all the parties to an action belong to the forum, if the transaction involved in the litigation (be it contract, tort, succession or any other kind) wholly took place there, and if no foreign court has already adjudicated upon the matter, then the case is a purely domestic type and the local court can adjudicate it exclusively according to its own domestic rules.

In addition to the above mentioned factor of diversity of laws, cross-frontier movement of persons, things and transactions is the other equally important factor that contributes to the coming in to picture of conflict of laws problems. When people and transactions move across boundaries and when they face different laws in different places, there is a potential for cases containing a foreign element to be confronted. And, Conflict of Laws is that branch of law that proposes mechanisms of dealing with problems that stem from multistate cases, i.e., cases containing a foreign law element (extra-territorial element).

If a case contains no foreign element, the conflict of laws is irrelevant. If, for example, an English man and woman who are both British citizens, domiciled and resident in England, go through a ceremony of marriage in England and latter, when they are still domiciled and resident there, the wife petitions an English court for a divorce, no foreign element is involved. No problem of jurisdiction arises and any questions

about the validity of the marriage or the grounds upon which divorce can be granted, as well as any procedural or evidential matters, are all governed by English law alone. The same is true if two Englishmen in England contract there for the sale and purchase of goods to be delivered from Oxford to Cambridge with payment in Sterling in London, and the seller later sues the buyer and serves him with a writ in England.

But if we vary the facts and suppose that in the first example above at the time the wife petitions for divorce the husband is domiciled and resident in France, and that the ceremony had taken place in France and the husband argues that it did not comply with the requirements of French law so that there is no marriage to dissolve, the conflict of laws becomes relevant. The husband's absence raises the question of the court's jurisdiction, and his argument raises that of whether French or English law is to determine the validity of the marriage.

Or, supposing that in the second situation the seller is an English man in England who agrees to sell goods in England to a French buyer in France and paid for in sterling in to an English bank in Paris, the question arises as to whether the seller can invoke the jurisdiction of the English court against the buyer, who is still in France, if he wishes to sue him for breach of contract or failure to pay the price. A further question may also arise as to which law, English or French, is to be applied to determine the parties' rights and obligations should the English court possess jurisdiction.

It can be observed from the points made above that cases become concerns of private international law when they contain a foreign element. In other words, we say that a case involves an issue of Conflict of Laws when a foreign element (also known as an out-of-state or extra-territorial element) has featured in it.

In the total absence of any elements that links a certain case to some country other than where the case is tried (a foreign country), the conflict of laws does not have a place and would never be relevant at all.

A foreign element refers to the fact that:

- At least one of the parties to a case is a foreign national, domiciliary or resident
- The object of the disputed relationship, movable or immovable, is situated in another state
- The act or event forming the subject matter of the dispute occurred in another state.

If an Ethiopian marries a Fiji national and after some years he petitions for a divorce before the Federal High Court of Ethiopia, this case involves a foreign element in the form of a personal nature, i.e., one of the spouses is a non-Ethiopian.

To illustrate the second scenario, assume that an Ethiopian and a Japanese man entered in to a contract whereby the latter agreed to sell a Toyota car that he has in Japan. In this case you find a foreign element of a material nature that pertains to the place where the property to which the judicial situation applies is situated.

As an example of the third form of a foreign element, assume that two Ethiopians concluded a contract in Djibouti following the requirements of Djibouti contract law. If they later disagree on the terms of the contract and one of them brings the matter before Ethiopian court, the case contains a foreign element of a local nature meaning that the extra-state element pertains to the place where facts occur or contracts are made from which the juridical situation arises.

It is worth noting that more than a single foreign element might be involved in a given conflict case. It may happen that one of the parties to a contract may be a foreign national and the place of formation of a contract would also be a foreign

country or, the place where the property related to the dispute situate outside the forum state. Those kinds of cases, of course, are private international law cases for stronger reasons. What matters for conflict of laws purpose is that a case must be linked at least in one way (one of the ways described above) to a state other than the forum state to qualify for a special treatment. (But it can as well be connected in multiple ways).

Dear student, it is not necessarily required that a case has links with more than one sovereign state for a conflict problem to arise. It is possible, for example, that diversity of laws might exist in different semi-sovereign parts of a state and people may engage in transactions of commercial and personal nature in these various divisions within a state thus ultimately resulting in a conflict problem.

From the perspective of the context in which conflict cases arise, one can divide conflict of laws in to International and Interstate conflict of laws. The first refers to those private cases that involve or have some links with more than a single sovereign state.

Interstate conflicts, on the other hand, (this will be discussed in the following paragraphs) are those conflicts that arise between laws and jurisdictions within a sovereign state and mostly in a federal setting. In the context of inter-state conflict of laws, the term 'foreign element' needs to be understood narrowly: not as implying a real foreign link but rather a link to an out of state factor in a federation.

Generally speaking, a situation known as inter-state conflict of laws commonly arises in one of the two ways: either the country consists of a number of states or provinces, each with its own law, as, for example, the United States of America, Canada and Ethiopia., or, in a single country, different systems of law may govern different classes of citizens of the country, e.g. Mohammedians and Hindu in India.

In the former case, the law is said to be territorial, applying to all persons normally resident in a state. If the state forms part of a federation, judicial and legislative powers will usually be divided between the two political areas of constituent state and federal nation. The division of authority will be based on constitutional provisions.

In the latter case, in which within a single territorial unit different systems of law govern different classes of citizens in respect of the same matters, such as marriage, divorce and succession, the law (within a limited field) is personal, applying only to persons of a definite class, such persons being governed by their personal religious law.

In the case of Ethiopia, which is a Federal Republic, it is known that we have two tiers of governments, i.e., Federal government and regional Governments. The Constitution has made some areas of private law the subject of federal laws. Within the sphere of Federal law provisions, no question of choice of law can arise as between the states as “the existence of a federal law in point necessarily means that there is a uniform law throughout the federation.”

Matters that are not in the realm of federal laws remain the subject of state laws according to the Constitution of the FDRE. As is true in other countries having a federal setting, while there can be a large measure of similarity between the various state laws in Ethiopia, there may not exist exact similarity and differences could arise. The question of choice of law might, therefore, be encountered especially in the future when the Regional States exercise their legislative powers to its fullest extent.

For now, some of the Regional States have already enacted their own Family Codes and one can see that some point of divergence exist on various aspects. The issue

would; therefore, be which of the laws of the Regional states in a question would apply should an interstate conflict case arises?

Providing an answer to this question would be an equally difficult task as giving a solution to an international conflict of laws problems in Ethiopia. The reason being, the absence of fixed conflict of laws rules put in place by the law maker.

Definitions and Nomenclature

Definitions

Many scholars have tried, over the years, to come up with a definition of the conflict of laws or private international law. The fact, however, remains that an aspect in a definition that is emphasized by one writer may not be considered at all or may be given a very peripheral consideration in another's definition and vice versa. The result was that finding a definition that is acceptable to all scholars from the different parts of the world could not be found.

In the following paragraphs, we will see how some of these definitions differ from one another and finally, we will try to construct a simple definition that will be used for an understanding of the subject throughout the reading of this material.

A legal scholar by the name Goodrich defined conflict of laws as:

That part of the law which deals with the extent to which laws of a state operates, and determines whether the rules of one or another state should be applied in a legal situation.

Another definition of private international law by Westlake reads:

...that department of private jurisprudence which determines before the courts of what nation each suit should be brought and the law of what nation it should be decided.

One can observe from the first definition that it considers conflict of laws as a branch of law dealing solely with the question of choice of law. Far from being a complete definition, it focuses only on a single aspect of the areas covered by conflict of laws. Further, it does not indicate, for instance, the legal category in to which conflicts law falls. The second definition, on the other hand, recognizes that, besides the issue of choice of law, choice of jurisdiction forms a component element of conflict of laws. It can be said that the second definition is a wider and more inclusive definition when compared with the first. However, in both definitions, no mention is made of the oft-mentioned third object of conflict of laws i.e., recognition and/or enforcement of foreign judgments and foreign arbitral awards issue. The reason why these scholars did not consider the third aspect seems that, in their countries, though conflict of laws deals also with recognition and enforcement, its development revolved mainly around the first two issues of choice of law and jurisdiction. As such, their definitions tend to give little or no attention to recognition and enforcement questions. It is also true that there exists disagreement over the scope of private international law among countries and this surely is reflected in the various definitions that you may find. You will learn in a part that is ahead that a substantial number of states influenced by this thinking, treat recognition and enforcement matters in their civil procedure codes. In fact, Ethiopia is also one of these countries.

Let us have a look at some more definitions to be able to eventually extract the most important elements of private international law.

Private international law, according to Murphy, is defined as:

that part of the law in each state, country, or other jurisdiction that determines whether, in dealing with a particular situation, its law or the law of some other jurisdiction will be applied.

The Classic Encyclopedia provides the following definition:

Private International Law is the body of conventions, model laws, legal guides, and other documents and other instruments that regulate private relationships across national borders.

A close reading of the two above definitions shows that while the first one considers private international law as part of a domestic law of each country, the latter regards it as forming part of international law. The major difference in the definitions owes its existence to the various outlooks that scholars have over the nature of conflict of laws. As you will be studying it, conflict of laws, though mainly part of domestic law, has a dualistic nature as it has some links with international law proper.

To add but one definition, in the opinion of Cheshire, private international law is “that part of law which comes in to play when the issue before the court affects some fact, event or transaction that is so closely connected with a foreign system of law as to necessitate recourse to that system.” This definition, unlike the other definitions we already considered, indicates what kind of situations necessitates the application of conflict rules. It thus tells that the existence of a fact or event that is linked with a foreign country (what is called a foreign element in conflict parlance) is a prerequisite for this branch of law to be called for application.

As indicated earlier, because of the existence of different views on various issues with regard to the subject, a definition that is backed by all the scholars of the world could not be formulated. We can, however, identify some points as important elements of private international law.

- Conflict of laws is part of the national law of a state,

- It comes in to the scene when a court adjudicates over a containing a foreign element, and
- It deals, generally, with questions of jurisdiction, choice of law and recognition and/or enforcement of foreign judgments and awards of arbitration tribunals.

For the purpose of this material, we will rely on the following definition which contains all the three elements mentioned above. The definition which is found posted on Business Directory.com, reads:

Private international law is Part of local legal system that governs the selection of appropriate law, and validity of judgments and jurisdictions of local and foreign courts, in civil cases containing a foreign element, such as where a contract made locally has to be performed in another country.

Nomenclature

The name that is used to describe this branch of law under consideration is different in different countries or legal systems. While in Europe the name "Private International Law" is widely in use, "Conflict of Laws" is the favorite one to the common law world. Presently, there is no name for this subject that commands universal approval.

Looking at the matter in retrospect, some sources suggest the use of the terms 'Private International Law' and 'Conflict of Laws' is a relatively recent occurrence. They claim this use dates back to the middle of the XIXth Century. Before that time this branch of law generally was dealt with under the title of the "Theory of Statutes" and also, in France particularly, under that of "Questions Mextes", whereas in England, it was particularly unknown.

A question should be raised at this juncture about the absence of a single name for the course that is acceptable everywhere in the world. Thus, "why is that the subject

does not have a name that commands universal acceptance?" In other words, "what reasons account for the absence?"

The main reason why countries under the main legal traditions could not agree on a single name is because of the fact that none of the names given to the subject is wholly accurate or properly descriptive. It is also true that each group prefers the name it uses over the other's.

If we start by examining the name "Conflict of Laws", (a name which many believe was for the first time made use of by an American jurist Joseph Story in the year 1864 when he published his influential commentaries on the Conflict of Laws) as its major problem, a misleading effect, since the object of this branch of the law is to eliminate any conflict between two or more systems of law which have competing claims to govern the issue which is before the court, rather than to provoke such a conflict, as the words may appear to suggest. The other drawback associated with this name is that the terms "Conflict of Laws" again may lead to confusion for they literally refer only to a part of Private International Law that concerns legislative competence or choice of law problems. The truth, however, remains that this subject is inclusive not only of rules dealing with choice of law problems but also choice of jurisdiction and recognition/enforcement of foreign judgment problems.

The other name the continental tradition coined to this subject is "Private International Law", which also has got some downside. This title would lead one to believe that Private International Law is part of international law proper (or international law simpliciter) whereas, in fact, Private International Law is still to a very large extent, only a branch of the legal system of each country or the domestic law of each state. This name was given by international lawyers of the XIXth Century who dreamt about internationalization of Private International Law. The term "International" is used to indicate that the subject is concerned not only with the application by a nation's courts of its own law but of rules of foreign law also. The

word is inapt, however, insofar as it might suggest that it is in some way concerned with the relations between states. The word law must also be understood in a special sense. The application of the rules of a country's Private International Law does not by itself decide a case, as does that of the rules of the law of tort or contract. Private International Law is not substantive law for it merely provides a body of rules which determine whether a court of a particular state has jurisdiction to hear and decide a case, and if it has, what system of law, domestic or foreign, will be employed to decide it, or whether a judgment of a foreign court will be recognized and enforced by the domestic court.

It would be important to mention that still some use the name *International Private Law* (N.B., different from private international law) to refer to this branch of law. This third name is advocated by those who think that the primary division of laws should be in to public and private rather than into international and national. The exponents of this division object to the order in which the three words of the name Private International Law are placed and accordingly, they suggest that the correct order that makes the public private dichotomy a central point in the name is International Private Law.

What can be said about the existence of diverse names, by way of conclusion, is that the first two names are the most widely accepted names of the subject in their respective areas of influence and it really does not matter for us to use one of these names as long as we are aware of the pitfalls that attach to them. The writer in this module also uses the names Conflict of Laws and Private International Law interchangeably.

Subject Matter (Scope) of Private International Law

In our discussion in an earlier section, we have defined private international law as the body of norms or rules that apply to cases containing a foreign element that

determine the judicial jurisdiction of a state, the choice of law to be applied in deciding a case and the effect a foreign judgment should be given outside the rendition forum. There is considerable disagreement, however, as to the matters that can be brought within this or similar definitions. Though the two major legal systems seem to recognize questions of conflict of jurisdiction, conflict of laws and recognition/enforcement of foreign judgments as principal subject matters of private international law, they are not in accord as to what they consider should form the other elements of this subject.

Most continental and some Anglo-American writers, for example, include the rules of a particular state governing the acquisition and loss of nationality as part of private international law. Countries that follow the common law tradition, on the other hand, often consider the matter of domicile as forming part of conflict of laws.

Generally speaking, in countries that follow the Anglo-American Legal system, the scope of the subject is understood to extend to

- Rules on Jurisdiction
- Rules on Choice of law and,
- Rules relating to domicile
- Rules on recognition and enforcement of foreign judgments

In the Continental Legal system, the following are regarded by some as items included in private international law.

- Law of Nationality governing acquisition and loss of nationality.
- Laws which help regulate legal status of foreign nationals
- Laws relating to conflict of laws.
- Laws relating to conflict of jurisdictions
- Laws regulating recognition and/or enforcement

There was a tendency in both systems to consider the third component element of private international law, i.e., recognition and/or enforcement of foreign judgments or foreign arbitral awards as forming part of the civil procedure law of a country. As a result of this thinking, in states where codified laws exist, one can see laws on this area included in civil procedure codes. Our Civil Procedure Code can be a good example in this respect as it has laid down provisions that deal with the issue of execution of foreign given judgments and arbitral awards. Generally speaking, one can mouth-fully speak there exists, currently, a consensus that recognition and enforcement issues fall within the province of conflict of laws.

The argument against the incorporation of laws of nationality in the conflict of laws is based on the claim that nationality rules must be different in and peculiar to each state and are determined without regard to the policy considerations of private international law. Pursuant to this argument, the way nationality is acquired, changed and lost in Ethiopia, for example, is a matter to be determined by Ethiopian law other than its private international law (the Constitution or separate law) that takes in to account its own policies and is not a matter to be dealt with by conflicts rules. Those in favor of its incorporation, however, emphasize on the importance of nationality in deciding a private international law case in jurisdictions where personal law is governed by a person's nationality.

The status of foreigners under the entire body of municipal law is also discussed among scholars of continental world as forming part of private international law. As public international law establishes certain basic standards for the treatment of foreign nationals to which municipal law conform, only those municipal law norms affecting aliens which relate as well to judicial jurisdiction, choice of law or foreign judgments are properly included within private international law. Matters such as the right of aliens to engage in certain occupations or to own land present problems and suggest solutions entirely different from those involved in jurisdictional, choice of law and recognition/enforcement questions.

To wrap up the discussion on this section, it is true that a lot of controversy exists, even today, with respect to the objects of private international law. However, the prevailing view holds that issues of jurisdiction, choice of law and recognition and/enforcement of foreign judgments/awards are the proper concerns of conflict of laws. In Ethiopia too, though we do not yet have a binding law on the subject, all the draft legislations that were prepared by different organs, had included these three questions as the exclusive areas of concern.

Nature of Conflict of Laws (Characteristic Features of Conflict of Laws)

Dear distance learner, are you getting the themes of our discussions so far? I hope you are. If there is any problems, I advise you to go back and revise the particular section that you found difficult to understand and also to discuss the point with your friends.

I am now going to introduce you to the basic characteristic features of conflict of laws that will help you understand more about the subject. Just like other branches of law have special features that make them distinct, there are unique features that characterize conflict of laws as a subject.

Generally speaking, one can speak of three major features of conflict of laws rules. Conflict of laws rules are characterized by the following features:

- Attributive of competence
- Unilateral or bilateral
- Local but exceptionally international

1. Rule attributive of competence

A conflict rule is essentially a rule attributive of competence. What do we mean when we say so?

To understand this point it would be good to compare the functions that a substantive rule/law provides in any legal system of law with those provided by a conflict rule. As you remember, the substantive rule has only one purpose which is to solve directly a legal problem. Such are, for instance, the rules of a given country that, determine conditions of validity of a contract, or the duties arising from marriage. On the other hand:

The purpose of a conflict rule is quite different. It does not directly solve a problem: it merely serves to designate a court that will hear the case or a legal system which may be a foreign or a local one, whose rules will be called up on to solve the case.

Basically, direct solutions to legal problems are not provided by conflict rules which do not have the aim of providing such solutions. Instead, what conflict rules purport to do is, they help the judge identify the substantive law that will be directly applicable to solve problems of jurisdiction or choice of law. Thus, it can be said that conflict rules are the means that lead us to the end, i.e., laws that refer us to the substantive rules which ultimately give a solution whenever private international law cases are confronted.

For instance, Italian law provides that capacity of an individual is governed by his national law. Should, therefore, an Italian judge be seized of a case concerning the capacity of a person to enter in to a valid marriage, he will attribute legislative competence to his own legal system or to a foreign one according to the nationality of the party concerned, that is based on the specific conflict rule.

Conflict of laws rules, therefore, do not provide direct legal solutions. Rather, by designating competence to the applicable law, they provide an indirect solution.

2. Unilateral or bilateral rule

A conflict rule may be either unilateral or bilateral. What we are saying here is that if one closely examines the conflict rules of diverse systems, one will find that they present themselves in either a bilateral or a unilateral form.

- a. **Unilateral conflict rule:** is “one in which the connecting factor is so specific that the rule can only apply to a certain category of conflictual situations localized either in the forum or abroad”.

As you will be studying in chapter three of this module, connecting factors are some outstanding facts or contact points that are found in conflict rules. Conflict rules usually appear in the form of legal propositions and it is based on connecting factors that they indicate solutions. Take the following example of a unilateral conflict rule.

Article 3 of the French law provides:

“In cases involving a dispute relating to immovables situated in France, French law applies”.

The connecting factor in this case is the situs/ location in France of the immovable property. The reason why the rule is called a unilateral rule is, its inability to provide a solution if a certain immovable is situated outside of France. What if, for example, the immovable, which is the subject matter of the dispute, is located in Ethiopia? The rule does not have anything to say about such situations. In other words, it is framed in such a manner as to provide a solution only to a certain category of situations.

- b. **Bilateral conflict rule:** is one in which the connecting factor is so general or broad that the rule can apply to conflictual situations whether localized in the forum or abroad.

As opposed to unilateral conflict rules, bilateral rules can apply to general situations and as such, their application is not restricted to a limited and predetermined situation.

An example of a bilateral conflict is:

“Capacity of an individual is determined by looking at his/her national law”.

The connecting factor here is very broad and hence the rule can apply to citizens as well as to foreigners.

It is always advisable that private international rules take a bilateral form. Two reasons account for this:

First, a very practical reason, a unilateral conflict rule solves only half of a problem. Courts need to, somehow, fill in the gap that is created because of the limited application of such rules and this task might not be an easier one.

Second, a bilateral rule expresses an idea of equality and of confidence among states. This will also help facilitate easier recognition of foreign judgments abroad. By applying a unilateral rule, countries might adopt a different standard for situations that are not covered by the rule. This would be using a double standard which does not lead to equitable administration of justice.

3. Local but exceptionally international rules

Generally speaking, conflict rules are to a large extent, local or national in origin and application. One finds private international law rules inserted in a given body of laws, for instance, in a code of a particular country and in decisions of courts. This indicates that they are legislated by national law making organs and they are intended to be applied by courts of the state making them. As such, we do not have universally applicable, international conflict rules on every subject. There are, however, some multilateral treaties that establish rules of wider application on some

subject matters. In addition, there exist some customary conflict rules which are recognized everywhere. The relationship between public and private international law is an interesting and sometimes vexing subject. You will learn about this issue in a separate sub-section in this very chapter.

Sources of Conflict of Laws

Dear student, from our discussion in the previous section, you have got a grasp of the nature of the rules of Private International Law. Among the characters of Conflict rules, one, we have said, is the fact that they are national/domestic and not international. This simply means that Conflict rules are the products of each national sovereign and there does not exist an internationally applicable conflict norm in the form of a treaty or convention. Just like other national laws, conflict rules have both national and international sources. In this section, we will try to briefly identify the sources of conflict of laws.

An answer to the question “what is the predominant source of conflict of laws in a certain state?” can be given at least two different types of answers depending on whether the country under question belongs to a civil law or a common law legal tradition.

As you may remember from your Course on Legal History or Introduction to Law, the common law group relies heavily on case made law (based on the principle of stare decisis) while legislations form the main sources of law in the continental countries. Not an exception to this, most conflict doctrines from the common law world find their roots in the decisions of courts. In other words, in the Anglo-American system, conflict of laws developed mostly out of decisions of courts.

In contrast, in civil law states like the Netherlands, Germany, France and Spain, the main sources of law, including private international law, are legislative outputs of the law-making organs of the respective countries. Decisions of higher courts are not

considered as laws and the reason is because judges are deemed to have the power only to interpret laws and not to make them.

In addition to legislations and case law, treaties form another important source in private international law. As you will be studying this in a coming section, there have been different unification efforts made to formulate uniform conflict laws and ensure their applications all over the world. But since states are sovereign, they can only be bound by such treaties when they consent to be bound by them. Consequently, though some of the treaties on some areas are met with success in the sense that many countries are parties to them, some could not attain the level of success they were meant to achieve. Especially those treaties that have wide acceptance will serve and have served as source from which some states can take their model rules.

Writings of scholars are the other source of conflict of laws. Writings by influential and renowned scholars in the field, for example Dicey, play their own share in shaping conflict of laws rules and hence are regarded as sources.

Finally, international custom also has a place as a source for conflict rules. In the public international law understanding of the term, custom implies repeated state practice coupled with the fact that states do something under the belief that their exists an obligation to behave the way they do. Once the presence of the two cumulative requirements is proved, it means that customary right is established and a state can be held liable for any breach of that rule. In private international law too, traditions and customs that evolved over the years carry a huge influence when states formulate their laws or when courts decide cases. To take but an example, the jurisdictional and choice of law rules with regard to disputes involving immovable property are determined taking in to account the place where the property is located. Such rules of conflict of laws reflect territorial sovereignty principle and can be said are derived from the widespread customary state practice.

Functions of Conflict of Laws

Many scholars have wrestled with the task of identifying the fundamental functional principles that underlie conflict of laws in general, and good conflicts system. Indeed, the two recurring issues addressed by Conflicts scholars through the ages have been when a particular sovereign's court should apply the law (or defer to the jurisdiction, or enforce the judgment) of another sovereign, and why. Even today, "specific conflicts doctrines sometimes seem to take on a life of their own, developing in ways that cause the thoughtful observer to wonder how they serve the basic purposes of the field of law, and what those purposes are."

It is also important for students of conflicts law to consider the purposes of private international law. Indeed, it is believed that "how one conceives of the purposes of conflict of laws obviously has immense practical consequences -- directly influencing how one develops, interprets, and shapes conflicts rules, as well as how one analyzes and applies them in any given cases."

Dear student, what do you think are the functions of this branch of law known as conflict of laws? Please try to write your answers in the space provided below.

While it is impossible to conclude that the following are the only functions of this field of law, there is no doubt that they constitute the essential purposes or functions of it. Let's consider each of them.

Dispute resolution: this is one of the principal functions of conflicts law (from a judge's perspective, it may be the predominant function). Effective dispute resolution requires both a decision and finality. Selecting the rule of decision is the central inquiry of the choice of law branch of conflicts, and finality is the core concern of judgment enforcement and recognition. Such practical considerations as access to and ease of use of the rules, convenience of the process necessary to resolve the dispute, and enforceability of the decision are essential considerations in judicial conflict resolution.

Conflict avoidance is another fundamental objective of conflicts law. A primary method of achieving this result is by providing certainty and predictability regarding which law will apply to given legal transactions, which state will have jurisdiction to resolve disputes that arise out of the transaction, and whether resulting judgments will be recognized by other sovereigns. Knowing that information allows parties to form and protect reasonable expectations. If parties are unable to plan and predict the consequences of their actions and interactions that involve persons or things subject to different sovereigns, those interactions (e.g., trans-border agreements, collaborations, exchanges of goods and services) generally decrease, and society suffers.

Maintaining sovereignty is another function of conflicts law that is a significant concern of the decision-maker. Usually the court is most concerned with maintaining the sovereignty of the forum sovereign. Often this consideration is manifested by the forum court applying forum law, preferring forum policies, favoring forum-citizens, exercising forum jurisdiction, or declining to recognize foreign judgments. However,

it is in the forum's interest to maintain harmonious relations with other sovereigns and to avoid causing retaliatory actions that could harm the forum sovereign. In the long run this interest often is best served by deferring to the foreign law, jurisdiction or judgments.

Supporting the interstate and international system reflects earlier notion of comity and assumes that harmonious relations between sovereigns generally are in the best interests of all sovereigns and all people everywhere. Whether that is always true or not, this establishmentarian principle has the virtue of reflecting political realities. Protecting the policies of other sovereigns is one means of supporting the interstate and international system. Consistency within a particular field of law is another way to support the powers-that-be in the interstate and international system.

Justice is the final basic principle of conflicts law. Indeed, the overarching, ultimate purposes of conflicts law are to insure fairness and to prevent injustice. As Professor A.V. Dicey wrote:

"The application of foreign law is not a matter of caprice or option; it does not arise from the desire of the sovereign of England, or any other sovereign, to show courtesy to other states. It flows from the impossibility of otherwise determining whole classes of cases without gross inconvenience and injustice to litigants. . . ."

It is obvious that no court can do justice if it refuses absolutely to recognize the existence of a foreign law or of any rights acquired thereunder, or denies validity to a normal foreign judgment. If for example, two Englishmen enter in to a contract in Portugal for the sale of goods situate in Lisbon, payment to be made in London, an English court would certainly recognize and apply Portuguese law so far as it affected the validity of the contract. Same reasoning holds true for a judgment given abroad to be recognized and/or enforced in the recognition forum.

The fact that the purposes are ordered from point one to four may not necessarily indicate that what comes first is a more weighty function. It must also be stressed that these principles are not completely harmonious. As one writer suggests:

The tensions between them are what make conflict of laws dynamic. Identifying these tensions is part of what makes conflict of laws such an interesting subject to study. Resolving such tensions is what conflicts lawyering, judging, and scholarship are all about.

Historical Development of Private International Law

Multistate problems or conflicts problems predate, by many centuries, the emergence of the modern nation-state. They arose as soon as members of different societies whose legal systems had sufficiently matured began to deal with one another. And it is agreed, such conditions certainly existed as early as the fourth century B.C., when the Greek city-states came in to their leading and trade was active in the eastern Mediterranean. According to most conflict scholars, therefore, a 'Private International Law' emerged in Greece. The first steps in the development of the conflict of laws began with the different positions foreigners were accorded when they were involved in litigation. In the Greek cities of the Hellenic period, this special treatment came in the form of establishing special courts for foreigners.

Another important earlier development in Private International Law was one that was linked to the Roman civilization. In Rome, the *Jus Civile* or the Roman law was deemed to form part of the rights of Roman citizens only and thus, was not applicable to cases involving foreigners (who were citizens of provinces). Cases involving foreigners were heard before "the Judges for foreigners", who sit in special courts called *praetors*, and they applied General Principles of Law Common to all Nations known as *Jus Gentium* rather than *Jus Civile*. The magistrates who occupied this office felt free to depart from procedural formalism and rigid indigenous rules.

The establishment of Separate courts for cases involving foreigners may, therefore, be considered as the initial step in the development of conflict of laws and it characterized the situation that existed in both Rome and Greek. It is also important to note the point that the Greeks and the Romans approached the legal issue posed by cross-frontier movement of persons, things and transactions not by elaborating a system of choice-of-law rules (as was done during the medieval times) but by creating special tribunals with competence to decide on conflict cases and by giving them a fair measure of freedom to find appropriate solutions.

The other interesting thing in connection with study of the subject's historical development is the effort made by some scholars to give it a base in the religious world. Some scholars claim that Rules for determining how government officials of one sovereign should deal with cases in persons from different legal systems with different legal rules have existed for a long time. According to them, the Old Testament, for example, is replete with choice of law rules addressing what parts of the Law of Moses applied to non-Hebrew "strangers" who passed through or resided in lands under control of the House of Israel. With regard to basic social relations, they claim, the general rule appears to have been "Ye shall have one manner of law, as well for the stranger, as for one of your own country," but as to certain religious duties, only permanent residents were bound. (see Leviticus 24:22; *see also* Exodus 12:43-45, 47-49; Leviticus 24:16; Numbers 6:13-21.) According to these scholars, the New Testaments also provide abundant examples of conflicts rules of law in the Roman world. For example, when Paul was accused before Gallio, the Deputy of Achia, of persuading men to worship God contrary to the law, Gallio distinguished between "a matter of wrong or wicked lewdness" which he would judge, and "a question of words and names, and of your law" which he expected the Jewish community to judge for itself "for I will be no judge of such matters." Acts 18:14-16; *see also* John 18:31 ("Then Pilate said . . . take ye and judge him according to your law."); *see also* Acts 16:16-24; Acts 25:10-12; Luke 23:6,7.

It is generally agreed that the conflict of laws as we know it today began to emerge in the early part of the thirteenth century in Italy. Magister Aldricus, who is called by many as **“the father of the conflict of laws”**, developed the proposition that in certain cases the court might apply the law of another state. He suggested that whenever a foreign element was present, the court should look to both the law of the forum and the law of the other place or places with which the case was connected. He underscored, whenever the law of the forum was different than the law of the other state, there was a “conflict of laws.” He proposed that in such a case the judge should apply the “more effective and useful law.”

This vague and general rule was replaced by a variety of theories dealing with how the conflict of laws should be resolved. The most prominent one held that the court should look to the nationality of the defendant and in a case involving a foreign defendant; it should apply his national or personal law. Under this theory it was immaterial where the event which was the subject of the suit occurred. If the defendant was a foreigner, his national law applied. However, they understood that a person did not carry all of his national law with him. As a result, the writers developed the “statute theory,” under which they would look to the statuta of the defendant’s national state to decide whether they affected “persons” or “things”. If they affected “persons” they could be applied extraterritorially; but, if they affected “things”, they could not be so applied, and the defendant did not “carry them with him.” The general rule was that matters affecting persons or movable property were to be governed by the national law of the defendant – those statutes were personal; matters affecting immovable property were to be governed by the law of the place where the immovable property was situate- statutes dealing with immovable were real and could not be applied extraterritorially.

In the seventeenth century a new approach was recognized; that of territoriality. The Dutch writers, departing completely from the statuist method, proposed this theory.

The basis of their theory, as formulated by Voet and Huber, was the power of a sovereign to regulate all activities taking place in the territory under its control. The territoriality theory conceived that all law is territorial and is given extraterritorial effect only as a matter of comity, not right. The theory identified three fundamental principles of conflict of laws:

(1) The laws of each state have force within the limits of that government and bind all subject to it, but not beyond.

(2) All persons within the limits of a [state], whether they live there permanently or temporarily, are deemed to be subjects thereof.

(3) Sovereigns will so act by way of comity that rights acquired within the limits of [another] government retain their force everywhere so far as they do not cause prejudice to the power or rights of such [sovereign] or of its subjects. This Huber's analysis was extensively quoted by and profoundly influenced the writings of later conflicts scholars, especially the American and English writers.

It is easy to observe that at the end of the 17th century there were two different approaches to the conflict of laws: the statulist theory which emphasized the citizenship or personal law of the parties, and the territoriality theory, which emphasized the place of acting. The debate which of the two theories should apply, however, seems to have continued to present time though all agree to consider the foreign element and try to protect the interest of the same.

With regard to the differences in the common law and civil law legal traditions on conflict of laws in a historical perspective history evidences that as a result of two major factors in the continental Europe, i.e. the wide adoption of the Napoleonic Code of 1804 and later the nationalist doctrines of the Italian patriot, Mancini, a fundamental difference arose between common law and continental law on the main

question of the legal system which should be the personal law of any individual. In the continental law this became the law of the person's nationality, while in the common law it remained the law of his domicile.

As one writer puts it, in the broadest sense, however, the difference between the historical evolution and the present position of private international law in civil law and common law systems derive from both their sources and their development:

The source of the system in the civil law was thought to be the universal legislation of Justinian's code: in the common law it was the life and death struggle of medieval courts. The evolution of the civil law system was guided and inspired by juristic writers thinking in general terms, while in the common law it was pre-eminently the work of the judges on the basis of particular cases. In the result the civil law offers a system of general principles largely of statutory authority and expounded by jurists with dominant emphasis on the applicable law: the common law an incomplete but detailed body of rules and principles largely of judicial origin, expounded by judges and with excessive emphasis on the question of jurisdiction.

The medieval scholars mainly attempted to resolve multistate problems by making principled selection among competing local rules. And, this resulted in the formulation of conflict rules on various areas of law some of which are applicable to date.

Finally, during the nineteenth Century and onwards also, different scholars came up with varied but very important theories on conflict of laws and all of these theories and analysis have their own role in the development of the subject under study. As we will be studying theories on conflict of laws in a separate section, we shall now move on to a discussion on another point.

Theories on Conflict of Laws

“A theory is set of related propositions that will explain why events occur the way they do. Theory and the application of theories are, therefore, useful, for a full understanding of law.” As is true for any branch of law, the study of private international law would be more facilitated if sufficient emphasis is given to the various theories developed on this field of law. In the paragraphs to follow, you will be introduced to the different but foundational theories on conflict of laws.

To make it possible that you have a to-the-point introduction to these theories, I have hereinunder reproduced (with some parts omitted) the part on ‘Theories as to the Nature of Conflict of Laws’ from Robert Allen Sedler’s Book: “The Conflict of Laws in Ethiopia.” Sedler notes that these theories should be considered having as a background the three questions of i. How the forum employs the law of another state ii. Why it does so and iii. Which law shall be employed? It will, therefore, be wise for you, in the course of studying the theories on conflict of laws, to give attention to the solutions that the various theories provide to the three questions mentioned above. Take pleasure in reading the piece.

The Comity Theory

The comity theory was the nineteenth century version of the territoriality approach of Huber and the other Dutch writers. It was developed by Joseph Story, an American jurist; his Treatise on the Conflict of Laws, published in 1834, was long regarded by Anglo-American courts as authoritative. The three basic propositions, as in the territoriality approach, were: (1) every state possesses absolute sovereignty within its own territory and may bind all persons or property located there; (2) no sovereign can give laws beyond its boundaries; and (3) consequently, whatever force the laws of one state have beyond its borders depends on the comity given to those laws by another state. Story found a duty to give comity, but recognized

that this duty was one of imperfect obligation, since there was no way by which one sovereign could be compelled to give comity to the laws of another.

Story did not take a position on how the foreign law operates. Professor Cheatham suggests that Story meant that it operated for purposes of the particular case, that is, the forum gave comity to the foreign law in order to decide the case before it. The why question is answered by comity—foreign law operates because another sovereign chooses to let it do so. The emphasis is on the absence of compulsion—foreign law cannot operate by its own force. There is the danger that comity will be confused with reciprocity, though Story did not contend that it rested upon that principle. For example, the United States Supreme Court refused to enforce a French judgment, because the French courts would not enforce an American judgment in a similar case. So too, the emphasis on the forum's discretion to admit the foreign law may cause it to refuse to enforce foreign law that is somewhat different from its own.

The greatest weakness of the comity theory is that it does not tell us which law should be applied. Where all the events have occurred within a single state, there is no difficulty; the forum may give comity to the law of that state. But where some of the events happened in one state and some in another, e.g., the offeror mailed an offer in state A and the offeree mailed his acceptance in State B, the theory does not help the court to decide which law shall be applied. The theory is primarily a juristic explanation after the event: when the forum does decide to give effect to foreign law, it does so on the basis of comity. Though many of the substantive rules developed by Story are employed today, the theory has been superseded in the United States and England by later theories.

The Nationality Theory

This theory was developed by an Italian writer. Mancini, in the middle of the nineteenth century, and in many respects is a revival of the statuist method. The essential thesis of Mancini is that law is personal and not territorial, that it is made for a given people rather than for a given territory. Since laws are written with a view toward the nationality of the

subjects of a sovereign, they bind the subjects wherever they may reside; conversely, they do not bind foreigners within the territory, even though they may be domiciled there and act there. The only exception would be where the requirements of ordre public necessitate the application of territorial law. Mancini would also permit the parties to choose the applicable law in matters such as contracts.

Battifol points out that, paradoxically, this theory, while extolling nationality as the basis of law, actually tended toward internationalism, since it called into play the duty of each state to respect the interests of other states. Each state would not apply its law to foreign nationals residing or acting in its territory, but would apply the law of their nationality. As in the comity theory, foreign law operates for purposes of a decision in the particular case. The foreign law to be applied is the law of a person's nationality except where principles of ordre public or contrary agreement of the parties require otherwise. The respect sovereigns have for the interests of other sovereigns thus dictates the application of national law.

Battifol's criticism of the theory is telling. Mancini errs, says Battifol, in assuming that law is made for persons of a particular nationality, wherever they may act. Rather it is made for persons living in society; it has been made for Italians living in Italy, not for all Italians. Moreover, the approach that national law governs unless principle of ordre public require the application of territorial law is too simplistic; it does not consider each category, each problem, and arrive at a sound and practical solution. Nor does it give us the answer to complicated problems involving persons of different nationalities. He points out that the doctrine was of limited influence even in Italy, and that it had little influence in France and none in the Anglo-Saxon countries. It should be noted that its main significance lies in the areas logically governed by personal law, e.g., status and family relations. One of the present effects of the nationality theory is that on the Continent matters of status, family relations and the like are governed by the national law of the party rather than by the law of his domicile. On the whole, this theory has had little effect upon the solution of most conflicts problems.

The Location of Legal Relations

This theory was developed by Savigny, a German writer, in the middle of the nineteenth century. Savigny begins with the principle of territorial sovereignty as developed by Huber and Story, but rejects their conclusions. In the first place, he maintained that there was a scientific basis for the solution of conflicts problems; proper application of certain principles would determine the state whose law should be applied. He rejected comity as the answer to why foreign law was applied; his position was that conflicts law was a part of international law, and that the rules of the conflict of laws were imposed by the "international common law of nations." Consequently, it was not in the discretion of the forum to give comity to foreign law, but it was "bound" by principles of international law to recognize foreign law in a proper case. The foreign law thus recognized would operate as a rule of decision for the particular case.

Unlike the comity theory, moreover, Savigny's theory gave positive guidance as to which law should be applied. The method of selecting the proper law was to discover for each legal relation that legal territory to which the legal relation by its peculiar nature belonged. The factual situation which gave rise to the legal relation would be determinative of the seat of that relation. Significant factual relationships included the domicile of a person, the situs of a thing, the place where a legal transaction occurred, and the location of a court.

Applying these principles, Savigny formulated a number of rules. Questions relating to capacity, succession and family relations were determined by the law of person's domicile. Rights in things were determined according to the law of the place where the thing was situate (situs). The place where a tort was committed controlled obligations arising from the tort. He developed special rules for contractual obligations, recognizing that the expectations of the parties should be realized wherever possible. The location of the court would determine procedure, i.e., all matters of procedure were governed by the law of the forum.

Thus, under Savigny's theory, foreign law is looked to because international law requires the forum to apply the law of a particular state to a transaction. The governing law is that of the state that logically should govern the legal relation in question. While this formula has been criticized as being too general, Battifol points out that Savigny has drawn very precise deductions and answered a number of questions, though he did not answer all. Battifol does criticize Savigny for saying that persons voluntarily submit to the law of the state to which the legal relation in question logically belongs. This contention, and as we will see subsequently, the contention that conflicts law forms part of international law, are questionable. Also, the view that the law of a particular state necessarily governs is subject to the same criticisms that have been made of the rights theory, most importantly, that of rigidity. Nonetheless, it cannot be denied that Savigny's influence was considerable and that his theory marked a significant advance in determining which law should be employed.

The Rights Theory

In this section I have included three theories, two of which differ on the question of how the foreign law is employed — and for that reason have been thought of as opposite theories — but otherwise are very similar; with few exceptions the application of any of the “rights” theories will produce the same result.

The first is that of vested rights, developed primarily by Dicey in England, Beale in the United States and Pillet in France. The rules relating to the conflict of laws are treated as part of the positive law of each state rather than as rules of international law. The advocates of this theory would agree with Story that law was territorial and that one state could not enforce the law of another state as such. However, they maintained that rights created by the law of a foreign state could and should be recognized when those rights were called into question in the forum, either as the basis of a claim or as a matter of defense. According to Beale, a right once created continues in existence with the attendant legal consequences until the law that created it puts it to an end or the interest out of which it arose is extinguished. It is the purpose of the conflict of laws to determine which state has the power to create a right. Thus,

foreign law operates to the extent that the rights created by foreign law are recognized and enforced by another state. The foreign right is recognized because under the forum's rules of conflict of laws – rather than under principles of international law – rights created by one state must be recognized by another.

The question of “which” law is to be employed is answered by reference to the “jurisdiction” of states to create rights. Under this theory, a state has jurisdiction to create a right only if it is the state where the last act necessary to the existence of the right occurred. In order to determine what state this is, the forum must look to its own principles of substantive law. For example, since under the laws of most states the plaintiff must suffer harm before a tort can be committed, the state where the injury was suffered – and only that state – has the power to create a right to compensation for the wrong. So too, if under the substantive law of the forum, a contract by mail is completed upon the posting of the acceptance by the offeree, the validity of the contract is determined by the law of the state from which the acceptance was sent. In theory, there is only one state that has the power to create a right, and a right created under the law of that state will be enforced when called into question elsewhere.

The second “right” theory may be called that of the “highly homologous right.” Its exponents include Judge Learned Hand in the United States and Professor Morris in England. They take the position, unlike the advocates of the vested rights theory, that the forum cannot enforce rights created by foreign law; there can be no law but the law of the forum. Rather, the forum will enforce a right created by its own law, but where the operative events occurred elsewhere, it will create a right that is identical – or highly homologous – to a right created by the law of the state where the events occurred. The forum then looks to the law of another state as a model for its rule of decision in the particular case; it does so, because it wishes to create a right highly homologous to the right created by the law of another state.

Although this theory differs from the vested rights theory on the question of how the forum uses foreign laws, it does not differ on the question of why it employs foreign law and which law it employs. It uses foreign law, because it wishes to recognize a right created by foreign

law; it creates a right under its own law as nearly as possible identical to the right created by the foreign law. And it employs as a model the law of the state having jurisdiction to create a right. In this respect – and this is the crucial one – it is really no different in result than the vested rights theory.

Most of the criticism against the rights theories has been directed against the vested rights theory. The main criticism is that of flexibility. The rights theories call for the acceptance or rejection of the foreign law in block; there is no way by which the forum can accept some the foreign law and reject some. The basic assumption of these theories is that all the significant events occurred within a single state or that the law of a particular state most logically applies. Nor are they really consistent despite the claims of some of their proponents. They would say that the court is enforcing- or using as a model-a right created by foreign law, but it may be enforcing a right that the state to which it looks would not enforce if the same case before it.

Finally, these theories purport to ignore the substantive result, but this is not what happens in practice. Theoretically, the courts should only consider what state has the power to create a right and whether it has done so; the result in the case should be irrelevant. But, a judge is no less aware of the result in case where a foreign element is present than he is in a purely domestic one. He is not ignorant of the content of the foreign law and the result that the application or non-application of the law of a particular state will bring about.

The Local Law Theory

The local law theory...refers to the theory that was developed by Professor Walter Wheeler Cook in the United States, though elements of this approach are also found in the writings of some continental commentators. This approach may be characterized as policy-oriented; strict rules and formulas are abandoned, and considerations of pragmatism and utility are substituted.

Professor Cook accepts the proposition of the highly homologous right theory that there is no law but the law of the forum and says that the issue is the extent to which the forum will use the law of another state as a model for the rule of decision in the particular case. But he does not formulate any abstract rules as to how this shall be done. Rather he is concerned with what courts have in fact done in resolving conflicts problems and with what it is predicted they will do in the future. He would observe judicial behavior in the same manner as a scientist would observe physical phenomena. Moreover, he explicitly recognizes that considerations of social and economic policy are to be employed in deciding conflicts questions as they are in other areas of the law.

Professor Cook would approach a conflict problem –the extent to which the forum will use the law of another state as a model –in the following manner. First, he would determine whether there is in fact a conflict between the law of the forum and the law of the other states whose law might be applied because of their connection with the transaction in question. He says that there are two aspects to the “law” of a state. The first is the domestic rule, which is the rule of decision that a court would apply in the absence of any foreign element. The domestic rule is contained in the substantive law of the state. Thus, if substantive law of the forum differs from the substantive law of the other state or states where the events occurred (the locus), there will be an apparent conflict of laws. But, he maintains, even though the forum may know the domestic rule of the locus, it does not necessarily know how the locus would decide this particular case, which for it also involves a foreign element (assuming that not all of the events occurred in the locus).

[U]nder the local law theory as developed by Professor Cook the forum first looks to how the courts of the locus –the place of places where some of the operative facts occurred –would decide this very case. If it would apply the same law as the forum, there is no conflict. If it would apply a different law, then the forum decides whether it would use that law as a model in whole or in part for the rule of decision in the particular case. All of these questions are answered in light of social and economic policies and the court’s notions of fairness. There are

no rigid rules, and the emphasis is on flexibility. Such a theory gives the court the fullest opportunity to achieve a just and sound result in the particular case, unrestricted by the fact that a foreign element may be involved.

The theory may be criticized on the ground that it does not provide definite rules for choice of law and prevents uniformity –the result may well depend on the forum in which suit is brought. The short answer is that uniformity has not been achieved under any of the theories. A just and sound result should not be sacrificed in the search for an illusory uniformity. Moreover, in a simple case the result will be the same no matter which theory is employed; where all of the operative facts occurred in one state, the law of that state will be used as a model. What is needed is a method of disposing of complicated multi-state transactions. The advantages of this theory are that, in the first place, it limits conflicts problems to the cases where there is in fact a conflict between the law of the forum and the law of the locus; the forum does not apply the law of the locus to a situation where the locus would not apply its own law. Secondly, it gives the courts the necessary flexibility to dispose of complex situations. Finally, it enables the court to take account of social and economic policies in arriving at its decisions, just as it does in other cases. The approach advocated by Professor Cook, it is submitted, frees conflicts law from the bonds of conceptualism and enables it to deal with conflicts problems on a realistic and pragmatic basis.

Lex Fori and Governmental Interest

In my opinion, the theories about to be discussed are reinforcements of Professor Cook's theory. The proponents of these theories also advocate that conflicts law must be policy-oriented and that the courts should not be bound by absolute rules without regard to the practical result. In practice, these theories do not differ a great deal from one another. Moreover, as a working model, they are often easier to use than the local law theory.

The lex fori(the law of the forum) theory has been developed by Professor Ehrenzweig . He contends that the basic law is the law of the forum and that foreign law should be used only to

fill “gaps” in that law. He has traced the historical development of the conflict of laws and concluded that the *lex fori* has been that basic rule in the conflict of laws; specific conflicts rules have developed as an exception to the application of the *lex fori*. He contends that foreign law is to be employed only where the defendant would be dealt unfairly by the application of the *lex fori* or where the superior governmental interest of another state requires the displacement of the *lex fori*. There are no fixed rules; the *lex fori* is not displaced in the absence of specific reasons for such displacement. He observes that when a court employs fixed rules of the conflict of laws, it contends to those rules a decisive role, which may not coincide with the policies the forum is otherwise trying to implement. As does Cook, he maintains that such policies should not be ignored merely because a foreign element is involved.

The governmental interest approach has been most fully developed in the United States by Professor Currie, and it is his writings with which the author is most familiar. He accepts the *lex fori* approach, but his main concern is in ascertaining the governmental interests of the states having some connection with the transaction. He maintains that upon an examination of governmental interests, it will often be shown that there is no conflict. Only one state will have any interest in having its law applied, and the application of this law will not be inconsistent with the governmental interest of any state. Where there is a conflict between the governmental interest of the forum and that of another state, the forum must prefer its own interest and apply its law. Thus, the law of the forum will be displaced only where another state is shown to have a governmental interest superior to that of the forum; then the law of that state will be used as a model for the rule of decision in the particular case. Again, the matter is to be determined by considerations of policy and fairness.

Dear student, you would see in the discussions in coming chapters that the various theories you just studied have molded the way conflict of laws problems are intended to be solved in different countries. In other words, all these theories, have, directly or indirectly an impact on the current views in conflict of laws. You should, therefore, be able to use the theories you learnt in this section as a background

knowledge in your studies of the different private international law problems and the respective alternative solutions to them.

The Relationship of Private International Law to Public International Law

The issue of whether or not there exists a relationship between the conflict of laws and public international law is a very controversial and much debated one. The views of legal scholars on this relationship run from the extreme position of considering private international law as an integral part of public international law to another extreme of denying any connection whatsoever between the two bodies of norms.

According to the first view, a view whose proponents were identified with the name *Universalists*, the rules of private international law are derived from and sanctioned by public international law. The doctrine received its initial impetus from the writings of the leading German Universalist, Fredric Carl Von Savigny in the nineteenth century. He tried to derive principles from the existence of a community of nations and thought it advisable for the courts of the different nations to model their choice of law rules thereon so as to form approximate uniformity in accordance with them. His general conclusion was that conflict of laws is a part of public international law and that the rules of conflict of laws are imposed by the “international common law of nations” which implies that individual states are under an international obligation to apply them. Another major figure in this school, a staunch Universalist worth mentioning his name, was the Italian jurist, Mancini, who also recognized the need for the harmonization of private international law rules.

The law of nations doctrine, or the doctrine of the Universalists, has won adherents mainly in the Continent Europe. With one or two exceptions, Anglo American jurists have, however, emphatically rejected its basic proposition; indeed, the majority has even denied that there is any connection at all between private and public international law. Dicey, the most influential English private international lawyer, took the position that the rules governing choice of law and jurisdiction are rules of municipal law exclusively, "as much part of the law of England as the Statute of Frauds..." and that foreign law, or as he preferred to put it, "rights acquired under foreign laws," can be enforced by permission of the territorial sovereign. This school, therefore, regarded Conflict of laws otherwise as strictly national law that proceeds from the Sovereign of a given state and which has no relation at all with the law of nations.

Many jurists have taken the middle position that while some aspects of Private International Law are intimately related to public international law, others have no significant connection therewith. The Internationalists, as exponents of this school are called, concede that domestic courts apply conflicts rules, both of jurisdictions and choice of law, by the same authority as they apply the rest of municipal law, that is, by authority bestowed by the state in which they sit. They also acknowledge the fact that, owing to unwillingness on the part of states to sacrifice their own national interest and policies, states tend to shape their own law that regulates private litigations which in turn leads to the existence of varied laws on the subject. They argue, on the other hand, that there is an international consensus on certain rules of private international law which are adopted and applied by domestic systems, so that they may be said to be general principles of law and thus public international law. Principles like (1) every state must have a system of conflict of laws, (2) states must not altogether exclude the application of foreign laws and must respect rights acquired thereunder (3) that states may exclude the application of otherwise relevant foreign laws on public policy grounds (4) status bestowed on a person by her

personal law must be respected in other states where she is transiently present (5) the law of the country where the immovable is located (lex situs) governs disputes involving immovable property (6) the parties have a free choice of the law, are, according to them, among those shared by all nations and which can be treated as overriding rules.

The school maintains the other relationship as being one expressed in terms of sharing ends or goals by both branches of law. Private and public international laws are related as to purpose; they are both:

Ultimately concerned with the possibility of maintaining a unified economic and social order for the conduct of international trade and intercourse among independent political units and diverse cultures and stages of civilizations, different legal and economic systems and varying degrees of physical power and position.

The other point where the conflict of laws comes in to contact with international law proper is in the area of Private International Law Norms Applied by International Tribunals. Initially, a distinction should be made between the norms of private international law applied by international tribunals and those applied in municipal courts. The Private International Law norms applied by an international tribunal in determining its jurisdiction, while not binding upon the courts of states, generally find their source in its consecutive treaty or agreement and are therefore clearly norms of public international law. The impact of the increasing number of international conventions on different matters of conflict of laws (most notably conventions concluded by the Hague Conference on Private International Law) which are international legislations should also be given a weight.

To conclude the discussion in this section, though there had been and still are arguments about the exact nature of the relationship between private and public

international law, the widely accepted view currently is that conflict of laws is a part of the municipal law of each country but this branch of law has certainly got relationship in some areas with public international law. As one writer had put it:

Private international law is neither truly international nor exclusively private, but is instead a branch of domestic law treating legal situations with non-domestic elements that pose a conflict of sovereign authority.

Tendencies towards Unification of Conflict of Laws

Dear distance student, there have been various efforts made in the past and still ongoing activities currently with a view to achieving the unification of conflict of laws. I shall now direct your attention to these activities.

As has been said time and again, private international law exists because of differences in various legal systems. In theory, at least, it would become unnecessary if the law of various countries were assimilated, though conflict of rules of jurisdiction would probably remain.

Different attempts have been made at the international level to achieve the end of harmonization. Two phases of unification of law can be identified in this process.

The first concerns the assimilation of the internal rules of law of various systems. Of this process it may be said that certain branches of law (for example, commercial law) are more susceptible of unification than others (example, family law). The second is the unification of the rules of private international law of various systems. This process is simpler because it leaves untouched the sensitive branches of internal law and it seeks to realize more effectively the international function of the conflict of laws.

With regard to the first approach, a permanent organization established after the war of 1914-18 for removing the causes of conflict of laws is the International Institute for the Unification of Private Law, having its head quarters at Rome. Since the Rome Institute concerns itself only with the unification of rules of internal law of various states, it is not directly concerned with private international law, but only indirectly so in the sense of eliminating conflict of laws by removing the differences on which such conflict is based.

The difficulties of agreement between common law and civil law countries, most notably in questions of domestic status, involving the personal law, is manifest (while the majorities of European countries govern such status by the national law of the parties, all common law countries traditionally decide questions of status according to the law of domicile- though with increasing exceptions in favour of habitual residence). Despite the challenges, however, the Institute has produced useful results within a limited field. An important instance of a partial elimination of the conflict of laws are the Conventions of 1964 relating to a Uniform Law on the International Sale of Goods, and relating to a Uniform Law on the Formation of Contracts for the International Sale of Goods. A handful of other assimilation projects have succeeded in the fields of international copyright, maritime law and carriage of goods by sea. The degree of unification that has been achieved in this way obviously is still. There remains, however, a considerable body of law to which this method could still be applied.

When we come to the second approach, as a result of series of international conventions on various topics during the course of the twentieth century, a considerable degree of uniformity within limited fields of conflict of laws had been achieved mainly between Continental European Countries and to some extent in South American states. In this area, the Hague Conference of Private International Law has been the most important inter-governmental organization dealing with the

unification of the rules of conflict of laws of its state members. Since the year 1893, sessions of the Hague Conference of Private International Law have produced conventions on diverse topics. The Seventh Session of the Hague Conference in 1951 dealt with corporations, sale of goods and the conflict of nationality and domicile, though its most fruitful proposal was the establishment of a permanent bureau to prepare for regular international discussions on problems of private international law.

The Statute of The Hague Conference of Private International Law, that came in to force in 1955, proclaims:

“The object of the Hague Conference is to work towards the progressive unification of the rules of private international law”.

According to latest report made available, on July 15, 2008, by the Conference on the status of signatures, ratifications and accessions of the Hague Conventions, conventions on thirty-eight subject matters have been prepared among which twenty-six have entered in to force. The most important ones from the latter group include conventions on civil procedure, sales of goods, child abduction, agency, marriage, divorce-recognition, enforcement of judgments, adoption, protection of minors, legislation (apostille), products liability and matrimonial property. Different countries from all the continents of the globe and representing the two major legal systems of the world are members to the conventions. Ethiopia, however, is not a state party to any of the treaties in force nor has it signed any of those which are on their way to entry in to force.

What advantage or disadvantage do you think ensues if Ethiopia accedes to or signs and ratifies these conventions? Which particular conventions you suggest are relevant for the country?

Generally speaking, the adoption of these conventions on various matters would give the country the opportunity to integrate itself in to a system that is based on widely accepted rules on conflict of laws. The benefit becomes even greater in the present world order of globalization. Some of the conventions on recognition and enforcement, international sale of goods, products liability and the like are very essential for a country that strives to attract foreign investment for its economic development. The legal regime, including the conflict of laws rules of a country, would be one of the things that a foreign investor focuses on. The absence of comprehensive binding rules on private international law, or at least some aspects of it, can therefore be compensated by the adoption of these conventions. It would also important to cite examples set by some African countries (Kenya, Botswana, Mali, Malawi, Mauritius...) in this direction.

Private International Law in Ethiopia

It will be readily understood that the law of Ethiopia has not yet developed any fixed rules of private international law. The legal system is far too primitive for anything of that kind. But there is such a thing as an international law of necessity, in this interdependent world.

The above statement was made by Norman Bentwich in an article he wrote on 'Private International Law in Ethiopia'; back in the year 1951 (appeared on International Law quarterly, volume 4).

It is now over fifty-five years since this observation was made. Nevertheless, the substantial part of the writer's assertions remains valid in Ethiopia of 2008/9. Why do we say so?

It is a matter of fact that we do not have yet developed fixed rules of conflict of laws. This also has resulted in manifold problems including lack of certainty and uniformity in the field. If one looks in retrospect to the various efforts made to come up with Private International law rules in Ethiopia, however, it can be said it is unfortunate that none of these efforts came to fruition.

The first of these attempts was made by Rene David, the drafter of the Ethiopian Civil Code, who incorporated in the Code a chapter dealing with Private International Law. When the Code was finally enacted, the part on conflict of laws was omitted for reasons no one could certainly tell yet. Professor Robert Allen Sedler submitted a second draft rules on Private International Law in the year 1965 and it could not succeed either. The third draft was by The Ministry of Justice and in more recent years two drafts were made by The Law Revision Committee and the Justice and Legal System Research Institute of Ethiopia. (The draft by the latter, being the latest, is the one we make a reference to in our discussions in the forthcoming chapters and you will find it attached at the end of this material).

There have been a number of discussions held especially over the draft prepared by the Law Revision Committee and it had looked as though it could come as a binding law. Unfortunately, the latest two drafts look to follow the suits of their predecessors as the writer understands that there are no strong movements that would enable us see the draft rules converted in to a law at least in the coming years.

On the other hand, it has to be underscored that the absence of fixed rules has not made us completely alien to conflict of laws. The situation has changed a lot from

where it was in 1951 and indeed our legal system now is not “too primitive”, to say the least, to conflicts problems. Ethiopian courts in the majority of cases do recognize and treat differently cases containing extra-state elements. In other terms, though there is non-existence of a fixed law to be applied, our courts struggle to fill in the gap created by the legislator’s lack of action on the area by adopting different means.

The problem in this area is further exacerbated by the fact that in Ethiopia we do not have a precedent system. If decisions of courts of a higher level were to be followed as a law by lower courts as it is the case in the common law world, the absence of legislation could be compensated for by taking decisions as laws. Courts in Ethiopia are generally not bound to follow decisions given prior to them (except decisions by the Cassation Division of the Federal Supreme Court) and, to be realistic; we don’t have an organized system that works effectively in that way as well.

When we consider doctrinal sources, Books and academic writings written on the area are meager. The major contributions in the field are: Sedler’s “The Conflict of Laws in Ethiopia”, and the different articles written by Ibrahim Idris and Samuel Teshale. (You may see that Courts sometimes make a reference to these writings).

Despite all these problems, however, Ethiopian courts generally speaking resolve conflict of laws cases differently from domestic cases by relying on foreign jurisprudence. This is not to say that the way our courts are dealing with the problem is satisfactory. Scholars who researched the practice have identified that there are sometimes tendencies, other than using general jurisprudence, to apply domestic laws invariably to cases containing foreign elements and to the far extreme, non-recognition of a foreign element at all. All these approaches would, no doubt, have their own problems. The absence of rules in the field, however, reserves us from pointing tall fingers to the courts, though they should always try to do their level best to deal with conflicts problems reasonably and in an effective manner .

Chapter Two

Judicial Jurisdiction

The issue of judicial jurisdiction is the first question that a court seized of a private international law case must address. Of course, this holds true for all other types of case too. As will be discussed shortly, there are different theories and rules of judicial jurisdiction adopted by countries and serving as tools in deciding on the valid existence or otherwise of judicial jurisdiction of a court of a country over conflict cases.

This Unit consists of four sections. In the first section, an attempt will be made to provide you with a general background on judicial jurisdiction and the second section takes up a discussion on the different jurisdictional approaches in the common law and continental law legal systems. Section three, which is the last section, brings the matter to the floor by examining the Ethiopian law and practice on judicial jurisdiction.

Objectives:

At the end of the unit, you will be able to:

- Explain the different types (categories) of judicial jurisdiction
- Evaluate the different theories on judicial jurisdiction
- Evaluate the rules of judicial jurisdiction in the two major legal systems
- Analyze the practical problems that are faced in Ethiopian with regard to absence of rules on jurisdiction and the resulting discrepancies in the judgments

General Background on Judicial Jurisdiction

Dear distance learner, what do you understand of the notion of jurisdiction?

Generally speaking, jurisdiction of courts or judicial jurisdiction, in the widest sense, is the power of courts to subject particular persons or things to the judicial process. It is simple logic that, if a court does not have jurisdiction, it is not authorized to hear and determine the dispute. Any judgment that it may make thereon will be nothing more than a piece of paper.

As there is jurisdiction of the executive or executive (prescriptive) jurisdiction and legislative competence/legislative jurisdiction, the judiciary in every country has some powers to discharge its responsibilities. And, it is the power of courts which enables them to decide on a case that is known as jurisdiction of courts.

As you have studied it in your Civil Procedure Course, the first duty of a court presented with a case is to satisfy itself that it has jurisdiction to determine the matters before it. This duty of ascertaining the existence of jurisdiction holds for all cases irrespective of the involvement or non-involvement of a foreign element. Courts should, therefore, always without exception establish jurisdiction before they start to see a case in to its merits.

A question that logically comes and needs to be asked at this point is: What does a court do to check if it has got jurisdiction?

Before answering this question, it is important to know the three different forms of judicial jurisdiction. Jurisdiction of courts has three components namely; judicial jurisdiction, material jurisdiction and local jurisdiction.

- i. Judicial jurisdiction; refers to the power of the courts of a particular nation or state to render a judgment binding on an individual or his property. In this case, we must first ask whether Ethiopia- some court in Ethiopia –has the power to subject a particular person or particular property to its judicial process. The question, therefore, is whether a certain case can be adjudicated in the courts of a given state.
- ii. Material jurisdiction; refers to the power of a court to decide on the kind of case that is before it. It usually involves the question of which layer or type of court has the power to dispose the case. In the Ethiopian context, it could be a question about deciding whether a high court or woreda/first instance court or, a state court or a federal court should see the matter.
- iii. Local jurisdiction; refers to a specific area within a state where a case has to be tried. When various courts of the same level or type are found within a country or a region, as for instance the ten Federal First Instance Courts in Addis Ababa, which of these should have the power to adjudicate a certain case is determined by rules on local jurisdiction.

Of these three elements of jurisdiction, the primary concern of private international law or conflict of laws is the first one, i.e., judicial jurisdiction and as you may remember, it has been said from the outset that judicial jurisdiction is one of the tripartite issues addressed by this branch of law.

Now, to prove to you the special importance of judicial jurisdiction for conflict cases and also to answer the question that I posed earlier, I have provided the following examples. Read and analyze the facts of them, in light of the importance of establishing judicial jurisdiction.

Assume that a case between two Ethiopians involving non performance of a contract concluded and agreed to be performed in Ethiopia is presented before an Ethiopian court. Assume also that the parties never agreed, in their contract, to submit the case to a court of any other country. In this case, as is the case for all other cases, the first thing the court should do is check if it has got jurisdiction to adjudicate on the matter. To do this, it should theoretically start from the question of judicial jurisdiction. However, as this case obviously involves no foreign element, the court should not waste its time in determining whether an Ethiopian court can be seized of the matter. Observably, all the facts in this case are linked only to Ethiopia and a court in no any other state can have a legitimate claim to rule on it. The Ethiopian Court, thus, moves on to consider issues of material and local jurisdiction and identifies the type and level of the court as well as the specific locality where the adjudication should take place.

If we take this same case and change some of its facts to make it a case containing a foreign element, it will be very evident to see the degree of importance ascertaining judicial jurisdiction is attached to. Thus, if in the earlier case, the plaintiff were men from Ethiopia while the defendant is a Pakistani man, the involvement of a foreign element in the form of a foreigner contracting party calls for the application of judicial jurisdiction rules. As the defendant is not a national of Ethiopia, it may be based on the place of formation/performance of the contract that an Ethiopian court assumes judicial jurisdiction. The difference of this case from the previous one is the involvement of an out-of-state element which makes a potential conflict between courts of Ethiopia and other countries a possibility. The court of Ethiopia should establish a strong connection or else leave the matter to be adjudicated by a more competent court. If the case, on the other hand, is one whose facts have no connection, whatsoever, with Ethiopia, determining the absence of jurisdiction saves the court from deciding on the case without jurisdiction and the parties will also be

protected from problems that result from such decisions (we will consider problems that ensue from decisions by courts with no jurisdiction in the next sub section).

To emphasize on what we have discussed, it is essential that a court seized of a private international law case establishes judicial jurisdiction before going to the task of selecting the applicable law. Establishing jurisdiction is indispensably important for all other cases with no foreign element as well but, in such a case, only the questions of material and local jurisdiction are significant as the absence of foreign element makes establishing judicial jurisdiction a task that can be done without much effort.

Why Regulate Judicial Jurisdiction/ Why Rules on Judicial Jurisdiction?

Dear Student, before reading the next part, please take some time and formulate your own views on what would happen if rules on judicial jurisdiction were not to exist? Put in another form, the question is what would happen if individual plaintiffs were to take conflict cases to courts of their choice without any restriction and if courts (say Ethiopian Courts) were without rules based on which they accept or reject such cases?

There are a number of reasons or justifications that can be provided on why countries regulate the issue of judicial jurisdiction through different rules. The major ones include the following;

1. Avoidance of Forum Shopping

Forum selection by the plaintiff may cause forum shopping for the most favorable forum. Avoiding forum shopping possibilities by the plaintiff, as it harms the interest of the defendant, is the most important consideration that is taken to come up with rules on judicial jurisdiction. What does forum shopping mean?

Think of yourself as a plaintiff in a private international law case. Where do you think you would like to take your case if you have an unrestricted liberty to choose the forum?

Obviously, unless of course you are a selfless person, you will select the most convenient forum for yourself irrespective of what your selection causes the defendant. If a plaintiff picks a more favorable forum at the expense of jeopardizing the interest of the defendant, or, if s/he goes for the more favorable forum disregarding the defendant's interest, we call the act, in conflict parlance, *forum shopping*. Rules on judicial jurisdiction, by requiring some kind of defined contact between the plaintiff/the cause of action and the forum, ascertain that plaintiff cannot shop the forum in a manner that suits his interest and circumscribe the rights of the defendant. Had it not been for rules on judicial jurisdiction, therefore, defendants would have always been put at a disadvantaged position while plaintiffs benefit as the latter are normally the ones that pull the trigger and institute a case at a certain forum.

What benefits will ensue to a plaintiff if she selects a forum?

- Empirical research proves that forum really affects outcome, probably by multiple influences. The result being, plaintiffs win much more often when they get to choose the forum – forum matters.
- The differences in substantive and procedural laws as well as choice of law doctrines in different countries also means that plaintiff can choose more favorable forum in this regard. That will ultimately affect the outcome of the litigation. Choice of forum may therefore mean joyous victory, or depressing defeat.

2. Avoidance of Inconvenience to the Defendant

Rules on judicial jurisdiction help defendants avoid inconvenience in the form of distant litigation. And, litigation in distant and new place for the defendant brings about a number of related problems. Litigation becomes costly which requires defendant huge amount of money to defend the case. It may for example require considerable expense to hire a lawyer in the new forum when compared to what he/she could do in a more familiar forum. In addition to this, local biases, the particular social context, language, culture... will inevitably affect litigation negatively. The defendant may also find the task of collecting evidence and calling witnesses cumbersome in a faraway place/forum. Rules regulating judicial jurisdiction, therefore, help defendants avoid all these problems that could have otherwise been artificially created by plaintiffs.

3. Avoidance of Unnecessary fight over Jurisdiction

If plaintiffs were with absolute freedom to select the forum, (if no rules regulating the manner they choose the forum) defendants may move to transfer the venue or enter the motion of dismissal objecting jurisdiction. Thus, the fight over forum can be the critical dispute in the case. This reflects a belief that “an accused is more concerned with where he will be hanged than whether.” In several senses, thus, judicial jurisdiction rules are very important rules that help not only individual litigants but also courts by focusing them on important points of disagreement other than jurisdictional issues and thereby saving them considerable resource.

4. Avoidance of the possibility of denial of Recognition and/or enforcement out of the rendition forum

Lack of judicial jurisdiction over a case results at least in a denial of recognition and enforcement (loss of practical value) of the judgment in another forum, and even if a court of one state takes jurisdiction over a case haphazardly, the judgment it renders may not be recognized or enforced in another forum just in case that is required to be done. The reason is that, as will be discussed in chapter four, in almost all countries of the world, one of the criteria for recognition/ enforcement of a foreign given judgment is the exercise of a valid jurisdiction by the court giving the judgment sought to be recognized. Hence, a case decided by a forum of the plaintiff's choice without jurisdiction may be one of having no practical value when it comes to recognition and enforcement and rules on judicial jurisdiction ensure that a judgment is rendered by an appropriate court with jurisdiction which can as well be validly recognized or enforced whenever the need to do so arises.

Classification of Judicial Jurisdiction

It is possible to classify judicial jurisdiction in to different category. Consequently, the basic categories of jurisdiction, as recognized in both the common law and continental law countries, are *personal (in personam) jurisdiction* and *in rem (nonpersonal) jurisdiction*. They are also called jurisdiction over persons and things, consecutively. (N.B The common law world sometimes adopts a different classification which adds a third class, quasi in rem jurisdiction, to the above mentioned types. It is, however, not quite relevant for our discussion here and we focus on the first classification.)

What do you understand about personal Jurisdiction?

Personal Jurisdiction is the power of a court to impose its decision on the parties to an action. Personal jurisdiction arises where a plaintiff brings an action against an individual in a given forum state so that the rights and interests of the parties themselves be decided and in such a case, only individual has the right to be heard in a defense although it may concern the right of possession of a property.

Personal jurisdiction, or jurisdiction in personam, can result in a judgment imposing a personal liability or obligation upon the defendant in favor of the plaintiff or, more generally, diminishing the personal rights of a party in favor of another party. This is the most common kind of jurisdiction. For example, a successful tort action resting on personal jurisdiction subjects all of the defendant's nonexempt assets to execution. For another example, a suit for an injunction requires jurisdiction in personam and subjects the defendant to the court's contempt sanctions.

Based on your understanding of personal jurisdiction, can you try to define in rem jurisdiction?

Non-personal jurisdiction, or jurisdiction in rem, usually involves an action against a thing, or res. Theoretically and often formally, the action is against the thing and a relief is sought with respect to a thing itself, though a human person is named as a defendant in the litigation. No personal liability or obligation results from such a proceeding. A good example of an in rem action is one wherein the plaintiff seeks ownership over a certain thing/property in which case she is asserting the title against anybody.

As will be discussed in the coming sections, while non-personal jurisdiction requires physical presence of the thing in order to constitute minimum contacts; personal jurisdiction can rest on thinner connections like the relationships between the defendant / the cause of action and the forum.

In relation to this, a point worth noting is the existence of two different ways a court of a forum state can follow to check if it has got personal jurisdiction over the matter before it. And this ways are recognized in the two major legal systems of the world.

Thus, when the forum state looks at and bases itself on the relationship between the defendant and the forum to establish judicial jurisdiction in personam, the court is said to be exercising *General Jurisdiction*. The grounds based on which the

relationship between the defendant and the forum are established could vary in different countries but generally include nationality, domicile, habitual residence and consent. General jurisdiction is sometimes called a dispute-blind type of jurisdiction, based on affiliations between the forum and one of the parties without regard to the nature of the dispute.

To exemplify this point, let us assume that the defendant in a contractual breach case is an Ethiopian national and domiciliary, who concluded a contract in Kenya and agreed its place of performance to be in same country. If the Kenyan plaintiff institutes a case before the Federal High Court of Ethiopia, the court needs to have some jurisdictional base to adjudicate the matter. As this claim obviously is an in personam one, connection between the forum on one hand and the defendant or the cause of action on the other needs to be established. We start from personal links and we see that the defendant has sufficient connection in the form of either nationality or domicile. Hence, the court does not need to take in to account the nature of the dispute/cause of action as it has satisfied itself by establishing general jurisdiction in personam.

On the other hand, when general jurisdiction cannot be established over an in personam case, the court should still look for existence of a strong link in the form of a relationship between the forum and the nature of the dispute/cause of action. When a court of the forum state exercises judicial jurisdiction by looking at the nexus between the forum and the nature of the dispute, it is said to be exercising *special/specific/ alternative jurisdiction*.

From plaintiffs' point of view, special jurisdiction is a kind of jurisdiction that widens their alternatives to sue the defendant. The name alternative jurisdiction also describes this fact. If for example a person can sue someone in Uganda based on general jurisdiction while it is possible for him to bring a claim on same cause of

action in Ethiopia based on specific jurisdiction, his act of choice the Ethiopian forum does not amount to forum shopping. This is because in its very nature specific jurisdiction is meant to provide an additional place for making their claims to plaintiffs.

Using the facts in the earlier case, if the Kenyan plaintiff instituted his case in Kenya and not in Ethiopia as it was provided earlier, there is no any ground for the Kenyan court to establish general jurisdiction in personem.(unless of course there is consent, implied or express, which we are assuming is not existing) Hence, it should look for a link between the forum and the cause of action, i.e., specific jurisdiction and fortunately, the fact that place of conclusion/ performance of contract was in Kenya serves as good connecting factor. What is important to know here is that there are different jurisdictional connecting factors for different types of legal transactions. Place of conclusion of marriage, place of tortuous act, place of formation/ performance of a contract...are some of the points based on which a specific personal jurisdiction are established.

Theories on Judicial Jurisdiction

Dear student, I will now take you to a discussion on the major theories of judicial jurisdiction. There are a number of theories on judicial jurisdiction developed by conflicts scholars and all of these try to provide, from a distinct perspective, an answer to important questions like why a court of a certain country should assume judicial jurisdiction over a private international law case and on what grounds it should do so. In what follows, we shall take a look at two of these theories.

1. **Power Theory:** according to this theory, a court of a country assumes judicial jurisdiction when it has the power over the defendant to force him in to its judicial process. This theory that has wide acceptance in the common law countries focuses on the court's ability to make the defendant submit to its jurisdiction and pass a binding decision on her/him. It is accepted, accordingly, that the physical presence of the defendant in the territories of a state gives the courts of that state the power to adjudicate the matter involving him as a defendant. What is interesting to note here is the fact that this theory does not really bother about its power *vis a vis* the plaintiff. This is because, the plaintiff normally is the one who chooses the forum and that he does so making his own cost benefit analysis.

The question of how should we understand 'the presence of a defendant in the territories of a given state' is an important element in the overall understanding of the theory. A very interesting point relates to the common law practice of establishing jurisdiction over a transient defendant. As an extension of the power theory, subjecting a defendant who is on a mere sojourn to a court's jurisdiction as long as he is properly served with summon is deemed appropriate.

There arose once a very famous case in America that involved the summoning of a defendant who was flying from Mexico over the skies of the United States of America. The plaintiff had given defendant a writ while on board flying over the American skies and the court accepted this to maintain that it has jurisdiction. This decision has led many to the conclusion that skywards extension of power theory is feasible. What matters, it seems, is not the duration of the stay of the defendant in the forum state; it suffices that he be present in the concerned country even for a very short time.

Power theory capitalizes on two points: the court's capacity to bring the defendant to the judicial process and rendering, ultimately, a judgment that can be effectively enforced by it.

2. ***Fairness Theory***: according to this theory, a court should assume jurisdiction only if doing so provides a convenient, fair and just forum to the parties. This theory, which has embraced another older theory known as Forum Convenience, approaches the matter from the standpoint of the parties' interest and convenience rather than the court's power to subject them to its authority. The bases in determining jurisdiction are efficiency and justice to the parties. In so doing, therefore, it asks questions like: Would it be fair and convenient to the parties if the case is tried here? Are witnesses accessible without much inconvenience? Will the procedure and language of the court cause huge difficulty on the part of the defendant? and the like. It will be after assessing all this factors and only if it is convinced in the positive that the court will venture on seeing the case.

This theory is based on the assumption that a fair decision given by any court taking in to account these factors will be recognized and given effect anywhere in the world. As a result, a court of a country should not bother about whether it will be able to implement its decision afterwards and trying in a fair manner would guarantee its implementation everywhere as fairness is a value shared by all countries.

This theory, as it focuses on practicability and is suitable to modern conditions (by giving the court wide discretion), is regarded as preferable by many. Its major drawback is, however, the fact that its foundations or bases are rather vague ones like efficiency, justice and fairness to which terms giving a clear cut meaning when a dispute arises would be difficult. Therefore, practically enforcing the theory may not be a simple task as appealing the theory is.

So, subject to some exceptions, a state will lack jurisdiction to try a case in its courts if the advantages which trial in the state would afford one party are greatly outweighed by the hardship and inconvenience which would be suffered by the other.

Judicial Jurisdiction in the Common Law and Continental Law Legal Systems

In this section you will learn about a variety of bases of jurisdiction that are widely in use in the common law and continental law countries. You will also be able to appreciate the points of similarity and (rare) difference between the major legal systems with regard to the issue at hand.

As will be discussed in a while, there exist a variety of jurisdictional bases adopted by countries that belong to or at least are influenced by the two major legal traditions. It is important, however, to stress from the outset that most of these bases are used in communality. It is therefore very interesting to observe that most of the factors considered in determining jurisdiction are similar. This is by no means to say that there does not exist any differences at all. We will try to contrast the common law and civil law systems in our discussion of the jurisdictional bases in these systems.

We start by looking at how personal jurisdiction is established in common law countries and after that consider personam jurisdictional bases in the civil law world. Then, our focus will be directed to the manner how judicial jurisdiction in rem can be established in the two legal systems.

Personal Jurisdiction

A. Personal Jurisdiction in the Common Law

The following are the primary bases of power for personal jurisdiction in common law countries:

- (1) **Presence:** The ancient basis of presence gives power to adjudicate any personal claim if the defendant is served with process within the sovereign's territorial limits. Thus, even momentary presence of the individual creates power—so-called transient jurisdiction—to adjudicate a claim totally unrelated to that presence.

This theory hinges on the common law historic understanding that “the foundation of inpersonam jurisdiction is physical power”. Accordingly, the fulfillment of the two elements i.e., the physical presence of the defendant and serving her/him with a proper summon suffices for a court to establish personal judicial jurisdiction. It is good to note incidentally that service of process serves dual purposes. It establishes the court's power to adjudicate the action over the defendant, and, in most cases, it should inform the defendant of the existence of the action and the concomitant need to defend.

What do you understand about *the transient rule of personal jurisdiction* and what do you think are the benefits and drawbacks of adopting this rule?

The transient rule has it that in personam jurisdiction, an individual defendant can be acquired by mere physical service of process, even in a forum where neither plaintiff nor defendant resides and which has no connection with the cause of action. The inadequacy of this rule, and its contrast with the law prevailing elsewhere in the world, has often been stressed. In civil law countries, for instance, personal service requirements are procedural in character and do not “go to the jurisdiction”; and personal jurisdiction, or competency is never based on the mere physical presence of the defendant. This is the first and major point of difference between the civil law and common law systems in relation to establishing personal jurisdiction.

Limitations of this rule have been identified as follows:

- The defendant may be called upon to defend in a place with which he is unfamiliar;
- And the forum may not be in a favorable position to deal intelligently either with the facts or with the law. The rule is thus described to be for being closer akin to robbery than to justice.

The positive side identified with power doctrine/ the presence rule is that it might be justified theoretically as offering the defendant some protection against a vindictive plaintiff’s unfair choice of forum, for it would limit the scope of the plaintiff’s choice to the court of the defendant’s voluntary presence.

Interesting cases where defendants were served with service while on temporary stay in a country or when the ship defendant was boarded was docked temporarily or, even when defendant was flying over the skies of country of the court suggest that “presence”- be it permanent or not, was all that was required to establish personal jurisdiction in the past. Since a fairly long time, however, common law courts, notably that of the United States of America and England, have accepted the criticisms directed against this doctrine and have sometimes rejected its use as a

single ground on the basis of due process principle and forum non-convenience doctrine.

What is Forum non-convenience?

Forum non convenience (Latin term for inappropriate or inconvenient forum) is a discretionary power of mostly common law courts to refuse to hear a proceeding that has been brought before it where there is a more appropriate forum for it. So, after weighing the facts surrounding a case, if a common law court finds that a better, convenient court other than the very court where he is sitting exists, it may decline from seeing the matter even if the defendant's presence is secured and he is served with a writ. This kind of discretionary power is mostly unknown to civil law judges.

So far so good. We shall now consider the other jurisdictional basis in use in common law countries.

(2)**Domicile:** The basis of domicile gives power to adjudicate any personal claim if the defendant is domiciled, or incorporated, in the sovereign's territory when served anywhere with process.

The highly mobile nature of today's society often makes it difficult for the plaintiff to find the defendant because he may be hiding to prevent the service process. Administration of justice, however, requires that there should be a forum in which the defendant is always available for suit. In the common law, if a defendant is a

domiciliary of the forum, the court of the forum state can adjudicate over the matter though the writ was served outside the forum. This is because:

The authority of a state over one of its citizens is not terminated by the mere fact of his absence from the state. The state which accords him privileges and affords protection to him and his property by virtue of his domicile may also exact reciprocal duties.

Assuming judicial jurisdiction on the basis of a person's domicile is advantageous for a plaintiff particularly when the defendant is temporarily outside of the forum. The rule saves plaintiff from chasing the defendant wherever he is. It would not also be unfair and unreasonable for the absent domiciliary to be asked to appear and defend his case. If, however, a defendant is absent for a long time, without having any intention of returning to the forum but still retaining the domicile of the forum state, calling him to defend at the forum definitely creates him inconvenience.

Dear distance learner, the above discussion, I hope, has shown to you the importance of domicile as a basis for assuming personal jurisdiction. With a view to develop a full understanding of what we discussed, it is essential to consider some points related to the concept domicile.

What do you understand of the concept domicile? And, how does Ethiopian law define it?

There are some basic points that you need to know about domicile. The following are tips to that effect.

There are three kinds of domicile: *domicile of origin*, which is a domicile assigned by law to a child when he is born; *domicile of choice*, which is a domicile which any independent person can acquire for himself by a combination of residence and intention; and *domicile of dependency*, which means that the domicile of dependent persons (children under sixteen and mentally disordered persons) is dependent on, and usually changes with, the domicile of someone else, e.g. the parent of a child.

Every independent person can acquire a domicile of choice by the combination of residence and the intention of permanent or indefinite residence. These two factors must coincide before the law recognizes change of domicile. Residence, however long in a country, will not result in the acquisition of domicile of choice. Conversely, intention however strong to change a domicile will not have that result if the necessary residence in the new country is lacking.

The object of determining a person's domicile is to connect him with some legal system for some legal purposes. There are four general principles worth a discussion.

I. No person can be without a domicile. This rule springs from the practical necessity of connecting every person with some system of law by which a number of his legal relationships may be regulated.

To give effect to this rule the law attributes to every individual the domicile of his father and/or mother, if the child be a legitimate one, and the domicile of the mother if illegitimate.

A domicile of origin cannot be lost by mere abandonment. It can only be lost by the acquisition of a domicile of choice.

2. No person can at the same time have more than one domicile.

A person may have more than one place of residence. It is, however, an absolute legal impossibility for an individual to have more than one place of domicile.

3. **An existing domicile is presumed to continue until it is proved that a new domicile has been acquired.** Hence the burden of proving change of domicile rests with those who assert it. Unless the judicial conscience is satisfied by the evidence of change, the domicile of origin persists.

4. **Domicile is one of the connecting factors to determine both jurisdiction and applicable law. Hence the question where a person is domiciled is determined by applying the law of the forum.**

You have to bear in mind that it is always based on the law of the forum (the law of the country where the court entertaining the case is found) that the court determines the question of a person's domicile. This holds true irrespective of the nationality of the person whose domicile is to be ascertained. The question of one's nationality, however, is always determined by the law of the country to which the person claims to belong. We will discuss this rule and the rationale behind it in another sub topic under this chapter.

Determining the place of domicile of a legal person (artificial person) is sometimes a controversial issue. Some consider an artificial person as domiciled in its place of incorporation, even if it carries on business elsewhere. Others consider its principal place of business as its domicile. The latter view seems to be the widely accepted one in the common law system while the first one dominates in civil law countries.

Supporters of the first view maintain that in some respects, the decision to incorporate in a particular state provides a more powerful basis for adjudicatory jurisdiction than does domicile. First, the corporation intentionally chooses to create a relationship with the state of incorporation, presumably to obtain the benefits of that state's substantive and procedural laws. Such a choice creates a unique

relationship that justifies general jurisdiction over the corporation. Second, the corporation, unlike an individual, cannot ever be absent from the state of incorporation. Third, even if a corporation neither does business nor maintains an office in the incorporating state, the incorporation process itself provides notice of the potential for judicial jurisdiction. Finally, the corporation is likely to be familiar with that state's law, arguably more familiar than an individual domiciliary would be, because the corporation presumably based its incorporation decision in part on the state's substantive law.

Place of incorporation, however, is not the only affiliation that supports general jurisdiction; a corporation may do sufficient business within a state to give the state general jurisdiction over it.

(3) **Agency:** In the common law a defendant can be subjected to a jurisdiction of a court if she/he designated a local person to be his agent for some specific task. In such instances, a writ served to the agent is considered as service on the defendant himself according to the law of agency.

(4) **Consent/Submission:** An individual or corporate defendant may actually consent to personal jurisdiction, thereby creating a basis of power though she/he/it is neither present nor domiciliary of the forum. The defendant may express consent in a number of ways. The defendant may consent *before* suit is brought or alternatively after suit is brought.

An absent defendant may confer jurisdiction on the court by submission. And this may arise from express agreement or conduct. There are the following possibilities:

A) The defendant contracts to submit. Where a contract contains a term providing that, in the event of a claim being issued in relation to the contract, the claim form may be served by a method specified in the contract. Contracting in such a way by including a *choice of jurisdiction clause* is a common practice in the international

commercial world. However, though in most cases countries give effect to such party choices provided they do not clearly contradict public policy of the otherwise forum state, there are some states like the United States of America, England and Scotland that subject the application of party choice of forum clause to the doctrine of forum non convenience. Agreement on jurisdiction is also possible after disagreement has already uncovered itself.

B) The defendant pleads to the merits: If the defendant pleads to the merits of the case, such as by disputing liability for breach of contract, he thereby submits, but not if he merely argues that the court has no jurisdiction over him. If you recall your course on Civil Procedure, there are certain matters/objections that should be raised as preliminary objections or forfeited for good. The issue of objecting to jurisdiction belongs to one of those important matters internationally and if a defendant fails to raise it and goes in to the merits of the case while defending her case, then she is considered to have given implied consent to the jurisdiction of the court. If a person, however, appears before a court of law for the sole purpose of objecting the jurisdiction of the forum, it is never regarded as submission.

C) A claimant who is abroad sues a defendant in the local forum. This gives the court jurisdiction over a counterclaim by the defendant if it arises out of a matter which is related to the claim. To illustrate this, suppose that Mr. B, who is an American domiciliary and national, sues Mr. C, an English man and domiciliary, before an English court for breach of a contract. Mr. C, after appearing before the court as a defendant, tells the court that he also has some money to claim from the plaintiff as a counter claim. Now, the English court can subject the former plaintiff (would be defendant for the counter claim) before it if the matter can be considered as counter claim though he is neither physically present nor gave his

consent to the court. The basis in such case is implicit consent that is inferred from his act of suing his rival before the court.

All the above discussed bases of jurisdiction, as you easily understand, are those that are used by common law courts to establish general jurisdiction in personam. In other words, they are ties that link the court with the defendant based on the latter's having of a certain status.

What about bases for assumption of special jurisdiction (in personam) in the common law?

Two points need to be mentioned at this juncture. The first is that, it is when a court faced with a conflict case could not see the matter based on general jurisdiction that it moves on to consider the issue of specific jurisdiction. Hence, if the court has sufficient ground to assume general jurisdiction in personam, it would not consider this second item. If it fails, however, it would as a matter of logic resort to it. From the perspective of a plaintiff, however, special jurisdiction is always an alternative jurisdiction and he is not bound to go to the court where defendant's personal link indicates.

The second important point is that there does not exist a uniformly applicable jurisdictional base for all kinds of conflict matters to establish specific jurisdiction. As such, depending on the nature of the subject matter of the case, the tie/connecting factor/ that is used varies. The bases that are often used for contractual disputes, for example, are different from those that are used for tort or family matters. Our discussion of the bases will, therefore, base the different subject matters. With this in view, let us briefly consider some of the widely accepted grounds of specific jurisdiction in the common law world.

For contractual disputes, generally speaking, place of conclusion of a contract or place of performance of a contract give a court valid jurisdictional base to exercise

specific jurisdiction. It is worth to note that even within the common law category there are some differences and while there are some who accept either of the two as alternative grounds, some countries stick only to one of the two.

In any case, the effect of this is that even when the defendant has no sufficient contact with the court, if the contract which has become the subject matter of the dispute has been concluded in a certain common law state or its performance is agreed to be effected there, then the court can establish special jurisdiction in personam and adjudicate the case.

In matters involving tort/extra contractual liability, there are two alternatives available and a third one, in some countries, that considers the two grounds together.

Countries like the United States of America rely on place where injury occurred (place where the tort act is committed) as a connecting factor. Other countries, however, attach importance to the place where the result of the injury has occurred (place of result of tort). England courts assume special jurisdiction over cases involving tort matters if either of these two elements is fulfilled notwithstanding that a relationship between the court and the defendant could not be established.

An interesting issue *might* arise with regard to the point under discussion when a given country adopts either of these grounds and a certain tort action, committed in a one country, produces effect in another country. Suppose that a British national while in America commits defamation by writing a defamatory statement on the internet against a certain Minister in Ethiopia. In this case, the act of the tort is obviously committed in the United States of America. The place of result of tort (most probably) is Ethiopia. (This is because tort law provides that a person is considered to be defamed when the statement uttered against him

produces a consequence in the form of creating some negative impression in the minds of people around the target). Let us take a further assumption that Ethiopian Conflict rules provide for place of commission of a tort action as a base for assuming specific jurisdiction while its American counterpart provides place of result of tort for same purpose. If in this case the Ethiopian Minister wants to sue the defendant in either Ethiopia or America, do you think courts in these countries can adjudicate the matter? What do you think are the reasons for accepting/ declining jurisdiction?

Let us start from the Ethiopian Court. Since the defendant is neither Ethiopian national nor domiciliary (assuming no consent as well) and since the place of tort is not here, it can't have jurisdiction. The defendant is not an American national (and we assume he is a non-domiciliary). The requirement of place of result of tort is not fulfilled either. So, the answer would be courts in both countries cannot entertain the matter. The only available forum may be Italian courts, as defendant is Italian national and domiciliary. So, from the case, we understand that such difficulties might arise when a cross-border tort is committed.

Some states, however, are keen to assume jurisdiction in all tort cases and as a result provide an either or formula to these jurisdictional bases. And, the problem of the nature we discussed above will not arise at all in these circumstances.

As regards matrimonial cases, i.e., a case pertaining to the determination of marital status or divorce, the role of domicile is so pertinent that in some states such matters are not regulated by specific jurisdiction rules. The reason why general jurisdiction has got so big a role in matrimonial matters in the common law world is the strong belief that the domicile of the spouses shows the centre of their social relations. In addition, it is accepted that the society to which the spouses belong, by virtue of domicile, has an interest in their marital status. The third reason in favor of the stance appreciates the ease which the forum of domicile provides for spouses in contrast to litigation in other places. Anglo-American courts, therefore, exercise jurisdiction over matrimonial matters if, at the time of institution of the proceeding, either the husband or the wife are domiciled in the forum state.

A final point to mention under this section, courts rely on different types of dispute-specific connecting factors for other types of controversies and it is a selective approach that has been adopted here. You are therefore, advised to explore other jurisdictional bases.

Up to now, we have been discussing about bases of general and specific jurisdiction in personam in the common law legal system. In the coming paragraphs we will turn our face to bases of personal jurisdiction in the continental legal system.

B. Personal Jurisdiction in the Civil Law Legal System

There is a point that should be re-emphasized before beginning a discussion in this part- the non existence of the transient rule of jurisdiction in the civil law system. Hence, though service of summons is normal and legally required, it does not automatically result in making the person served amenable to jurisdiction of

courts of that state in whose territories it is served. This, as mentioned earlier, is the most outstanding point of contrast between the two systems.

The Continental law system generally uses three bases for establishing general jurisdiction in personam. These are nationality, domicile and consent. Let us have a look at each of these grounds.

Nationality: Some civil law countries establish general jurisdiction in personam if the defendant (or one of the parties - as is the case in France) is a national of the forum state, regardless of absence of any other connection with the forum.

History evidences that until the beginning of the 19th century domicile was universally recognized as the sole personal law for purposes of conflict of laws. The change from domicile to nationality started in Europe with the promulgation of the Code Napoleon in 1804. The advocates of nationality claim that it is more stable than domicile because nationality cannot be changed without the formal consent of the State of new nationality. However, the principle of nationality achieves the purpose of stability, but by the sacrifice of a man's freedom to adopt the legal system of his own choice.

It is also claimed that nationality is easier to ascertain than domicile because it involves a formal act of naturalization and does not depend on the subjective intentions of the individual. This is undoubtedly true, though there may be difficult cases of double nationality or of statelessness. But it does not necessarily follow that the most easily ascertained law is the most appropriate law.

(2) **Domicile:** Some civil law countries use domicile for general jurisdiction purpose. Examples include: The Netherlands, Germany, France, Italy and Belgium. But it is important to note that the understanding of the concept of domicile in some of these states is different from the one in the common law. In

France, for example, domicile means ordinary residence but a person can have only one residence under French law.

- (3) **Consent:** In a similar fashion to that in common law countries, civil law countries recognize consent as a jurisdictional base. Consent can, therefore, be said is a universally accepted base for the exercise of general jurisdiction over an individual.

While providing a choice of forum clause is allowed as a matter of principle, its application may be curtailed if it goes against the public policy of the state which could have assumed jurisdiction, had it not been for the agreement. Similar to the common law rule, *special appearance*/ appearance for the purpose only of objecting jurisdiction, is not considered as an implied consent. And all the remaining rules we discussed under the common law section of consent hold true here also.

With regard to specific jurisdiction, almost all continental countries exercise specific jurisdiction over contractual disputes when the contract is to be performed in the forum state.

In matters arising out of extra contractual liability, the most widely accepted rule is that the country where the tort action took place will have specific jurisdiction.

Jurisdiction over matrimonial matters in the civil law system is almost similar with the common law approach and is based on the domicile of the parties. Nevertheless, the role of domicile is less when compared to the common law system. Many reasons account for this. The first one is the fact that in some continental countries domicile is an alternative base for the exercise of judicial jurisdiction over matrimonial proceedings, the principal base being nationality. Thus, these countries exercise jurisdiction over matrimonial matters based on domicile when neither of the parties are nationals of the forum state. Secondly, the trend in recent times shows that the

test of domicile is changing to the test of habitual residence of the parties and this is reflecting itself in matrimonial proceedings.

It is my hope that you have grasped sufficient knowledge about grounds of personal jurisdiction in the two major legal systems of the globe. So far so good. Now, I take you to a discussion about judicial jurisdiction in rem.

Jurisdiction over Things (In Rem Jurisdiction)

As a matter of general principle, a court exercises jurisdiction over a thing when that property is found within the territorial limits of the forum state.

For better discussion, however, it would be wise to classify things in to movable and immovable and look how jurisdiction is established.

With regard to immovable property, the universally recognized rule of jurisdiction is the *situs rule*. According to this rule, the court of the state where the thing is located is considered as the only competent court to dispose the case. This rule is also known as the rule of *exclusive jurisdiction*. As can be easily inferred from the name, this indicates that the situs court has exclusive power and no any other court can claim jurisdiction over such matters.

Similarly, a court has jurisdiction over tangible movable (chattels) things within its territory. Hence, disputes involving the issue of determining the ownership of personal property are subject to jurisdiction of the place where such is located. However, this rule may not be applied if the thing is casually within the state or in transit. Some countries provide as an alternative ground the place of domicile of the defendant in such situations.

The issue of intangible property poses a difficulty to which no a clear cut solution is provided. According to some, if the intangible interest is represented in a document (a good example could be a negotiable instrument) the state where the document is located has jurisdiction. Where such representing document cannot be present, however, considering the relationship between the person and the forum would be important.

The rules and solutions we have just considered in connection with jurisdiction over property/things have applicability in both legal systems and there does not exist any substantial difference to be examined separately.

Limitations on the Exercise of Jurisdiction

The various grounds of jurisdiction, when their existence is proved, give rise to a valid jurisdiction for courts. One has to bear in mind, however, that these rules are not absolute at all the time as exceptions lie from them. In other words, there are limitations that operate to deny the forum's exercise of jurisdiction.

Jurisdiction may be limited by a number of factors like constitutional considerations, treaty provisions and public international law rules. Besides, there could be other self imposed limitations by the forum. We shall consider only some of these limitations herein under.

Forum Non-Convenience Doctrine

From our discussions, you might have observed that even when there is proper application of rules on jurisdiction, there could be more than one forum (choice) to bring an action for a plaintiff. This happens because of the existence of more than one ground of jurisdiction. In such occasions, the court before which a case is brought might consider surrendering its jurisdiction in favor of another court for the sake of

avoiding inconvenience and hardship that might otherwise be caused to the defendant.

Forum non-convenience can be defined as:

A general discretionary power for a court to decline jurisdiction on the basis that the appropriate forum for trial is abroad and adjudication at the local forum is inappropriate.

The court that willingly relinquishes jurisdiction, in the case of forum non-convenience, is a court with a valid power to entertain the case. The reason for its handing over of the case is the existence of a more appropriate forum which also, by law, got jurisdiction over the case. It is, therefore, after comparing the relative convenience of the forums that a court reaches at this kind of decision. It can be said that the difficulties that a defendant might encounter in the form in accessing evidence, calling witnesses, language and other problems could be considered by the court when making a decision of this sort.

Even though the doctrine has got general applicability in both civil law and common law countries, the discretion to decline jurisdiction is given only in exceptional circumstances such as family matters in the latter countries as opposed to the more liberal approach in the first ones.

Lis Pendis

As there is a possibility for a case to be submitted to different courts in different countries, a plaintiff might institute a fresh case in a court while that same case is being litigated in a court of another country. The problem that this causes is manifold. It exposes the defendant to extra costs and related difficulties, among other things. Taking this in to account, courts of some states have a discretionary power to grant a stay until the outcome of the case in the other court is known.

What is important to note is, the fact that pendency of a case, as a matter of general principle, does not prevent the forum from exercising judicial jurisdiction. A court can, however, decide to stay the proceeding for some time.

Countries like England, U.S.A, and Germany recognize the Lis Pendis rule and their courts have got the power to order a stay of proceeding. On the other hand, in France, Italy and The Netherlands, pendency of a suit in a foreign court does not bar the forum from exercising jurisdiction.

What is the position adopted in the Ethiopian legal system?

Article 8 sub article 2 of the Civil Procedure Code provides:

Pendency of a suit in a foreign court shall not preclude the courts in Ethiopia from trying a suit founded on the same cause of action

The Procedure code has made it clear that we belong to the second category of countries pointed above. Some writers, however, have voiced their concerns about the exclusion of this principle, especially when one sees that its rationale is a strong one.

Jurisdictional Immunity

Public international law governs immunities of diplomats and international organizations. According to this law, persons that undertake diplomatic activities and personnel of international organizations are exempted from suit in the host state. This is, therefore, a limitation that emanates from a binding law or agreement.

In addition to the above limitations, courts in the U.S.A, for example, consider the constitutional principle of due process to decline from assuming jurisdiction whenever doing so is found to contravene the principle.

Judicial Jurisdiction in Ethiopia

The fact that Ethiopia does not have laws on conflict of laws has a direct impact on the manner our court's handle the issue of judicial jurisdiction. In fact, Proclamation No. 25/1996, the Federal Courts Proclamation, has incorporated some provisions pertinent to private international law. The difficulty, as you will soon learn from the reading of a material to follow, is that, they are meager and hardly provide sufficient solutions to jurisdiction-related questions that inevitably arise whenever a case containing a foreign element is faced.

The proclamation provides under article 5 sub article 2 that suits between persons permanently residing in different regions (of Ethiopia) fall under federal jurisdiction. Additionally (as it is pointed out under sub-article 4 of same provision) cases to which a foreign national is a party are federal subject matter.

Generally speaking both provisions talk about conflict of laws cases. While the first envisages inter-state conflicts situations the latter is concerned with international conflicts cases. Accordingly, the law has made it clear that both types of conflict cases belong to the federal courts' jurisdiction.

Diversity jurisdiction which is a jurisdiction to entertain cases involving persons, who are domiciliary of different regions within a federal country, is a power given to Federal Courts in Ethiopia as is the case in the United States of America. This is believed to protect an out-of-state defendant from local bias that could possibly be encountered in a state court against him/her. Moreover, there is a strong point in making parties from different states litigate in a forum (neutral) to which they both belong, i.e., a federal court. The high quality of justice that federal courts most of the

time deliver (in relative terms) constitutes another reason for granting federal courts diversity jurisdiction.

Moving to the more specific provisions, Article 11 is concerned with first instance civil jurisdiction of the Federal High Court. The provision makes:

- cases regarding private international law (Sub 2(a)) and,
 - application regarding the enforcement of foreign judgments or decisions (Sub 2(c))
- an exclusive province for Federal High Courts.

The crucial point to note is that, though the law has enabled us to know which courts (federal or regional, supreme or high courts) have the power to entertain private international law cases in Ethiopia, we do not have specific rules that guide the Federal High Court to exercise judicial jurisdiction. If we had detailed jurisdictional rules put in place based on which a federal court will decide if it has/lacks jurisdiction, the kind of confusion that our courts are facing currently would not have been encountered. Unfortunately, however, as it stands now, courts rely on different jurisdictional bases the action of which has resulted in judicial uncertainty.

What follows is an article written by Samuel Teshale (appeared on African Journal of Comparative and International Law). In the strong belief that it will help you summarize theoretical discussions dealt with in this chapter and, more importantly, to get grasp of the Ethiopian practice of judicial jurisdiction, it is reproduced here more or less complete. Enjoy reading this very invaluable article!!

Samuel Teshale, Towards Rationalizing Judicial Jurisdiction in Ethiopia, 8 Tilburg Foreign Law Review, pp. 195-215

Introduction

No one can be jealous of the Ethiopian judge presiding over a case of private international law. The absence of codified or precedent system on this field breeds a concatenation of

inextricable difficulties. Left totally to his own devices, the Ethiopian judge is simply at sea in the sea in the face of the avalanche of problems that he should tackle. Without any exaggeration, it is flatly unfair to demand from him: marshalling, analysis, and adaptation of the myriad theories and innovation of most prolific foreign academics. Devoid of certainty, predictability and uniformity, Ethiopian private international "law" presents no nice face to anyone who comes into contact with it.

The major ingredients of this branch of law include judicial jurisdiction, choice of law and recognition and enforcement of foreign judgments. (The latter is already placed in the civil procedure code of 1965). Out of this Pandora's Box, we will, in this article, deal with one of the threshold problems namely: judicial jurisdiction.

What can an Ethiopian court fall back on to determine whether it has jurisdiction to settle the private international law dispute it is seized of?

Hence, after defining and outlining the theoretical parameters of judicial jurisdiction in section II and III, we will briefly discuss, in section IV the practice in foreign legal systems. Section V probes the Ethiopian scenario regarding judicial jurisdiction. Finally, the foregoing alternatives will be evaluated and recommendations forwarded toward rationalizing judicial jurisdiction Ethiopia.

"Judicial jurisdiction" is the authority or power of the courts of a particular state to try a case of private international law. Private international law shall be understood, for our purpose here, as the branch of law dealing with cases containing a foreign element. Where one of parties to the case is a foreign national or domiciliary, or the act or event in issue took place in a foreign country or the property in dispute is located abroad, then the case contains a foreign elements. Conflict of laws may arise in a federal context as well. In this article, however, we refer only to the international "conflict of laws".

3 judicial jurisdictions: an overview of foreign laws

In this section, we will glance through the European litigation handbook to see how judicial jurisdiction is addressed in European countries that belong to the continental or the common law systems.

3.1 natural persons

Except France and Netherlands which consider plaintiff's nationality as a sufficient ground to justify jurisdiction, in general, it is defendant's connection with the forum state that is germane to the issue. Accordingly, England and Wales, Austria Belgium, Denmark, Germany, Italy and Switzerland assume jurisdiction where defendant is their domiciliary. Most of these employ residence also as another ground of exercising jurisdiction.

3.2 juridical persons

There are two criteria for fixing domicile/residence of juridical persons: Siege reel (effective or actual seat), and statutory seat. The first approach looks at the place of principal activities, whereas as the latter bases itself on place of formal registration or incorporation to fix domicile or residence of an artificial person. Hence, Belgium, France, Luxemburg and Germany, for instance, follow the siege reel approach, whereas Netherlands, Austria and Sweden are in favour of the statutory seat criterion.

3.3 Contract

Courts establish jurisdiction to entertain contractual dispute if either the contract is created or is to be performed or both within the forum state. England and Wales follow the first approach; Austria. France, Germany, Norway, and Switzerland follow the second approach while Belgium and Italy take both grounds as appropriate to establish jurisdiction.

3.4 Tort/Unlawful enrichment

In respect of tort, the pertinent criteria are place of tortuous act or place of injury or both. Thus, Austria, Germany and Denmark assume jurisdiction in relation to tort if the wrongful act occurred within their territory. England and Wales, Norway, Sweden and Switzerland

establish jurisdiction if either the tortuous act or the consequent injury occurred within their territories.

3.5 properties

In all states the situs of the object in dispute determines Jurisdiction over cases of property.

Apart from the grounds listed above, parties can, by agreement, choose a court to settle their dispute. In fact this freedom is subject to certain limitations such as an obligation to show a modicum of nexus between the matter in dispute and the forum chosen (Germany), and such other mandatory requirements (e.g. Norway, Sweden and Belgium).

European states have signed the Brussels Convention (1968) and the Lugano Convention (1988) on jurisdiction and the enforcement of judgments in civil and commercial matters. These conventions prescribe uniform rules of judicial jurisdiction. Therefore, the above mentioned rules apply to relationships between those states and non-convention states. The conventions' rules of judicial jurisdiction however must be seen against the peculiar relationship among EC member states. Any project of emulation of this system of judicial jurisdiction must be cautious for this reason.

4. The Ethiopia law and practice on judicial jurisdiction

Apart from the jurisprudential question that may be raised as to existence of "Law" on private international matters, in the absence of enactment or precedent system; and whether it is constitutional to have an inconsistent, unpredictable practice is a serious problem, which, however, is beyond the scope of this article.

By Ethiopian law on judicial jurisdiction, therefore, we mean the provisions scattered in the different codes and the corpus of decided cases.

The Federal Courts Proclamation No. 25/1996 stipulates under Art. 11(2) (a) that cases of private international law fall under the first instance jurisdiction of the Federal High Court. Yet, there are no rules to guide this court in exercising judicial jurisdiction. The court,

therefore, is faced with the task of carving rules and principles to determine when and why Ethiopia shall have a power of rendering judgment over cases containing foreign elements.

What avenues are then open to this court burdened with such a Herculean task?

4.1 Relevant code provisions

4.1.1 The civil code

An interesting argument was once made by High Court of Addis Ababa in *Forti v. Forti*. The court implied that the civil code provisions on domicile (i.e. Arts. 183-191) were destined to serve private International Law. This passing remark of the court could be amplified. It seems that domicile is indeed reserved for private international Law because nowhere in the codes is it (but residence) used for purely internal disputes. On the other hand, we find domicile in use to establish jurisdictions in relation to carriage by air, under Art. 647 Commercial Code, and under Maritime Law (Arts. 208, 237). The reason seems that in those situations foreign elements are normally present in the dispute.

Are we justified, therefore, in holding that it is not nationality but domicile of the defendant (or of plaintiff, at times) that should be considered to establish judicial jurisdiction at least in personam actions? The above arguments suggest this conclusion.

The draft private International Law chapter (which was omitted from the Civil Code) was however based on the nationality principle. Thus, it might as well have been predicated on domicile-based establishment of jurisdiction. At any rate, it was not enacted.

4.1.2 The Civil Procedure Code

The civil procedure code provisions most relevant to cases of private international law are Arts. 8 and 20. Art. 8(2) provides that Ethiopian courts are not precluded from trying civil suites already pending in a foreign court. It must be underscored immediately that this is not

a jurisdiction granting provision. The Ethiopian court must in the very beginning have judicial jurisdiction like the foreign court trying the suit. In that case, the pendency abroad won't preclude it from trying the suit. In that case, the pendency abroad won't preclude it from trying the suit as it does when the suit was pending in another court within Ethiopia.

Art. 20, captioned "defendants residing abroad", is part of chapter three- Local Jurisdiction. It is stated under sub art (1) that where the defendant is non-resident (though Ethiopia by Nationality), suits shall be instituted in any court in Ethiopia at plaintiff's choice. (If the suit relates to immovable property, the plaintiff shall sue at situs of the immovable). If defendant is non-resident foreigner, owning property in Ethiopia, suit shall be instituted in the court of the place where such property is situate (Art.20 (2)). These provisions, like all those under chapter three of the Civil Procedure Code are venue provisions. They apply with the assumption that Ethiopia has judicial jurisdiction. They do not provide rules of judicial jurisdiction.

4.1.3 The commercial code

Art 647 of the Commercial Code captioned "jurisdiction" is a part of the title -carriage by air. Thus concerning contracts of carriage by air any claim for damage may be brought, as plaintiff chooses, in the court of the place where the carrier is domiciled, has principal place of business or has an agent who made the contract or before the court of place of destination.

This provision shall not be cited in relation to international carriage by air as that is governed by the Warsaw convention to which Ethiopia is party. Nevertheless, for "carriage executively performed within Ethiopia" art 647 is the relevant provision. Thus, for domestic flight, if either the carrier or the passenger is a foreign national or domiciliary, that is to say, when the case is one of private international law, judicial jurisdiction has to be determined based on art 647 of the Commercial Code (Note the reference to domicile rather than residence as under chapter of the Civil Procedure Code)

4.14 The maritime code

The Maritime Code also lays rules of judicial jurisdiction under art 208 in respect of carriage of goods, and under art 237 for action for damages incidental to collision. The former establishes a unilateral rule i.e. only for carriage of goods where port of arrival is in Ethiopia. It doesn't tell when port of arrival is elsewhere. Art. 237 on the other hand, is a multilateral provision covering all situations of collision inside and outside of Ethiopia (again note the reference to domicile)

4.2 judicial practices

Ethiopian courts seem to have adopted three different approaches to the issue of judicial jurisdiction. They are:

Approach 1: silence regarding judicial jurisdiction

Approach 2: recourse to civil procedure code

Approach 3: recourse to general jurisprudence

4.2.1 Approach 1: silence regarding judicial jurisdiction

A Court seized of a case of private international law should first establish judicial jurisdiction before settling the choice of law issue. Indeed, it must do so if its judgment is to have any practical value. However, in a number of decisions, we see that judicial jurisdiction is not mentioned at all.

In Verginella v. Antoniani, the couple were married in Dessie and resided in Addis Ababa until the wife later left the conjugal home and went to Italy. The husband petitioned for judicial separation on the ground of desertion (the Civil Code was not enacted yet).

The court started: "The first question to be determined in his case is which law is applicable to the present circumstances". Then, it went into the choice of law process. Judicial jurisdiction was not established.

w/ro Abebech Wolde v. Estate of signor Konstantinov Escrapino is another example. The couples were married in Addis Ababa and Escarpino resided with his wife in Addis for more than five years. Following his death, the wife claimed to succeed to his property on the basis of Italian law. The court reasoned that the marriage was concluded according to Ethiopian law and any issue arising therefrom shall be resolved in accordance with Ethiopian law. Even though this choice of law decision itself is questionable, we will focus here on the omission of the court to mention judicial jurisdiction. It merely stated that by virtue of art 11 (2) (a) of Proclamation 25/1996, the Federal High Court has jurisdiction over private international law matters.

Similarly, in *Nediya Chartes v. Estate of Antonio Chartes*, the court failed to raise the issue of judicial jurisdiction. Antonio chartes was a Kenyan national. The spouses lived in the Ethiopia till the husband traveled to Italy where he died. The wife claims a succession right over the property of the deceased.

The suit was filed first at the Federal First Instance Court, which declined to entertain it on the ground of absence of subject matter jurisdiction. The Federal High Court recognized the case as one of private international law. But, it directly passed to the choice of law process. Since the spouses resided in Ethiopia, succession to the property of one spouse by the other shall be governed by Ethiopian law. The merit of this decision aside, it must be underlined that the issue of judicial jurisdiction was not raised at all.

One may interpolate in all these decisions that the court assumed judicial jurisdiction on the ground of implied consent of the defendant. Though, the record shows that no preliminary objection was invoked by the parties, the author doesn't suppose that the court consciously took this ground for its jurisdiction. If that was the case it would (and should) have been

stated. Secondly, consent of defendant is subject to limitations. The resources of the court and public policy of the forum state may outweigh the decision to assume judicial jurisdiction.

All the same, we are not implying that the court lacked judicial jurisdiction in the cases mentioned above. But if it had, it was not consciously and rationally established.

4.2.2 Approach 2: Recourse to the Civil Procedure Code

Courts or parties to a Private International Law dispute have often enough made recourse to the Civil Procedure Code

(a) by applying the provisions referring to cases containing foreign elements directly to establish judicial jurisdiction, and

(b) by applying the rule for local jurisdiction to determine judicial jurisdiction.

In Dr. Henery Colombo. V. Andrei Lewis Herald, we find the most explicit advocacy of the latter of these modalities. In a contract made in Paris, the defendant acknowledged a debt amounting to 120, 000 francs, of which only 30,000 francs was paid. The contract did not specify place of payment. Creditor's (plaintiff's) address was stated to be Senegal, and defendant's, Ethiopia. The plaintiff filed suit-claiming payment of the outstanding amount.

The court framed the first issue as whether Ethiopia courts have jurisdiction. It then observed:

There is no proclamation regulating (harmonizing) a situation of this nature.... Although our laws are silent on this score, we must examine whether the suit, according to the Civil Procedure Code, could be entertained by the court or not.

The allegation of the plaintiff, based on Art. 19 Civil Procedure Code, was to the effect that Ethiopia has jurisdiction. This provision states that a suit shall be instituted at defendant's residence or place of business.

The defendant, on his part, cited Art. 24 which provides that suits regarding contracts may be instituted either at the place of conclusion or of performance of the contract. Hence, it is Paris (France) which is the appropriate forum.

The court reasoned that, the plaintiff is not forbidden to file suit at defendant's residence or place of business. The provision didn't impose on plaintiffs to file suit at place of conclusion of the contract only. The purpose of these provisions is to facilitate a spotting of the debtor at a likely place by the creditor to effect payment.

The assumption of the court seems that the rules on local jurisdiction can replace rules of judicial jurisdiction. It was not applying the former mutatis mutandis. We will probe the validity of such assumption in the final section.

In W/o Astriad Debahian Jerahian V. Estate of Mr. George Jerahian, the Federal First Instances Court, whose judgment was later reversed by the High Court, also followed the first modality. Mr. George jerahian, Ethiopian by nationality died in Canada. In his will, the deceased bequeathed his property, located in Addis Ababa, to his wife, w/o Astriad Dehahian Jerahian. Consequently, w/o Astriad Jerahian, who is also an Ethiopian national, applied for a certificate of heir as per Art. 996(1) of the Civil Code. The First Instance Court rejected the application on the ground, inter alia, that according to Article 18 of the Civil Procedure Code, the suit should have been instituted at the Awaraja Guezat Court having local jurisdiction. It therefore, referred the case to the Awaraja Guezat court of Canada! In short, the court applied the Civil Procedure provision to recognize the judicial jurisdiction of Canadian courts.

The reversal of this judgment by the High Court was based on Art. 11(2) (a) of the Federal Courts Proclamation no.25/1996. Since the case involves Private International Law, the first instance court should not have made the above decision. It should have simply rejected the case for lack of jurisdiction. The appellant had also cited Art. 4 of the Civil Procedure Code which reads:

Without prejudice to the following Articles, the courts shall have jurisdiction to try all civil suits other than those of which their cognizance is expressly or impliedly barred.

Hence, argued the appellant, the first instance court had the jurisdiction to decide on her application. However, the appellate court didn't take any notice of this argument.

On the other hand, the case of Brigadier General Tafesse Ayalew V. Clarville A.J.Co and Mr. Robert William illustrates the first kind of recourse to the Civil Procedure Code. First defendant is a company incorporated in Liechtenstein and seated in Switzerland. Second defendant is manager of this company. The plaintiff and the defendants had concluded a contract by the term of which:

a/ Plaintiff was to broker purchases of goods, by the Ethiopian government and other clients in Ethiopia from first defendant, and

b/ plaintiff was to receive half of the net profit payable in U.S dollars.

The plaintiff alleged that he had secured the purchase of two air crafts by the Ethiopian Airlines, and two more by the Relief and Rehabilitation Commission. Thus, he was entitled to 291, 639, U.S dollars of which payment was made only of 17,500.00 dollars.

The defendants raised a preliminary objection under Art. 244(2) (a) of Civil Pro. Code, contesting the judicial jurisdiction of the court. Article 12 of the contract provided that any dispute between the parties shall be referred to courts in England, and the Law governing the contract is the law of the United Kingdom. They also pointed out that plaintiff had already begun proceedings in England.

The plaintiff admitted both allegations, but argued that:

a/ The suit instituted in England substantially differs from this suit, and

b/ Pursuant to arts 201(1) and (2) of the Civil Procedure Code, as the defendants reside and carry on business outside Ethiopia, the plaintiff can institute suit in Ethiopia.

c/ as per Art 8(2) of the Civil Pro. Code, even if the suit is pending abroad, the Ethiopian court is not precluded from trying it.

The court reasoned as follows: Art 8(2) would indeed have been relevant if the parties hadn't inserted the choice of court clause under Art 12 of their contract. But by this clause, they have rendered inapplicable all the provisions including Art 8(2), "that grant jurisdiction to Ethiopian courts." If the parties hadn't already granted by their choice, jurisdiction to English courts, then the pendency of a suit abroad wouldn't have barred the Addis Ababa High Court from trying the suit.

4.2.3 Approach 3: Recourse to General Jurisprudence

Hallock V. Hallock is perhaps the best example of this approach. The spouses were Americans who had been residing in the state of Alabama before coming to Ethiopia. The husband applied for dissolution of the marriage on the ground that his wife deserted him. The wife had also filed divorce suit in Alabama.

The suit was first brought before the High Court. The court commented: "As there is no codified law on private International law in Ethiopia, the question of jurisdiction has to be decided by having recourse to the systems most common on the European Continent."

After its assessment of the law in European Countries regarding judicial jurisdiction in cases of dissolution of marriage, it observed that courts assume jurisdiction if defendant resides in the forum state. Therefore, as defendant was not resident in Ethiopia, there was no jurisdiction over the divorce suit.

The plaintiff appealed to the Supreme Court stating that under the law of Alabama, "which both parties have accepted as applicable to them, residence in a state for at least one year of the

plaintiff is sufficient to establish jurisdiction when divorcee is sought on the ground of voluntary abandonment."

The Supreme Court reiterated the absence of rules on the problem and endorsed the resort to "general principles of jurisprudence accepted in other countries". Its exploration of foreign practice was more thorough. It identified nationality or domicile or residence of the parties or of one of them as basis of judicial jurisdiction in relation to matters of divorce in other legal systems. It then focused on the appellants ground of appeal and dismissed it as relevant only to residents of Alabama. The rule mentioned by the appellant was binding on Alabaman courts, not on courts of the Ethiopian empire!

As regards the relative value of domicile and residence, the court preferred the former. No reasons were given for this preference. Nonetheless, as plaintiff was not domiciled in Ethiopia, the court couldn't assume jurisdiction over the suit.

Though, the conclusions of the two courts were the same, they had relied on different theories. The high court selected rules based on the power theory as it took into consideration residence only of the defendant. On the other hand, the Supreme Court was ready to consider domicile of the plaintiff; hence if he was Ethiopian domiciliary, it was prone to entertain the divorce suit. This argument in its sympathy for petitioners of divorce whose spouse have deserted the conjugal home smacks of Fairness theory.

In Brigadier General Tafesse Ayalew V. Clarolle A.J.Co. and Mr. Robert William, and W/o Aynalem Demoz V. Peter Beckensil, the court made a reference to Sedler's "The conflict of Laws in Ethiopia." In the first case, the court extensively quoted Sedler on freedom of choice of court by parties to a contract. This is treated by the latter as derogation from the power theory with the proviso that public policy of a state shouldn't be compromised by such choice.

In the second case, the couple were married in United Arab Emirates according to a religious ceremony of the Anglican Church. As the husband soon got employment in Ethiopia, the spouses moved to Addis Ababa. The wife complained of ill treatment by the husband and

petitioned for divorce at the Federal High Court on the basis of Art. 11(2)(a) of the Federal Courts Proclamation.

The defendant contested the jurisdiction of the court. He claimed that the prevalent practice elsewhere is that judicial jurisdiction over divorce suits is reserved to the courts, of the place of conclusion of the marriage. The defendant cited a passage from Sedler's. "The conflict of Laws in Ethiopia".

No wonder that as the only influential scholar who wrote on the private international Law problem of Ethiopia, a number of courts quote Selder in their decisions.

6 Evaluation and Recommendation

A. Domicile is singled out as the ground for judicial jurisdiction in the majority of court decisions in Ethiopia. Such decisions have inferred that the Civil Code provisions are there to serve Private International Law purposes (e.g Mary Shaltto V. Theodore Shatto). The author regards such inference plausible enough. Nowadays, however, Private International Law instruments are shifting toward habitual residence as a substitute for domicile. For instance, the Rome Convention on Contractual Obligations, and the Hague Convention on International Sales of Goods, employ habitual residence in the place of domicile. Habitual residence is preferred because it avoids the difficulty of discovering intention (animus revertendi) that is central to definition of domicile. The painstaking arguments made by the court in Shatto V.Shatto testify to the difficulty. On the other hand, it still retains the advantages of domicile such as reflection of the close relationship between the party and the forum state, and suitability to inter-state conflict of laws in a federal system.

Thus, we recommend the same shift to be made in Ethiopia in the Maritime and commercial code provisions on judicial jurisdiction and in the judicial practice on other areas of Private International Law as well.

B. We have also noted that a not so few judgments on Private International Law were made with total disregard to the issue of judicial jurisdiction. Lack of judicial jurisdiction over a

case results at least in a) denial of recognition and enforcement (loss of practical value) of the judgment in other states, and b) failure to safeguard the forum's public policy. Therefore, Ethiopian courts should invariably ascertain judicial jurisdiction before going into the choice of law process.

C. Regarding the relevance and suitability of the Civil Procedure Code to determination of judicial jurisdiction, we can make following observations:

The author is of the view that any assumption of judicial jurisdiction based on Art 4 is wrong. The purport of this provision is that courts do not need any special authorization to try civil suits. The reading of the Amharic version shows the emphasis even more clearly. Trial of civil suits is not the power of any institution, but of the courts unless otherwise provided.

In respect of cases of Private International Law, it can only mean that whether or not Ethiopia has judicial jurisdiction shall be determined by courts. Suits of Private International Law are civil suits. However, this cannot and does not mean that the Ethiopia shall always assume jurisdiction over all cases of Private International Law presented to its courts.

- Art. 8(2), on non-preclusion of court to try a suit by reason of the suit's pendency abroad, and
- Art. 20(1) and (2), empowering the court to try suits against defendants residing abroad, are considered, by our courts, to be jurisdiction- granting provisions.

But these provisions as well as those under chapter three of the civil Pro. Code are all applicable in cases containing foreign elements only if Ethiopia has judicial jurisdiction over the case in question.

The more substantive argument is- why don't we still apply these provisions to establish judicial jurisdiction? The reasoning and modality of the decision of the court in Dr.Colombo

v. Andrei Herald indicates this approach. One may reinforce this argument by pointing to the laws of European states on judicial jurisdiction mapped out in section IV.

The author disapproves of such enterprise for the following reasons:

- 1. The local jurisdiction provisions are tailored for domestic disputes. They are a result of division of adjudicatory power by the legislative organ of a state among the different branches of the judiciary. So, local jurisdiction doesn't take into its calculation such vital factors for judicial jurisdiction like harmony, with international practice, recognition and enforcement of the judgment by another state etc.*
- 2. Instead, as adjective to the substantive law such as the Constitution and the Civil Code, their content is predicated on the policy, rules and principles of the substantive law. They are meant to facilitate the process of obtaining the remedies provided in substantive laws. Since the substantive laws are enacted to govern domestic legal relationships under the umbrella of the constitution, they are generally alien to demands of conflicts justice, which is another "brand" of justice, so to say.*
- 3. Even though venue provisions, such as those of the Civil Pro. Code, take into account factors that would be considered by rules of judicial jurisdiction, the weight of the factors might be different for the two purposes. For example, Art 19, which prescribes suit to be made at defendant's residence, is based on the traditional norm of protecting the challenged against the challenger, in terms of travel expenses and the like. In Private International Law cases, such factors may be equally, if not more, vital to the interest of the plaintiff. Travel expenses for instance, of the plaintiff cannot be so lightly overshadowed as in Art. 19, because the plaintiff might be coming from the other end of the world. The expense may be so exorbitant to effectively bar proceedings by him. Therefore, in the case of Private International Law, the rules like Art.19 must be expanded to take plaintiff's side of the problem equally into account.*

4. *The venue provisions are oblivious of the possible exposure of the foreign party to strange institutions, attitudes and values, because they were meant for citizens of a country subject to one legal system. In Private International Law such diversity is so unlimited that it has become a source of "forum shopping" by plaintiffs. Thus, rules of judicial jurisdiction unlike those of venue provisions must be designed to ward off plaintiffs who engage in forum shopping to take advantage of defendants by dragging the latter to inconvenient courts.*
5. *One must be warned against taking at face value of the rules of judicial jurisdiction obtaining in European countries. For example, French rules which regard plaintiff's or defendant's French nationality as sufficient ground for assumption of jurisdiction are held in disfavor by other states. That is so much so that Italy, Belgium and Netherlands have enacted retaliatory measures against those rules. The lesson we learn from this is that those rules of jurisdiction may be results of the states unique historical context, or reaction to each other's policies.*

Many other provisions are also under a barrage of criticism. One can cite for example the ones that are founded on "sheer physical force over parties". Such are considered to be relics of the medieval, feudal thinking, not belonging to contemporary currents of thought that additionally recognize convenience fairness and justice.

In short, the argument that advocates application, for judicial jurisdiction, of provisions of Civil Procedure Code because of their resemblance to European rules is rather shallow.

- C. *the right avenue to follow for Ethiopian courts in establishing judicial jurisdiction, in the absence of legislation apropos thereof remains to be a resort to general jurisprudence. In this connection our courts seem to have leaned heavily on Sedler's prescriptions for judicial jurisdiction in Ethiopia. The number of cases in which he was extensively quoted testifies to his influence.*

According to Sedler, Ethiopian Courts shall have jurisdiction if:

- a. the defendant is Ethiopia national or domiciliary,*
- b. the act or event in dispute occurred in Ethiopia or has significant contacts with Ethiopia,*
- c. defendant has consented to submit himself to Ethiopian courts,*
- d. the action is in rem, when the property in question is located in Ethiopia.*

The author finds the proposal of Sedler unsuitable on the following grounds:

- 1. Jurisdiction based on mere, nationality of the defendant is unacceptable. Nationality indicates political allegiance and it may be artificial. Hence, where defendant has established family and business and resides abroad, it will be unfair to demand his submission to the court of his national state. It could cause him much expense; he may be unfamiliar with the legal system, and more importantly, enforcing the judgment against his property would be impractical. That is why in most countries, and more notably in the Brussels Convention, nationality of defendant to found jurisdiction is pronounced exorbitant.*
- 2. Sedler is an exponent of power theory. He states "... whenever the defendant is an Ethiopia national or domiciliary, there is judicial jurisdiction in Ethiopia irrespective of where the act which is the subject matter of the suit occurred". This is the extreme version of power theory. This doesn't envisage even the forum non convenience caveat characteristic of power theory.*

As a result, the defendant has no means of pleading the exceptional difficulties involved in bringing witness and other evidence, and request a transfer of the suit to another state

- 3. For legal persons, Sedler asserts that if such is established pursuant to the Civil or Commercial Code, it is subject to the judicial jurisdiction of Ethiopia, "even though the transaction on which suit is brought occurred elsewhere. Foreign legal persons, on the contrary, shall be subject to Ethiopia's judicial jurisdiction with respect to*

suits arising out of their activities conducted here". But from the view point of the Ethiopian legal person, it is rather unfair. If the transaction out of which suite arose occurred aboard, then litigating the case in Ethiopia will cause difficulty of brining evidence; possibly of misinterpretation by Ethiopian courts of the law of the state in which transaction occurred and so many other inconveniences. Paradoxically, while the Ethiopian legal person transaction aboard suffers such, the foreign legal person transacting in Ethiopia is saved from this trouble!

4. *Over contracts, Sedler's prescription is that where made or to be performed in Ethiopia judicial jurisdiction is validly assumed. We can agree with the latter. But qualification are needed for the first place of conclusion of a contact may be fortuitous. For example, the contract could be made between transient parties who dropped in Ethiopia (as tourists, for one) by chance. More dramatically, the parties might sign the contract in an airplane on a flight across Ethiopia and while it was in the Ethiopian air territory.*
5. *As regards in rem action, Serdler points out that suits of the property should be the basis of jurisdiction. "The only state that can exercise in rem jurisdiction is the state where the property is situate." But how does this rule apply over intangible property. The general understanding concerning such property is that they have no location in space. As power theory relies on physical presence of the property, it is at a loss in relation to intangibles. Thus, a switch to considerations outside physical presence is needed to solve the problem.*
6. *Finally, consent, is laid down as a ground of judicial jurisdiction. Though, this is correct, in the author's view, but not the extent advocated by Sedler in the following excerpt:*

Suppose that two foreign businessmen, who have offices in Ethiopia, entered into a contract in Aden, where they also have offices. The contract is to be performed entirely in Aden, and does not involve their Ethiopian offices at all. However, the parties agree that all disputes arising

under the contract shall be submitted to the Ethiopian courts. Although the parties are foreign business men and the subject matter of the suit has no connection with Ethiopia, there is judicial jurisdiction.

The defendant is, obviously bound by his words but why should Ethiopian courts spend any sources and judicial time on this dispute that has no value at all for Ethiopia?

To the extent that Sedler's proposals are direct reflections of the theory he subscribed to, the criticisms sow the shortcomings of the power theory. But, a discussion of the relative merit of fairness and power theories more directly would be in order here.

Fairness theory is quite attractive in its empathy for the individual parties and for the co-operative world it envisages and inspires: unfortunately, however, the states in the present world are not yet cooperative in granting recognition and enforcement to judgments of one another. Even in European states which display a not so disparate array of laws, such is the state of affairs that among the earliest measures of harmonization the EC took towers the Brussels Convention uniformizing rules of judicial jurisdiction and recognition and enforcement of foreign judgments.

Judgments are meant to be enforced, and hence power theory, which is bent on ensuring enforcement, is the sound choice. Its shortcomings, nevertheless, must not be lost sight of, foremost being its dependence on physical (territorial) contact. This renders it out of tune with suits arising in respect of intangible property. In such cases, therefore, a reliance on "personal" links is needed.

More significantly still, power theory cannot be taken all the way to the end not to mention in the form drawn out by Sedler.

For one thing, the exercise of this theory to its extreme may instigate reprisal measures. E.g. If Ethiopia exercises jurisdiction pursuant to this theory, while another state has also jurisdiction by this theory but with substantial ground of fairness as well, that and other states may take reprisal measures on Ethiopian defendants litigating in those states.

Besides, despite its “autarchy” the world has always paid tribute to fairness in its rules of judicial jurisdiction. Under forum convenient clauses, for example, the system founded on power theory gratifies the fairness demands of the defendant. As much adoption of this theory is wise, therefore, it needs replenishment with forum convenes provisions. Ethiopia:

- being a poor country, marginalized from the global economy and at receiving end of the commercial dominion of powerful states;
- eager to attract foreign investment;
- exhibiting a blank in conflict of laws policy and legislation that could rationally conditions and guide judicial jurisdiction a notable room must be made for application of forum convenience proviso.

These same circumstances, furthermore, qualify arguments earlier made to the effect that the question of judicial jurisdiction in Ethiopia, in the absence of Private International Law, has to be decided “by having a recourse to the system most common in the European continent”. (emphasis added) Instead, close scrutiny of the circumstances and factors warns us against banking on a foreign “model” law.

Therefore, until such time that the Ethiopian legislator is awakened to his responsibility of coming up with a Private International Law legislation; we venture to recommend only the following: our courts had better adopt in a consistent, uniform and predictable manner- the power theory, in determining jurisdiction over cases of Private International Law. It is also recommended that the forum convenience proviso be a foot having reference to such factors as:

- Convenience of attendance before the court for the defendant;
- Cost and convenience of calling witnesses and bringing evidence before the court;
- Availability of legal advice to the defendant;
- Resources of the court and its familiarity with the laws relied on by the parties.

Chapter Three

Choice of Law

When litigation is involved, the Problem of choice of law is the second fundamental question usually presented to a court/judge charged with the decision of a case involving elements of foreign law. The problem is this: assuming a particular court of a country is properly exercising jurisdiction in a matter, what system of law shall that court apply in order to do justice in the particular case?

In this Chapter an attempt will be made to acquaint the student with the process that is involved in selecting the applicable law in a given conflict case. The student will also be introduced with some of the widely accepted choice of law rules on different subject matters.

The chapter contains two main sections and various sub-sections. The first section concerns itself with the steps that should be followed to identify the applicable law (*lex causae*). It discusses, therefore, the characterization processes, renvoi, incidental question, public policy and the question of proof of foreign law. Section two is entirely devoted to introducing students with basic choice of law rules.

Objectives:

At the end of the chapter you will be able to:

- Explain the steps involved in the choice of law process
- Analyze the place of public policy in the choice of law process
- Explain the difficulties involved in proving foreign law
- Evaluate the different choice of law rules on diverse subjects

Part – One

Identifying the Applicable Law

General Introduction

Once a court seized of a private international law case ascertains the existence of a valid jurisdiction to adjudicate a particular case, the next logical question that it will necessarily confront with will be: among the competing laws of different countries that are linked to the case, which one should apply to reach a just decision?

As you may guess, if courts were to apply their own domestic laws for all cases (those cases containing a foreign element and those which do not- which are purely domestic in nature) invariably, the question of choice of the applicable law would not be an important matter. This is because, in such a scenario, there would be only one choice, i.e., the local law, and practically nothing of a selection would be involved. Nevertheless, because of a strong need on the part of states to deliver a fair and just outcome for parties to a conflict case irrespective of the forum where a case is heard, courts apply a law that has sufficient relation with a case and this law may not always be a domestic one. Furthermore, the application of foreign laws to cases involving foreign elements constitutes a courtesy or respect towards the foreign country whose law is applied. Consequently, there may arise instances where a domestic forum applies a law that is not its own.

At this point comes one very important question: if courts have to apply a law that has the strongest connection with a case and that will ultimately yield a fair result, how can they choose this “relevant law or applicable law” from among all the laws that have, one way or another, a contact with a case and that are competing for application?

To illustrate the issue, if a contract made in Kenya between a Kenyan and an Ethiopian for delivery of oranges in the Sudan is broken by failure to deliver, should the rights of the parties be determined in the Ethiopian court according to Ethiopian, Sudanese or Kenyan law?

The *principles of conflict of laws*, developed from a line of decided cases in the common law world and legislated in the form of statutes in the civil law countries, provide the key to the problem. Those key principles do not claim to state the particular rule of forum or foreign law applicable to a given case; they merely determine the appropriate legal system. They are thus general guides or principles for finding rules.

Dear distance learner, it is very crucial to stress and understand the point mentioned above. What is being said is, courts, when adjudicate on a conflict case, they need to look for a governing law and for them to be able to do that, they have to rely on choice of law rules/principles that are formulated in a general manner. The use of this general choice of law principles does not by itself automatically indicate to the law of a certain named country to apply to a case. Rather, it points in a general manner to characters of a legal system that deserves application. As you will appreciate this in a while, choice of law principles provide solutions based on links called connecting factors and they refer a court to a legal system which qualifies for application.

Now, having said that there exist principles that help courts identify the applicable law, it is sensible to ask how these principles apply to lead a court to the desired destination. We shall, thus, study the whole process that has to be undertaken by courts with a view to selecting the relevant law. Once the appropriate legal system has been ascertained, other steps will follow before the final application of the rule to the disposition of the case.

Characterization/Classification

The course that should be followed by courts to choose the applicable law involves a process known as Classification.

What is classification?

Classification is a normal and necessary process of human thought. We identify and arrange facts, knowledge and experience in to groups and classes in order to understand them better, a process which operates in law no less than in other fields of study.

Classification very simply stated is categorization: it involves the systematic putting in to groups of things, facts, knowledge or any other thing. As the main objective of classifying things/knowledge is to help make easier understanding of the subjects classified or the way we deal with them, it is no surprise that almost every field of study avails itself of characterization. Not being an exception to this trend, the field of law also relies on classification process.

Though the process of classification or characterization exists in municipal law, it becomes chiefly apparent as a problem in the conflict of laws. Within the conflict of laws, classification is one aspect of the general problem of choice of law. Within a municipal system it normally represents no more than a logical or traditional ordering of the concepts, principles and rules of that system in to divisions and subdivisions of the law. To a judge or a lawyer it has always been a common process, and in simple cases an automatic one, to place any situation of fact on which he has to adjudicate or advise in to its appropriate branch of law. If, for example, a death has occurred, the surrounding circumstances may indicate a classification of the legal consequences as a matter of criminal law or of civil law, and within civil law to an appropriate sub-branch, such as tort, contractual breach or succession.

In private international law, the law a court selects as the applicable/governing law massively depends on classification. Classification/characterization is a three stage process. The stages are:

1. Primary Characterization/Classification (Characterization of the Factual Situation)
2. Secondary Characterization/Classification (Characterization of the Connecting Factor) and,
3. Third Stage Characterization/Classification (Characterization of the Proper Law)

We shall look at each of these stages of characterization in a detailed manner in the coming sections.

I. Primary Characterization/ Classification of the Cause of Action or the Factual Situation.

Immediately after the issue of jurisdiction is addressed, a court in a private international law case must next determine the juridical nature of the question that requires decision. And this task is facilitated by the existence, in any country, of “arrangement of legal rules in a system of law under different categories, some being concerned with status, others with succession, procedure, contract, tort and so on”.

What does primary classification mean? As a writer puts it:

The classification of a cause of action means the allocation of the question raised by the factual situation before the court to its correct legal category.

What the court basically performs in primary characterization is; therefore, discovering the true basis of the claim being made. As such, it must decide, for

example, whether the action relates to breach of contract or the commission of tort, whether it raises the issue of formality or capacity, or another matter.

You may ask the relevance of characterizing the factual situation by a court of law. The answer is very simple. Unless the nature of the cause of action involved is determined by a court, it would be impossible to apply the appropriate rule for the choice of law and eventually not possible to identify the governing law. Even in a purely domestic case that contains no foreign element, it would be impracticable for a court to proceed to the dispensation of a case if it did not determine from the very outset the nature of the dispute before it. It will be only after the court knows the type of the dispute that it can select the appropriate law from the category implied by such characterization.

In most cases, the allocation of a factual situation in to a certain category may not be a difficult task for a court to perform. Seldom, however, it may be a tough task.

A difficulty in characterizing may arise due to two reasons:

Firstly, it may be a case near the line in which it is difficult to determine whether the question falls naturally within this or that judicial category. Secondly, it may be a case whether the forum law and the relevant foreign law hold diametrically opposed views on the correct classification. There may, in other words, be a conflict of classification.

To make you comfortably understand these points let us see the following examples.

Example 1. Suppose that a Togolese man who works for the African Union fall in love with an Ethiopian lady. He then approaches the Ethiopian and they start a relationship. The employer, A.U., almost immediately transferred the man for a temporary duty to Darfur, Sudan. Further assume that the Ethiopian lady had promised to marry the Togolese after his return from duty. Once he is back from duty, however, she failed to live up to her words and refused to marry him for some

reason unknown. The man, angered by the decision of the Ethiopian, has instituted a case before the Federal High Court in Addis Ababa.

Now, assuming that you are the judge in charge of this case, how do you characterize the cause of action?

To characterize, let's start by checking whether the factual situation can be considered as a breach of contract. (The reason why we don't look at the family law provisions is because a mere agreement of this sort is not given any status whatsoever, under Ethiopian Family law. Even betrothal, where recognized, involves an elevated level of promise and rituals unlike a simple agreement). From the facts of the case, there was an agreement made between the couples and accordingly, the woman had agreed to marry the man. However, Ethiopian contracts law provides that all agreements do not qualify to be regarded as contracts. Among other things, it requires that the obligation undertaken by the parties must be of a proprietary/pecuniary nature. Weighed on this scale, the agreement obviously fails the test and as a result, the dispute cannot be regarded as a breach of contract.

What about extra contractual liability claim? From your tort law course, you may remind that fault based liability is one of the three types of liabilities that is given recognition under Ethiopian law. For one to be entitled to damage under this law, fault plus injury has to be proved. If we consider breach of promise as a fault, then

the next question becomes whether injury has been sustained by the claimant. Very obviously, the type of injury (if it can be regarded as an injury) can only be a moral one in our case. In a final analysis, therefore, one can say that there is a room for the cause of action to be classified as an extra contractual claim under Ethiopian law.

In contrast, according to English law, for example, until it was abolished, the nature of the remedy for breach of promise to marry was contractual. In French law, on the other hand, when the necessary conditions for its existence obtain, it is delictual or tortious.

Example 2. Assume that a foreigner gets in to a taxi that goes to Hospital Sefer in Bahir Dar after being invited in by the Woyala. Before reaching the destination however, the taxi goes off the road and causes injury to the passenger. Further assuming that the accident resulted solely because of the driver's fault and the passenger instituted a case, what would be the nature of the cause of action?

The likely options for characterizing this case are in to either tort liability or contractual breach. Consequently, the pertinent question to ask would be: did the dispute result from contractual relationship or extra contractual occurrence?

Under Ethiopian contracts law, as you know, offer and acceptance could take either express or implied form. The act of the Taxi-Woyala can be considered as an offer and the fact that the foreigner passenger got in to the taxi, an implied acceptance. If so then it can be said that there existed a valid contract between the passenger and

the transporter. The obligations involved in the contract as can be implied from it are, for the transporter to safely take the passenger to the desired place and for the latter to pay some fee. The injury which resulted from the accident can, therefore, be considered as a breach of the contract as long as it resulted from faulty act/omission of the driver.

The hypothetical cases analyzed above, it is hoped, will amply demonstrate the need for careful appreciation of facts and the law whenever classification of a cause of action in a given case is undertaken. Moreover, what is interesting and essential to note is the possibility that rules of different legal systems could characterize same chain of facts in a given case differently. With regard to the above discussed cases, it may happen that the first case may be classified as contractual breach and the second as extra contractual liability (a polar opposite scenario with our characterization), under the legal systems of other countries. This possibility of different characterization output resulting from the application of laws of different countries amplifies the importance of a correct primary characterization and the high value that attaches to the law that is used to effect primary characterization. We shall turn to the question of which law applies to characterize a cause of action in a while. For now, let us consider additional examples (which are real cases from foreign countries) that would help us strengthen our understanding of the points under discussion.

The first case we discuss is *Ogden v Ogden*. The famous case of *Ogden v Ogden* was a case brought in 1908 before an English court the facts of which are the following. A domiciled Frenchman (a French national and domiciliary), who was 19, married a domiciled English woman in England without first obtaining the consent of his surviving parent, which he was required to do by Article 148 of the French Civil Code. The husband obtained an annulment of the marriage in a French court on the ground of want of consent. The wife then went through a ceremony of marriage in

England with a domiciled Englishman. The second 'husband' petitioned for a decree of nullity on the ground that at the time of the marriage ceremony his 'wife' was still married to the Frenchman.

The court had to decide whether the first marriage was valid. According to English conflict of laws, there were two important rules that relate to the matter:

1. The essential validity of the marriage (that is the husband's capacity) must be governed by the law of domicile of the man whose capacity is under question, i.e., French law
2. The formal validity of the marriage ceremony is determined by the law of the country of celebration of the marriage, i.e., English law.

Before applying one of these rules, the English Court had to determine the nature of the cause of action in this case i.e., it had to characterize the issue of absence of parental consent as an issue of either formal validity or substantive validity of marriage. If French law were to be applied for characterization, the issue could be characterized as an issue of essential validity. On the other hand, English law would consider it as an issue of formal validity. The consequences of characterizing it either ways, definitely, had grater implications. If the French rule characterized the factual situation, the marriage in England would accordingly be void. The second marriage would then, of course, be valid. If, on the other hand, it was characterized as a matter of formal validity using English law, it would be governed by the law of place of celebration (*lex loci celebrationis*, i.e., English law) and the first marriage would be valid (English law rules that a marriage of a minor without parental consent is valid). The English court would therefore come to a different conclusion from the one it would do under the earlier situation. It would, of course, enable the second husband to get out himself from his marriage (which would be bigamous).

From this case as well, you can see that states, sometimes, view (through their laws) the same matter from different perspectives and the legal consequence of doing so

becomes very vast. This fact accounts for the sensitive nature of first stage characterization and the prime importance it is attached to.

In another case before an Indian court, the Court was called upon to adjudicate the question of inheritance to the immovable property situated in India of a married woman domiciled in Tibet. The female had married in polyandrous form of marriage –polyandry being recognized in the Tibetan tribe to which she belonged. The property is claimed by her two husbands and three children on the one side, and by her two brothers on the other. Much will depend the way the Indian Court Characterizes the polyandrous union of the deceased woman. If this union is characterized as a valid marriage her husbands and children would inherit the property. On the other hand, if this union is characterized as no marriage, then the brothers of the deceased woman will inherit the property.

Once again, what can be learned from the cases discussed hereinabove is that there could exist different ways of characterizing same cause of action under varying laws of countries. For this reason, the forum court must carefully characterize the subject matter in a case and for it to do so, it must in the first place determine the law it should apply to accomplish this task.

There is one additional point that should be taken seriously as far as characterization of the cause of action is concerned. Broader classification might not be sufficient. At times, it may not be enough for example to say that the dispute involved is contractual. You may need to further investigate whether the issue at stake is one of formation or performance of a contract. If a case involves a question of validity of marriage, for example, further classification and ascertaining whether the question pertains to substantive validity requirements of marriage or formality requirements need to be undertaken. This will help, as you will see very shortly, to choose the relevant choice of law rule which will in turn refer us to the governing law.

By now, I can guess, you have asked yourself one very crucial question the answer of which provides a solution to the difficulties that are encountered in primary characterization. The question is: based on what law should characterization of factual situation be effected? Or put in other words, according to what system of law must the classification be made?

Do you think that it should be done based on the internal rules of the forum state? Or, based on any other foreign law?

Theoretically, there are three suggested possible answers to this question. The first view holds that characterization should be governed by the *lex fori*, or the law of the forum. The second view advocates characterization under the *lex causae*, or the governing law. The third view suggests that classification must be made on “the essential general principles of professedly universal application of analytical jurisprudence and comparative law”.

The third view could easily win acceptance for it provides solutions in a scientific manner. However, it remains too theoretical and scarcely practicable as there are no commonly agreed general jurisprudential principles.

The widely accepted solution that has dominated the practical world is the view that courts dealing with the question of characterization must invariably apply and decide the issue on the basis of internal law. According to this view, when a court is called upon to characterize a rule of foreign law, an institution, a legal relationship or some factual situation of a foreign country, it must determine it on the basis of characterization made in its internal law provided a corresponding rule, institution or legal relationship exists in the domestic law. If that does not exist however, it should be determined on the basis of the closest analogy available in its internal law

This theory is supported by practical reasons as well. It is suggested:

When a judge is called upon to determine a particular issue, he being trained in the laws of the forum, telling him he cannot but decide the issue on the basis of some other law would mean groping in darkness. Therefore, before the determination of the question as to which foreign law is applicable, the question of characterization has to be answered, by its very nature, in reference to the law of the forum.

It can be said, therefore, that primary characterization is conducted based on the law of the forum country. There lies one exception to this general rule, however. In cases where a court is classifying a property in to movable or immovable, the widely accepted norm dictates the use of the law of the state where the property in question is situate. And, you must remember this exception whenever you are applying the rule.

II. Second Stage Classification/ Characterization of the Connecting Factor

Once the proper legal category has been determined, the next step is to apply the pertinent choice of law rule in order that the applicable law is decided. Remember that we said uncovering the governing/applicable law requires pursuing some steps. At this stage, what a court adjudicating a private international law case should do is, first, guided by the classification of the cause of action it already made, pick the relevant choice of law rule and, second, characterize and apply this rule to be able to identify the governing law that it lastly uses to deliver the final decision on the dispute.

But, before a court goes on to the characterization of the connecting factor in a relevant choice of law rule and then to the latter's application, how does it single out the relevant choice of law rule?

As you might remember from our discussion in Chapter One, a large number of countries have private international law rules in the form of legislations and codes.

Others, chiefly in the common law sphere, rely on unwritten but well established case law. Choice of law rules forms one part of these legislated/unwritten rules of private international law in every country. It is, therefore, by consulting private international law rules, and specifically those on choice of law, that a judge determines the specific, proper choice of law rule.

To have a general understanding of what choice of law rules might look like, have a look at the following commonly used choice of law rules.

- The law that applies to a dispute involving immovable property is the law of the situs.
- If a dispute arises over the question of the formal validity of a marriage, the law of the place where the marriage is celebrated applies.

It is important to note, and it can be seen from the examples, that different choice of law rules are formulated to deal with various subject matters. Hence, those rules dealing with succession, for example, are different from the rules on tort or contracts. If a court has not made successful calcification of a cause of action, therefore, it would inevitably find itself in trouble to pick the relevant choice of law rule at this stage.

As has been attempted to clarify above, choice of law rules like the ones provided as examples are to be found in the private international law rules of countries. And, it is for the judge to select carefully the proper choice of law rule. However, at this level, after choosing the relevant choice of law rule, the second stage of classification comes in to the picture.

As you can see from the examples provided, choice of law rules are formulated in the form of legal propositions i.e., they take if A, then B form. When choice of law rules point out to the law applicable to a certain case, they provide the reference based on some connecting factors. The court needs to characterize the connecting factor as is

found in a choice of law rule and this is what a court does in second stage characterization.

What are connecting factors?

Every factual situation contains elements which, in relation to a given system of conflict of laws, indicate which legal system or systems shall or may govern those facts. These factual situations or points of contact are called connecting factors. They are, simply put, legal elements that link a question in a dispute to a definite legal system. Connecting factors are some outstanding facts or contact points that are found in conflict rules. As already said, conflict rules usually appear in the form of legal propositions and it is based on connecting factors that they indicate solutions.

Based on the nature of the facts involved, the connecting factor that may be used in a choice of law rule differs. The following gives examples of connecting factors:

In matters of capacity/status

- Domicile,
- Nationality or
- Habitual residence could be used as a connecting factor.

In matters of contract, it may be

- Place of making of a contract
- Place of performance of a contract

In a dispute involving property interests, place where a property is located, and in extra contractual claims Place where the tort act is committed/ result is obtained e.t.c can all be connecting factors.

Second stage classification is about characterization of these connecting factors.

Dear distance learner, as a law student you have to always ask the merits of doing or not doing something. In the case at hand as well, there must exist a reason why courts engage in characterizing a connecting factor. What do you think is the reason?

(Try to provide your answers in the space provided below)

Different legal systems could attach different meanings to the same connecting factor. That is to mean 'an identity of name covers a difference of nature or content of a legal idea'. Because of this high probability, therefore, it is important to determine the exact meaning of a legal element/contact point before one proceeds to apply the choice of law rule.

The difference in the conception of domicile in common law and civil law countries is a typical example of this problem. For further understanding on this point, let us consider the following example.

Assume that the choice of law rule of Ethiopia, before whose court a conflict case is brought, provides the following rule: for disputes involving contractual matters, the governing law is the law of place of conclusion of the contract. The connecting factor in this choice of law rule certainly is place of conclusion of a contract. But, a question remains to be answered as to what exactly constitutes place of conclusion of a contract, or what it means.

The task of determining the place of formation becomes a difficult one when the contract is formed between absent parties. From your Law of Contracts lessons, you

may recall that there exist two theories as regards formation of contracts by correspondence; theory of dispatch and theory of acceptance. Accordingly, for contracts concluded by mail or telephone the place deemed as a place of conclusion differ based on application of either of these two doctrines.

Let us further assume, in our case, that the contractual offer was made by mail sent from Uganda which was accepted by the offeree in Ethiopia who sent a letter stating the acceptance. Now, if the Ethiopian court applies Ethiopian contract law to determine the meaning of 'place of conclusion', where would be the place of formation of this contract?

Article 1962 of the Civil Code clearly provides:

“A contract made between absent parties shall be deemed to be made at the place where and time where the acceptance was sent to the offeror”.

Hence, the place of conclusion, according to Ethiopian law, would be Ethiopia and the forum court, we say, is referred to Ethiopian law i.e., the law of place of conclusion of contract. It is possible; however, that Ugandan law recognizes acceptance doctrine. And, it is precisely because of this possibility of having different meanings for the same connecting factor, if different laws are applied, that we need to characterize connecting factors.

By which of the competing laws shall the connecting factor be defined/ characterized, since the same legal-element may receive different interpretations in the laws of different legal systems?

Once again, just like the case with primary characterization, the widely accepted view is that forum law/the law of the country of the court which is entertaining the case/ applies to characterize connecting factors.

There lies one exception to the above mentioned rule and it relates to the use of nationality as a connecting factor. In such cases, forum law does not apply as a rule. Instead, the applicable law for characterization would be the law of the country that is claimed by the person, whose status/capacity is under question, to have conferred nationality on him. The explanation for such an exception is that the law of one state cannot determine whether somebody is a national or non-national of another state and that, if done, would be deemed as usurpation of the sovereign powers of the state concerned.

Dear Student, do not you think the justification provided for the exception is a strong one? Ethiopian nationality law, for example, has laid down principles that explain the manners of acquiring, changing or losing of Ethiopian nationality. If before a Bahamas Court, someone who is claiming to be an Ethiopian, for example, is to have his claim of nationality adjudged and if the court renders decision based on forum law (Bahamas law in this case), do you think that would be a reasonable result?

The answer is in the negative and it is up to Ethiopian law i.e., Ethiopian nationality law, to determine who qualifies to be regarded as an Ethiopian. Same holds true for application of other countries' laws with regard to determining nationality of an individual claiming to possess nationality of a specific country.

III. Characterizing the Proper Law/ Lex Causea

At this stage, a court, having picked the relevant choice of law rule and determining the exact meaning of the connecting factor within that rule, would be able to clearly identify the legal system to which it is referred to by the choice of law rule. It, therefore, knows the law of the country that applies to the case. If the law that is selected by applying the choice of law rules is forum law then, the court applies the domestic law of country of the court without any further inquiries. If, however, the chosen law is a foreign law, there would be some more procedures to follow.

Once a foreign law is selected, a further question arises as to whether the whole foreign substantive as well as procedural law has to be applied by the forum court. Characterizing laws as either procedural or substantive would, therefore, be the next necessary step.

It is almost universally recognized that when foreign law is selected based on the application of the forum's choice of law rules, the selection concerns only foreign substantive law and not procedural ones.

Stating this rule, the renowned private international law scholar, Cheshire wrote:

A distinction must be made between substantive and procedure, between right and remedy. The substantive rights of the parties to an action may be governed by a foreign law, but all matters appertaining to procedure are governed exclusively by the lex fori (the law of the forum).

Hence, it is always important to remember that matters of procedure are governed by the forum law, even when the substantive issue/s is/are governed by foreign law.

What do you think accounts for the exclusion from applicability of foreign procedural laws in the domestic forum?

The department of procedure constitutes perhaps the most technical part of any legal system and "it comprises rules many of which would be unintelligible to a foreign judge and certainly unworkable by machinery designed to different lines." There is a strong point that each court's procedure should be determined by the law of the state that established the court. This solves practical problems as well.

If we agree on the importance of the exclusion, the next questions to ask would be what constitutes procedural rule? And, based on what country's law should the demarcation between substantive and procedure be made?

To start with the second question, generally, the widely accepted view is that forum law applies to characterize a legal rule either as substantive or procedure.

Sometimes you may find it a difficult task to decide whether a rule is substantive or procedural. A case in point is a period of limitation statute. Some people maintain that these types of rules are purely procedural regulations. On the other hand, there are others who consider such rules as substantive. Continental countries belong to the second group while English law, in contrast, regards it as dealing with a procedural matter.

In Ethiopia as well, it will be difficult a task to identify the status of such rules. These rules, one might argue, do not give rights or impose obligations. However, it will also be useful to remember the fact that they are included in substantive laws of the

country (in the Civil Code). I invite you to have a discussion with your colleagues about the status of statutes of limitation in Ethiopia.

For a general understanding of the nature of a procedure, it would be better to briefly mention those matters that form its contents. The following are understood to be procedure areas:

- Determination of the court: this is a matter of internal competence of the court. In any country, there are grades of courts and courts are limited in authority and power. So, such statutes dealing with this matter are procedural.
- Actionability: whether the plaintiff has any cause of action to bring a case is the issue.
- Determination of parties: Who can be a plaintiff and a defendant is a question to be determined by a procedural law.
- Pleadings and process of court: pleadings are the basis for points of adjudication for they contain the allegations, admissions or objections.
- Evidence: proof is a matter of evidence and modes of proof in evidence are generally governed by *lex fori*.

Others include; set offs and counter claims, nature and enforcement of remedies, costs, execution of decree, and appeals.

Renvoi

By following the three characterization stages outlined above, a court will be able to identify the proper law (*lex causae*) that applies to a private international law dispute it is adjudicating. It may be said that what is left after this stage is applying the identified law and finally disposing the case. That is usually the case and particularly so when the selected law happens to be the law of the forum. Hence, if

an Ethiopian Court adjudicating a dispute involving an immovable property located in Addis Ababa, after going through all the three stages of characterization, is referred to Ethiopian law then, what it has to do is simply apply the internal law of Ethiopia that is pertinent to the matter.

It is, however, equally possible that a court would be referred to a foreign law and in such circumstances one further inquiry might be needed before the court applies the selected law. What is this inquiry?

When a reference has been made to a foreign system of law through the operation of the connecting factor, the question arises about the definition of the meaning of 'foreign law'. In other words, when it is decided that an issue is governed by the law of a particular foreign country, what is the meaning to be given to the word 'law'?

Where reference is made to a foreign law, this could be interpreted as a reference to the law that would apply in a case without a foreign element, or to the whole of its law including its conflict of laws rules.

When an American court, for example, decides that the *lex causae* is Kenyan law, does the reference mean the rules of Kenyan substantive law, (Kenyan contract, agency, tort, or property...law that is relevant to the case) or does it refer to law in its wider sense including Kenyan conflict of laws rules? This ambiguity in the expression 'Kenyan law' gives rise to the difficult problem of *renvoi*.

Renvoi (read as *ranvoua*) is a French term which means 'to send back' or 'to return unopened.' You will see from the following example how the meaning of the name *renvoi* describes the problem involved.

Suppose T dies intestate and a question arises concerning succession to his estate. T is British but has died domiciled in France. English conflict rules say that succession to his movables is governed by French law as this was his

domicile. Suppose that by French domestic law, A would succeed to the estate, but that according to French conflict of laws rules, succession would be governed by the law of nationality and this is the law of England. Suppose also that as a matter of English domestic law, B would succeed.

In this case, if a reference to a foreign law is understood as a reference to the whole law including the private international law rules of France, then French private international law rules refer back the case (*renvoi*) to the first system. The British judge in this circumstance cannot figure out the applicable law it needs to apply. And, this may go on forever! So, what is the court to do to solve this problem? Three different theories have developed to tackle the puzzle.

i. Single Renvoi/ Partial Renvoi/ Accepting the Renvoi Theory

According to this doctrine of *renvoi*, if a court is referred by its own rule of the choice of law to the 'law' of another country, but the rule of the choice of law of the other/second country refers such a case back to the law of the forum state, then the judge in the forum state must apply the internal law of his own country. To illustrate the doctrine of single *renvoi*, assume that the Ethiopian Court is directed by its own private international law (assume we had one) to refer the question of performance of a contract to Nigerian law as being the law of the place of conclusion of a contract. When, however, it examines the provisions relating to the choice of the applicable law in the Nigerian conflict rules, it discovers that in a dispute involving non-performance of a contract the applicable law is the law of the country where performance is agreed to be effected i.e., Ethiopian Law. Thus, the Ethiopian court finds itself referred back i.e., to Ethiopian law as being the law of place of performance. The solution, according to single *renvoi* theory is for the Ethiopian court to apply its own law on contracts. In this case, the Ethiopian court has

interpreted the choice of law rule as pointing to Nigerian law including its conflict of laws rules. And afterwards, when it is referred back, it applies its own domestic/municipal law meaning that it recognizes the *renvoi*. This is known as 'accepting the *renvoi*'. It is alternatively called the theory of 'single' *renvoi*.

In the examples given so far on *renvoi*, you observed the problem of *renvoi* in the context of (or involving) only two systems of law i.e., where the reference is merely from the forum country to another and back from that other country to the forum law. This is a situation where *renvoi* appears in its simple form and the process is described as remission. It may happen, however, that a reference is made from the forum law (Country X) to the law of another country (Country Y) and from the law of the second state to a third state (Country Z). This is called transmission. Take the following example:

Suppose that a national of Myanmar died domiciled in Belize leaving movable property in the Solomon Islands. The Court in the Solomon Islands refers the case to the law of Belize which is the law of the country where the deceased was last domiciled. Further assume that the private international law rule of Belize provides for the application of the national law of the deceased. As a result of this decision by Belize law, the case is now referred to the law of Myanmar. In this case, instead of bouncing back, you see that the case is referred across and hence the name transmission. Dear distance student, what if the law of Myanmar refers it to the law of the Solomon Islands as preferring the application of the law of the place where the movable inheritance is located? What should the court of the Solomon Islands do pursuant to partial *renvoi* doctrine?

The answer is very simple. Whether resulting from remission or transmission if a case is referred back to the forum state's law, then the court applies the domestic law of the forum state relevant to the matter, according to simple renvoi theory.

ii. Rejecting the Renvoi or the Internal Law Theory

According to 'rejecting the renvoi' doctrine, a reference to a foreign law is understood as a reference only to the internal rules of that country excluding its private international law rules. The effect of application of this doctrine is that any possibility of a reference back (renvoi) is avoided or rejected. If a reference from Kenyan private international law is made to Ethiopian law, the reference is construed as a reference only to Ethiopian internal law (this could be contract law, agency law or....) that is pertinent to the matter. In this case, though it would have been possible for the case to be referred back to Kenyan law had the latter pointed out to the whole law including private international law of Ethiopia, the doctrine of rejecting the renvoi makes the happening of such a reference back/across unimaginable. Some scholars believe that this is the most logical way of dealing with the problem of renvoi, i.e., denying or rejecting the application of renvoi. In support of this position and ridiculing accepting the renvoi theory, an English scholar had once written as follows:

If England chooses the law of a person's domicile as the best one to apply to a certain relationship, does she mean the ordinary law for the ordinary people, his friends and neighbors, in that domicile? Or does she include that country's rules for the choice of law? Common sense could answer that the last alternative is absurd and otiose: a rule for the choice of an appropriate law has already been

applied, namely our own. To proceed to adopt a foreign rule is to decide the same question twice over.

You have to bear in mind that there are strong reasons for both accepting and rejecting the doctrine of renvoi. The main objective of those who favor the doctrine of renvoi is “to ensure that the same decision is given on the same disputed facts, irrespective of the country in which the case is heard.” On the basis of this justification, by construing a reference to a foreign law as a reference to the entirety of the laws of a country including its private international law rules, a more connected and hence a more just law to a case is sought. For this reason, rather than simply applying the domestic law of the state to which a reference is made, if the laws of the latter country indicate to another law which happened to be more connected to the matter, pursuing the path, proponents of this theory say, is worth the trouble. This reason holds stronger in cases that involve the application of personal laws.

On the other hand, supporters of the internal law theory (rejecting the renvoi) capitalize on the benefits of simplicity and legal certainty. They maintain that renvoi rather complicates the process of selecting the *lex causae* and it results in a situation where legal certainty would be compromised.

The choice that is made to embrace one of these two principles is, therefore, mainly determined by the priority that a state gives to either the principle of certainty or the search for and application of the more connected law.

In the European Union, based on Article 6(1) of the EC Treaty, the Council has adopted the Rome I Regulation (Regulation (EC) No 593/2008 of 17 June 2008 on the law applicable to contractual obligations which will enter into force on 17 of December, 2009). One salient feature of this regulation which will replace the Rome Convention and will be applicable to contracts concluded after its entry into force is

that it has excluded the application of the doctrine of renvoi in contractual matters. The pertinent provision reads:

Exclusion of Renvoi - Article 15:

“The application of the law of any country specified by this Regulation (Convention) means the application of the rules of law in force in that country other than its rules of private international law.”

The reason for the exclusion of renvoi in this Regulation is the high importance that has been attached to legal certainty which the Union wants to attain in all the member states at any cost.

iii. Double Renvoi/ Total Renvoi Theory/ The Foreign Court Theory

The doctrine of double renvoi dictates that a forum judge, who is referred to the law of another country, must apply ‘whatever law a court in that foreign country would apply if it were hearing the case.’ The basic thing in this theory is that the court needs to decide the case in the same way as it would be decided by the foreign court. Considering the following example would make it easier for you to understand the theory.

Suppose that an English court seized of a succession conflict case has been referred to the law of France. Since in reality England follows the total renvoi/double renvoi principle, to decide the case in exactly the same manner as the French court would do, the English judge has to perform the following things:

- First, he/she has to make ‘an imaginary judicial journey’ to France and put himself/herself in the shoes/place of the French judge.
- He/she then has to ask him/herself “what would the French judge do if faced with same legal question?” For example, if the matter is a succession issue, then the question would be: what would the French

judge do if faced with same succession case containing a foreign element?

- He/she would reason: a French court, by looking at its private international law rules, would refer the matter to English law, as the law of the place where the movable inheritance is located. And, English law will refer the case back to France law as this is the law of the country where the deceased was last domiciled. So, the French court at this stage faces remission. Thus, how does it respond to this problem? Or which doctrine of renvoi would the French court apply? Yes, it accepts the remission/the renvoi and hence French Court would apply French internal law.
- At this stage, the English court would directly take the solution that 'the French court would apply French internal law' and apply it in England. The dispute would therefore, be adjudicated in the English court using French internal law in this particular case.

If, on the other hand, the position of French law on renvoi were rejecting the renvoi, it means that the French court would apply the internal law of England. The English judge, therefore, directly applies this solution i.e., English internal law would be applied. It is important to note here that "whatever the French judge would do inexorably determines the decision of the English judge."

Putting what has been discussed above in other words, if the French court would refer to English law and would interpret that reference to mean English domestic law, then the English court would apply English domestic law. If, on the other hand, the French court would refer to English law and interpret that reference to mean English conflict of laws, and would 'accept the *renvoi*' from English law and apply French domestic law, then the English court would apply French domestic law.

The main purpose or advantage of adopting the doctrine of renvoi in general and double renvoi doctrine in particular is ensuring that same decision is given on same disputed facts, irrespective of the country in which the case is heard. This being a big outcome double renvoi yields, there have been, however, some points of criticism thrown against the use of Double/total renvoi. The following are the major ones:

1. There may be an endless/inextricable circle. The effect of applying the doctrine of total *renvoi* is to make the decision depend on whether the foreign court rejects the *renvoi* doctrine or adopts a theory of single or partial *renvoi*. But if the foreign court also adopts the doctrine of total *renvoi*, then logically no solution is possible unless either the forum or the foreign court abandons its theory, for otherwise a perpetual *circulus inextricabilis* is constituted.

To understand the problem without a difficulty, take the following example. Assume that Ethiopia follows double renvoi doctrine and a court in Ethiopia is seized of a conflict matter that involves contract. Further assume that our private international law refers the court to the law of England. England is a country that is known to be a follower of double renvoi doctrine and as such, when the Ethiopian judge goes (imaginarily) to England to ascertain the position of the country on renvoi, it finds out that total renvoi prevails in England. This means that, the law of England implies that the case has to be decided exactly as the Ethiopian court would decide it. The Ethiopian law obviously provides no direct solution other than referring the court to England and this endless circle continues nonstop. In other words the case would bounce back and forth in an endless fashion. A scholar describing this problem has written:

Where is a halt to be called to the process of passing the ball from one judge to another? There is no apparent way in which this inextricable circle can be broken –this international game of tennis be terminated!!

You have to always remember that this kind of problem arises only when both the forum state and the other country to which a case is referred to follow the doctrine of double renvoi. In fact, if the other country to which the forum court is referred to follows a different renvoi doctrine, then a halt would be made to the possible circle that would be created and, therefore, no problem of 'the endless circle' will be confronted.

The other important fact that needs to be mentioned in relation to this problem is that the doctrine of double renvoi is unrecognized in countries outside the Commonwealth. The possibility that the problem will be happening becomes lesser as a result.

2. The total renvoi doctrine is difficult to apply. The doctrine requires that the forum judge ascertains the precise decision that the foreign court would deliver. It also makes everything depend on the evidence of foreign experts. It requires proof not only of foreign choice of law rules, but of foreign rules about *renvoi*.

Now that you have been sufficiently exposed to the doctrine of renvoi, its application, the various problems associated with it and, of course, the advantages it brings in the form of ensuring uniformity of decisions irrespective of forum, it is time to consider what the Federal Draft Rules has in its stock with regard to the doctrine of renvoi.

Article 35. Renvoi

1 where a foreign law is applicable under this proclamation and the rules relating to private international law of that country provides that another foreign law is applicable, then such other foreign law shall be applicable, and if such other foreign law does not consider itself applicable, the law of the country with significant connection to the case shall apply.

2 Where under this proclamation, a foreign law applicable and the matter is referred back to Ethiopia, Ethiopian law shall apply.

According to this provision of the Federal Draft Rules on renvoi, how is a reference to a foreign law understood? Is it as a reference to the whole of a foreign law, including the private international law of a state or only the internal law, excluding private international law rules? Why?

It is clear that the provision provides for a reference to the entirety of a law of a state when it talks of a reference to a foreign law. Sub article two concerns itself with cases of remission and it provides that internal law theory is preferred.

As for sub article one, when transmission is involved, it is provided that the internal law of the third country applies if that law has finally been selected. However, if the reference does not stop after the third state, the court is entitled to choose the law with a significant connection to the case. This is a measure designed to give a stop to a reference from one country to another and from that still to another.

The Incidental Question

Private international law cases most of the time involve one major legal problem. Sometimes, however, a subsidiary legal question might appear in a case intermingled with the major issue brought before a court of law. These questions of private international law that come hinging on a major issue are termed as incidental questions or subsidiary issues. Some scholars also refer to questions of this type, alternatively, as preliminary questions. An incidental question is one that arises in connection with the major question in a case. Thus while the main question may be succession, we may also need to know, first of all, whether the person claiming as the deceased's widow is indeed his widow. The incidental question here would be the validity of the marriage.

The best way to understand the incidental question is to give an example. Suppose a Greek national dies domiciled in Greece leaving movables in England. If the case is brought before English court, the English rule would refer the distribution of this part of his estate to Greek law. Suppose also that under Greek law his widow is entitled to a proportion of the deceased's estate.

The marriage was concluded in England and, though valid by English domestic law (which an English court may apply since it is the *lex loci celebrationis*), is void by Greek domestic law (which is applicable under Greek conflict of laws rules) because no Greek priest was present at the ceremony. Should the widow's claim be determined by the English or Greek conflict rule? There are different views:

_ on one view, the widow should not be permitted to share in the estate because otherwise full effect would not be given to the English conflict rule that succession to movables is governed by Greek law.

_ on another view, she should be permitted to do so otherwise full effect would not be given to the English conflict rule that the validity of the marriage is governed by English law.

From the above case, you might have observed that the major issue involved was the issue of succession to movable property. For the English Court to determine on the question of the amount of entitlement a widow should have over a property of her deceased husband, it was necessary that her status as a wife to the late person, meaning that her status as a widow, be established first. At this stage arises the question of what law to apply with regard to the incidental question. As you have seen the options above, some suggest the application of the *lex causae* (the law that applies to the issue of succession-the major issue in this case) to the incidental question. Others, however, prefer the application of the choice of law rules of the forum. A third group of scholars have forwarded as a solution the determination of the problem depending on the nature of the individual case and the policy of the forum.

The incidental question is rarely found in the cases. And, the most obvious examples featuring incidental questions are found in divorce and remarriage cases.

For an incidental question to arise, all the following three facts need to exist:

- (i) there must be a main issue governed (under the forum conflict rules) by a foreign law.
- (ii) there must be a subsidiary question involving a foreign element which has its own choice of law rule (which could have arisen separately), and
- (iii) this choice of law rule should lead to a conclusion different from that which would have been reached had the law governing the main question been applied.

For a better understand of the issue of incidental question, and for you to be able to check the presence of the requisite elements of incidental question in a given case, I have reproduced the following shortened form of a decision given by a Canadian Supreme Court.

Schwebel v Ungar

The facts of Schwebel v Ungar, (a Canadian Supreme Court decision) are that a Jewish husband and wife domiciled in Hungary were married in Hungary. They later decided to

emigrate to Israel. While en route in Italy, the husband divorced his wife by issuing a Jewish bill of divorcement (known as a 'get'). Under the law of Hungary (their domicile) and Italian law, the divorce was invalid, but it was recognized by the law of Israel. They acquired a domicile of choice in Israel. Subsequently, the wife went to Toronto and, while she was still domiciled in Israel, married a second husband. Her new husband brought proceedings for nullity on the ground that the marriage was bigamous. The Supreme Court of Canada by upholding the second marriage and without recognizing the divorce held that the marriage was valid.

Now, try to answer the following questions based on the facts in the case. Do you think that all the three elements of an incidental question are fulfilled in this case? If your answer is in the affirmative, what do you think is the major issue and what is the subsidiary question involved?

There is a main issue in this case, the wife's capacity to marry, which has to be governed (under Canadian conflict of laws rule) by a foreign law, i.e., by the law of domicile of the person whose capacity is under question. This law at the time the Canadian Court was adjudicating the case was Israeli law.

As to the existence of a subsidiary question involving a foreign element which has its own choice of law rule, in this case the validity of the divorce made in Hungary is incidental question and normally issues of divorce have their own choice of law rules in conflict of laws of countries and the same holds true for Canada.

The validity of divorce, according to Canadian conflict rule, will be governed by the law of country of domicile of the spouses at the time when the divorce was made i.e., Hungary law. You can see that Hungary law does not recognize this specific divorce and hence, the result that would be obtained under Hungary law and the one under Israel law are polar opposite.

It is after making legal analysis of the above type that one can make a conclusion about the presence of an incidental question in a case.

Public Policy and the Exclusion of Foreign Law

I. The Public Policy Exception

Even if a legal issue is determined to be substantive for purposes of conflict of laws, and even if the forum's choice-of-law rules determine that foreign law should apply to the issue, it does not mean that such a foreign law surely applies to the case. Forum courts may yet refuse to apply the foreign law if it is "offensive to the deeply ingrained or strongly felt public policy of the state." Justice Robertson of the Mississippi Supreme Court expressed the rule as follows:

[W]e recognize that there will be cases where, applying the center of gravity doctrine, we might conclude in the first instance that the law of another state should be applied. Where that law is contrary to the deeply ingrained and strongly felt public policy of this state, however, we have recognized that we may not apply and enforce this state's positive substantive law.

The fact that the disposition of a certain case is decided to be undertaken based on a foreign law does not necessarily imply the application of the selected foreign rule. Public policy provides an exception to the normal operation of choice-of-law rules. The rule, simply stated, provides that if the application of a foreign law runs contrary to accepted norms, morality and accepted sense of justice of the forum state then its application should be differed. Owing to this exception, therefore, the forum court will not apply a foreign law, otherwise applicable according to the forum's rules of conflict of laws, if the law, or the result of its application, is contrary to public policy.

It is also very important to note that what is usually in question is not the foreign law as such, but the results of its recognition or enforcement.

Defining public policy, admittedly, is a difficult task. Public policy is a very fluid concept that sometimes everything can fall within its ambit. To avoid or minimize this problem in conflict of laws, it is obviously necessary that public policy be kept within limits, for otherwise the whole basis of the system is liable to be frustrated. Additionally, courts should also be slower to invoke public policy in cases involving a foreign element than when a domestic legal issue is involved.

Recognizing the difficulty in drawing the boundaries of public policy, Article 16 of the Rome Convention provides that the application of the law of any country may be refused if its application is 'manifestly' incompatible with forum's public policy. Note that the word 'manifestly', suggests a very limited role for public policy in this area. Besides, it is almost a universally accepted principle that what qualifies for an exception has to be defined narrowly. Same should hold true for public policy exception.

There is a general consensus that a significant difference between forum law and foreign law alone does not imply violation of forum public policy and does not bar a foreign law from applying.

If, for example, the tort laws of the forum state follow the principle of actual damage for assessment of compensation while the foreign law selected as *lex causae* adopts punitive damage doctrine, there exists a substantial difference between the remedy the application of the two laws provide. Nevertheless, the foreign law, if applied in this case, cannot be considered as going against public policy.

What do you think should a court that has rejected the application of a foreign law on public policy reasons do to case before it?

Similar to the existing solutions to a situation where a party fails to prove foreign law, the options available are two. One is to apply forum law. The other is to dismiss the case. Some states follow the first option while some others take the second. You may turn a few pages and read the merits and demerits of these ways out in the part that deals with proof of foreign law.

Public policy can be invoked in any area of conflict of laws. It is very common, however, in relation to disputes over status and contract. We will see this in the subsequent chapter that deals with the issues of recognition and enforcement of foreign judgments. I now give you two questions on this topic and pass to the discussion on the next part. Please write your answers in the space provided below. You should also try to substantiate your answers with strong reasons. I believe you are going to do that!

Do you think an Ethiopian court will recognize a gay marriage celebrated where this is allowed?

Will Ethiopian Court recognize a marriage where the wife is 15 years old? What difference would it make if she is the husband's cousin? Or if the husband himself is only 15?

Non-Applicable Foreign Laws

It is an almost universal principle that one state will not enforce criminal, administrative and tax laws of another state. Although there is very little authority for this additional category, some authorities suggest it is rational that claims for the enforcement of foreign laws which are analogous to penal and revenue laws should

be dealt with similarly. These would include, for example, laws about nationalization and laws regulating exchange control.

What do you think is/ are the reason/s for their exclusion?

Because, it is believed that enforcement of such claims is an extension of the sovereign power which imposed the taxes or penalties. Criminal law and tax law are public laws and as such their application is never extra-territorial. In addition, 'an assertion of sovereign authority by one state within the territory of another, as distinct from the patrimonial claim by a foreign sovereign, is (treaty or convention apart) contrary to all concepts of independent sovereignties'.

Remember also that we have said, in our discussion in chapter-one about definition and scope, conflict of laws concerns itself with transactions of a private nature. Disputes involving the application of tax or criminal law must be public by their nature. As a consequence, they are not within the scope of conflict of laws and foreign laws regulating such matters do not have any application whatsoever, in the forum state.

Turning our face to what the Federal Draft Rules on Private International Law provides on the issues of public policy and excludable laws; Article 37 comes to the forefront. The full text of the Provision reads:

Article 37 Exclusion of Application of Foreign Law

The application of provisions of a foreign law shall be excluded if the outcome is incompatible with Ethiopian public policy or to fundamental principles of justice and fairness and to such principles as are laid down in international human rights legislations.

As you can see, the draft rule tries to enumerate the grounds based on which a foreign law may be excluded from application in Ethiopian Courts. The difficulty that attaches to concepts like public policy being inescapable, it is worth welcoming this draft rule for its incorporation of 'human rights' as one check before a foreign law is applied.

It appears, however, that the draft rule does not talk anything about the types of excludable foreign laws. One may guess the obvious nature of this exclusion has led the drafters to give the matter no-emphasis.

Proof of Foreign Law

The issue of proof of foreign law relates to the status that a foreign law is accorded in the forum state. It is a question about whether or not parties need to prove a foreign law that they have pleaded in a litigation and, if they shoulder this obligation, the manner how they proceed to discharge it.

As you know, any legal dispute involves either a question of fact or law or both. In a purely domestic case that does not contain foreign element, parties plead facts and it is up to the judge to select the proper law that should govern the case. In our case as well, according to the Ethiopian Civil Procedure provisions, pleadings are required to be a concise summary of facts and generally speaking a party should not plead a law (laws can only be pleaded exceptionally when they are the issue of contention themselves). Concerning facts that are pleaded, the rule of evidence dictates that whoever pleads a fact must prove it. The law, however, has to be selected by the

judge that is in charge of the case. This is because judges have the duty to take judicial notice of all the existing laws in a country. Accordingly, parties are free from any duty related to pleading and proving a law in a domestic case.

The issue becomes different and undeniably more difficult when the law to be applied is a foreign one. Given the diversity of laws existing in the world and the fact that judges are placed to adjudicate on domestic matters primarily, it may be difficult to expect them to master on all the laws of different countries as they do on the laws of their own state.

The issue of proving foreign law, in contrast to domestic law, has, therefore, received different policy responses. And to the question 'What status should a foreign law be given in the domestic forum?' there exist two answers that are reflective of positions adopted by states.

- i. Foreign law as a question of fact: In countries like England, U.S.A., Spain, Portugal and France, foreign law is conceptualized as a fact. This has the following consequences: - it must be pleaded by the parties.

- it must be proved just like facts, and

- The domestic court does not take judicial notice of foreign law.

Within this big category, some states take the question of foreign law as any other fact while others, still treating it as a fact, give their judges some degree of discretion. In America and England, which belong to the first group, parties should prove the existence and content of a foreign law pleaded as any other fact has to be proved by them. In France, however, though it is treated as an issue of fact, the judges can take judicial notice of a foreign law pleaded should they know it. This may happen when the law in question is a very famous law or if the judge has some prior knowledge of it.

ii. Foreign law as a question of law: Private international laws of many European countries, including those of Italy, Germany and the Netherlands and other states like Japan and South Korea consider foreign law as a law. The consequences are:

- Courts are required to apply foreign laws *ex officio*, meaning that they should contact their respective ministries of justice or ministries of foreign affairs or any other appropriate bodies with a view to seeking information concerning those foreign laws they intend to apply.
- Parties are hence not required to prove it

Within this group, however, there are sub categories. One consists of countries that consider foreign law as a domestic law and the other, those who do not. In states where foreign law is equated with domestic law, the judge shoulders the duty of judicial notice exactly in the same fashion with his duty with regard to the domestic law. A good example in this case is Italy.

In countries like Germany also, they consider the question of foreign law as a law but not exactly as a domestic law. The result is that even if foreign law is treated as law, it is not put on equal footing with domestic law and the judge has the discretion to call in the parties to assist him in finding the relevant law. A judge who must take judicial notice of foreign laws as in Italy can not involve parties in the search for the law and its contents. That is precisely what marks as a line between the two sub-categories.

From the discussion above, you have seen that where foreign law is considered as a law, it will be up to the judge to ascertain the contents of the foreign law and to determine the case based on it.

In states where a question of foreign law is regarded as a question of fact, on the other hand, pleading and proving a foreign law is to be undertaken by the parties. In connection with this case i.e., when foreign law has to be proved by parties, further examination of the following questions is important: who, among the parties, bears

the burden of proof? what is it that is required to be proved? How would one prove a foreign law and finally, what would failure to prove a foreign law entail?

Burden of proof

The burden of proving foreign law lies on the party who bases his claim or defense on it. This is in accord with the maxim in evidence law which goes “Whosoever pleads a fact must prove it.”

What to Prove?

Generally, a party who has to prove a foreign law should prove two things satisfactorily.

- i. that the right/ duty he claims emanates from that particular law(the basis of the right as emanating from the law)
- ii. that the particular foreign law is applicable/ the right enforceable in the country of origin. (this includes proving that the law has not been repealed or amended)

Mode of proof

In the majorities of countries of the world, foreign law must be proved by expert evidence. But, ‘Expertise in foreign law is easier to describe than define’.

Who do you think should qualify to be an expert witness with regard to a certain foreign law? A law Professor from the country whose law is under question? A judge from same country? Someone with a law diploma in Ethiopia where Ethiopian Law is to be proved? What about a person who has no legal education? Reflect on these questions and write your opinion in the space provided below please.

A judge or legal practitioner from the foreign country is always competent. In England, for example, the Civil Evidence Act 1972 s.4 (1) provides that:

in civil proceedings a person who is suitably qualified to do so on account of his knowledge or experience is competent to give expert evidence as to foreign law irrespective of whether he has acted or is entitled to act as a practitioner [in the foreign country].

In England, therefore, competence is not limited to practitioners in law. Consequently, an academic lawyer who has specialized in the law of the foreign country is competent. Someone with practical knowledge of the law, though not a lawyer, is also competent.

It would be difficult for a law maker or court to put some criteria concerning educational status or level of education of a would-be expert witness. That is why most legislation requires a general level of knowledge or experience and do not have specific and detail criteria. It may be argued, therefore, even if a person has no legal education, he/she can be competent as long as the “sufficient knowledge or experience” test is satisfied.

What to do when a party fails to prove foreign law?

In cases where there is no adequate proof of foreign law in the record, jurisdictions are divided over the appropriate judicial response. There are three possibilities:

- 1) The court may apply forum law (an approach supported by the traditional presumption that foreign law is identical to forum law in the absence of proof to the contrary) England is a good example wherein this approach is espoused.
- 2) The court may dismiss the claim (or bar the defense) on the theory that the party failed in his/her duty to make out a prima facie case (The idea is that since the right a party claims emanates from or depends on the very law which he/she is now unable to prove, the court should not base its decision over something non-existent and hence should dismiss it)
- 3) The court may make certain reasonable presumptions about foreign law.

Critics of the first approach maintain that application of forum law while foreign law has already been referred to defeats the whole idea of conflict of laws. They also consider it as forum favoring solution.

Those who criticize the second approach raise their voice high and assert that a court of law always has the responsibility (that cannot be compromised) to administer justice. Accordingly, to dismiss a case for a foreign law could not be proved amounts to denial of justice to the parties and failure to respect the main reason why courts are incorporated.

The third alternative, though looks very logical, may be practically difficult to implement. It may also subject the determination of the rights and duties of parties to a subjective appreciation of things by the judge.

Overall, none of these solutions is without a drawback and the determination to go for one of them depends on different points of consideration.

Turning to the issue of proof of foreign law in Ethiopia, Ibrahim Idris, in his article titled The Applicability of Foreign Civil Laws in Ethiopia has opined the following:

In Ethiopia, there are no rules which are concerned with what should be the status of foreign laws. Nevertheless, by taking in to account Proclamation No. 1/1934 concerning the status of Ethiopian laws, one may venture on what should be the status of foreign laws in Ethiopia.

According to this Proclamation, issued to establish the official Negarit Gazzeta, all laws which are applicable in Ethiopia should be published in the Gazzeta and courts are duty bound to take judicial notice of only those laws published in the Negarit Gazzeta. Hence, argument a contrario, because foreign laws are not publishable in the Gazzeta, they are not exactly of the same status as the law of Ethiopia. Thus, although foreign laws may be established to be the appropriate governing law, the Ethiopian courts will not take the initiative in ascertaining the content of such foreign laws with a view to applying them to resolve a dispute submitted by parties concerned.

Apart from this, however, if the parties plead and prove the content of foreign laws to the satisfaction of courts, in the same manner as other facts are proved, Ethiopian courts should not or could not maintain that they would not apply such foreign laws.

What do you make of this argument? If one reads this argument based on Proclamation 3/1995 *mutatis mutandis*, do you think the argument can still be sustained?

The Ethiopian Federal Draft Rules of Private International Law in its Article 36 lays down a principle of proof of foreign law that it has espoused. The provision reads:

Article 36. Proof of Foreign Law

1. The burden of proving the necessity of applying a foreign law and the content of the applicable foreign law shall lie on the party who asserts the application of that foreign law.

2. The evidence submitted by any party to prove the contents of foreign law shall not be binding on the court which may establish the contents and interpretation of a foreign law from its own investigation.

3. Where the Ethiopian court is satisfied that the contents and interpretation of a foreign law is not sufficiently clear, in whole or in part, to enable its application, the court may, to such extent as may be necessary apply Ethiopian law instead of the foreign law.

Dear student, which of the varieties of approaches of proof of foreign law have the drafters incorporated in this draft rules?

By putting the burden of proof on the parties, the Ethiopian Draft law looks to belong to the group that considers foreign law as a fact. However, it also gives the court the discretion to make its own investigation into a foreign law and this makes it closer in particular to the French approach. The draft law clearly favors the application of Ethiopian law should a party fail to prove foreign law. But you should always keep in mind that this is not a binding law, we are studying the draft Articles in the hope that they will help you understand the future law.

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Chapter Three (Part-One) Review Questions

1. What do you think is the purpose of characterization (classification)? Can you indicate the basis on which courts characterize cases?
2. Indicate where the principal difficulties in characterization arise.
3. Explain the ambiguity of a reference to a foreign 'law' and describe the different approaches to solving the problem.
4. Explain what is meant by 'the incidental question' and describe the ways to solve the incidental question.
5. Describe the different concepts of renvoi and give examples by using hypothetical cases.
6. Explain the role of public policy in the conflict of laws.
7. What is the relevance of proving foreign law and what alternatives are there to deal with it?
8. What are the implications of regarding foreign law as a fact?

Part – Two

Choice of Law Rules

In this second part of the chapter, you will study different rules of choice of law on various subjects. Having learnt about the process that will help identify pertinent choice of rules in the previous part now is time to acquaint you with choice of law rules on the most common transactions of personal and commercial nature. As you progress reading this part, you will find that the rules we will consider are alternative rules that are found incorporated in conflict of laws rules of countries. You know very well that there are no uniform rules of conflict of laws that command universal acceptance. That is precisely the reason why we study the diverging rules. As we proceed, we try to look at the pros and cons of the rules we study. You may select what you think is the best rule but do not forget to base your selection on strong justifications.

Choice of Law in Personal Matters

When a private international law case raises the issue of determining the status or legal capacity of an individual, what law should a court apply to dispose the case?

Before considering the available choice of law options, it will be helpful to provide a brief clarification on the concepts of status and capacity.

What do you understand firstly, of status and also capacity? Do you think these concepts are one and the same or different? Please write your opinion in the space provided below.

Status is defined as the condition of belonging to a particular class of persons. "It can be described as a person's legal condition, either absolute or in relation to another person, and carries with it rights, duties, incapacities, capacities, powers and disabilities."

As the law assigns certain legal capacity/incapacity to persons that belong to a class, they are different, in some respects, from ordinary persons. There are some generally recognized statuses in the world. For example: Minority, marriage, mental defect, profession, official position....

The rules governing status are designed to benefit society as a whole as well as the individual. As a result, the society, rather than the individual, decides how and when they can be changed. Hence, 'If I wish to have a status of a married person, I cannot acquire it merely by living with my girl friend. Society lays down a particular ceremony which has to be gone through before my status can be changed.'

When we turn to capacity, it refers to legal competence/qualification of a person to engage in a specific/particular transaction. Hence, capacity to conclude marriage, capacity to enter in to a contract.....

The relationship between the two concepts is that while status is a bigger class capacity may be regarded as a part of it.

What law should govern questions of capacity and status? There are three positions identified.

-The Common Law Approach: in this system the issue of personal status/capacity is governed by the law of the domicile of the parties involved. Hence, the *lex domicilii* rule applies.

-Civil Law Legal System: Questions of status and capacity are determined by the national law of the parties (sometimes, law of country of residence).

-Approach followed by Latin American Countries: they follow a mixed approach and consequently, either law of country of domicile or national law of the parties applies.

It is important to mention that the third approach is heavily criticized for reflecting a selfish interest of the forum to apply forum law in all circumstances. This is because, since the rule is put in an 'either or' form, the forum court will always apply its domestic law as the latter can easily be selected either as the law of domicile or national law of the parties involved.

The advantages and disadvantages of pursuing one of the first two approaches have already been discussed in Chapter two in connection with personal jurisdiction. It suffices to remember that domicile, while perfectly fitting and being the sole effective connecting factor in federal settings or in inter-state conflict situations, the difficulty with which the subjective element in it is established makes it a difficult choice. Nationality, on the other hand, can easily be established but cannot serve as a connecting factor in inter-state conflicts and sometimes the accompanying problems of statelessness and double nationality may pose greater difficulties.

Dear student, to be able to appreciate the position taken in this regard in the Federal Draft Rules, I, as usual, refer you to the specific provisions concerning applicable law in issues of status and capacity. (Articles 42- 45) I, in particular, advise you to study carefully the exception provided under article 44 of same.

Choice of Law- Marriage

Marriage, as pointed out earlier, is a status. It is a status conferred by law upon a union between man and women (at least in countries where same-sex marriage is not recognized) whereby they assume certain rights and obligations. Our interest in marriage here relates to identifying the governing law that courts should apply whenever legal problems associated with marriage arise.

Questions linked to marriage in private international law can take one of the following forms: questions of formal validity or questions of essential validity of marriage. Generally speaking, the following are the choice of law doctrines that are widely accepted in relation to issues of formality and substantive validity of marriage.

1. The form of the marriage is governed by the *lex loci celebrationis* or the law of the place where the marriage was celebrated, and is usually considered definitive on whether the ceremony has been effective to create the relationship of marriage.
2. The essential validity of marriage is governed by the law that determines capacity of the parties to marry each other. That capacity is usually governed by the law of domicile of the parties at the time the marriage is celebrated in the common law and law of nationality in the continental world. Thus for example, a 13 year old does not have the capacity to marry in England, but does have that capacity in Nigeria (Northern Muslim Community). The other matter that is considered as one of the substantive requirements for the validity of marriage is the issue of consent.

On the position of the Federal Draft Rules on this matter, refer, in particular, to articles 46, 47 and 48, and on more general issues that relate to regulation of marriage and its effects, articles from 49 to 56.

Choice of Law- Contract

When a contract involves a foreign element, and a dispute arises out of one or more aspects of it, the question of what country's law applies becomes a necessary one as it would be in all other types of disputes.

Generally speaking and almost in all countries of the world, if parties to a contract have agreed on the law that would apply to their case in advance, then their choice would be respected. Parties can specify the law that should govern their contract well before a disagreement arises or at the time of making the contract by way of providing a choice of law clause. The reason why party autonomy is respected and most countries accept and enforce choice of law clauses is the belief that contracts are the results of the deliberate acts of the parties and whatever parties willfully agree on in connection with the contract should be given effect. By applying the party selected law, therefore, it is believed courts are giving the parties the freedom to decide on their own matters.

One can find the rule that espouses the principle of party autonomy incorporated in various legal instruments and conventions. The Rome Regulation/Convention, for instance, provides:

Article 3(1) – freedom to choose applicable law:

“A contract shall be governed by the law chosen by the parties”

Article 72 of the Federal Draft Rules also asserts that parties to a contract may choose the law governing the substance of the contract, but provides some limitations which we shall discuss after a while.

The right of choosing the applicable law, under laws of many countries, gives parties the freedom to change at any time the applicable law which they previously selected. Furthermore, parties can select the law applicable to the whole or a part only of the

contract. This latter scenario is known in conflict of laws as *dépeçage*. (Article 3 (1) of the Rome Regulation talks about *dépeçage*).

So far, we have been discussing about the parties' right to choose the governing law in contracts and the different aspects of the entitlements of this right. At this point, we need to pause and ask ourselves one invaluable question: should party autonomy be an absolute one? Why? Why not? (Please try to answer this question in the space provided below)

The widely accepted view in this regard is that party autonomy should not be an unlimited one. There are two points of limitation to it.

The first is public policy. According to this basis, even if, as a matter of principle, choice of law clauses are accepted in the domestic forum, their application may be denied if the result of application runs contrary to the forum's public policy. This is a fairly convincing justification to accept. Take the following example. Suppose a Dutch man and an Ethiopian have concluded a contract for the delivery by the latter of hashish in Amsterdam. Further assuming that the contract contains a choice of law clause that provides for the application of the law of the Netherlands in case of a dispute, should the Ethiopian court apply the selected law? The answer should be in the negative. This is because, though giving parties the autonomy to decide on everything related to their contract involves nothing wrong, the application of the

Dutch law in this case would make the transfer of drug a legally possible transaction and this contradicts the Ethiopian policy on the matter. It is important to know that in some countries for a choice of law clause to be given effect, it must be put expressly and in unequivocal terms. In some other states, however, even when the chosen law is not expressly prescribed by the parties, courts are allowed to determine it by relying on the presumed intention of the parties.

In relation to public policy, a point of caution needs to be made. That is, as an exception, this limitation should be construed very narrowly and it is only when application of party selected law goes in clear contradiction to public policy and morality that it should be excluded. In other words, public policy should not serve as an excuse to apply forum law in the absence of a vivid contradiction.

Secondly, it is required that there must exist a substantial connection/relationship between the law the parties select and the contract in question. If no connection, whatsoever, exists between the chosen law and the contract, a suspicion might arise as to the selection whether it was a deliberate act of the parties to evade the application of the local law/ the law of the forum. This ground is used, therefore to discourage fraudulent evasion of the application of the forum's conflict of laws rules. In this regard, it is worthwhile to talk about the manner how the provision of the Draft Rules has attempted to reconcile party autonomy with the need for some link between party chosen law and a contract. The provision (article 72) reads:

"...parties may choose the law governing the substance of the contract, that is the law of nationality, the law of domicile, the law of the place where the transaction was made, the law of the place where the subject matter is situated, the law of the place where the transaction is to be performed, or the law of the place which is reasonably connected to the matter."

As you can see, after stating the right of parties to a contract to select a law, it requires the chosen law to be connected with the cause of action in some manner.

The draft law aims to avoid the application of a law that has no link at all by listing the possible sources which can give a law with an acceptable degree of connection. One thing to know about the list, however, is that it is not an exhaustive one.

Once again to remind you, in cases where parties have selected the governing law such a selected law should as a matter of rule apply. So far is straightforward. What if parties fail to provide the law that should govern their contract? What law should the court use to dispose the contractual case before it?

In default of choice by the parties to a contract, the widely held view is that the law of a country which displays substantial connection with the case governs. This law might differ for various specific kinds of contracts. It can be, for example, the law of the place where a contract is formed or agreed to be performed. For contracts relating to immovables, with no exception, the law of the situs will apply. Sometimes, however, arising from the special need to provide protection to some group of people (for example, consumers, employees, insured people.....), a mandatory law favoring them may be dictated though this may not necessarily fulfill the strong connection test. Accordingly, upon the fulfillment of important additional requirements, the law that applies in principle to consumer contracts is the law of the country where the consumer is domiciled. For employment contracts, the law of the place where the employee habitually performs his job and so on.

Choice of Law- Successions

Whenever an issue of succession involving an out-of- state element arises before a court, the judge has to determine whether it is a testate or an intestate succession in the first place. The issues that may be involved and the rules that apply might differ in these two cases.

Testate succession: When a deceased person distributes his property using a will, the questions of formal validity and essential validity of the will would come to the scene. As regards issues of formal validity, a will is usually considered valid if properly executed according to the law of the place where:

- it was executed; or
- the testator was domiciled either when the will was executed or at the time of death (the policy of most laws is to uphold the validity of wills to respect the demonstrated intention of the testator so if validity is established under either law, it will be deemed valid); or
- the testator was a national (either at the time of execution or death); or
- the testator was habitually resident (either at the time of execution or death).

Even though a will may be formally valid, it may not be essentially valid, e.g. if there is a limitation on testamentary capacity in a country, and in most cases this issue is governed by the deceased's personal law. What constitutes personal law, as we saw earlier, varies from law of domicile and nationality to the law of place of habitual residence in different countries.

Intestacy: Intestacy is the condition of the estate of a person who dies owning property greater than the sum of his or her enforceable debts and funeral expenses without having made a valid will or other binding declaration.

With regard to intestate succession matters that arise in the form of a private international case, there are, generally speaking, two types of approach recognized worldwide.

The first approach which also is known by the name unitary principle of succession, dictates that all questions relating to the succession of both movable and immovable properties are governed by the personal law of the deceased.

Scission principle of succession is the second and widely accepted principle. According to this principle, the laws that regulate the succession of the immovable and movable property of a deceased are the law of the country in which the property is situated and that of the personal law of the deceased respectively. This rule, therefore, goes in accord with the *lex situs* doctrine for immovable property. Countries like the England, United States of America, France and Belgium are adherents of this principle. As you might remember, personal law means national law of a person for continental legal system countries while it has the meaning of the law of domicile for the common law world, generally speaking. Accordingly, the first look at the law of the country of which the deceased was a national while the second group apply law of the deceased's domicile immediately preceding his death.

The practice in our courts seems to suggest that the scission theory is the one endorsed. With regard to defining personal law, however, as has been seen in connection with jurisdiction in the second chapter, there does not exist consensus among judges and judgments reflect this division of opinion. The need for binding law is strongly felt not only to define what personal law is but also to have detailed choice of law rules on every subject. In its absence, judges rely on views which they think is appropriate and this inevitably results in inconsistent decision.

You are advised to refer to the Federal Draft rules (see attachment) specifically provisions dealing with succession (section V, Articles 65-67) to explore what stance has been taken in the draft rules.

Extra-contractual Liability (tort)

In cases of extra-contractual liability that have foreign element, what law should a forum court apply?

Generally, there are three approaches with regard to determining the governing law in extra-contractual cases in the world. We discuss each of these in the following paragraphs.

i. The law of the place where the action is tried (*lex fori*)

This approach calls for straight application of the law of the forum country notwithstanding the tort was committed outside of the forum state. The most outstanding advantage of this approach being the ease it creates for applying a law in the sense that the judge does not have to look for the applicable law and simply adjudicates a conflict case in a similar fashion with a domestic one.

A number of points of criticism are thrown against the use of this approach. The first of these accuses the use of this doctrine as opening the door for forum shopping. As you remember parties would be motivated to engage in forum shopping where there are luring situations in another forum. One of the factors that will be taken in to consideration by parties that shop the forum is the existence of a more advantageous applicable law. Thus, if a court always applies its own tort law even in conflict cases, this makes it easier for the parties to make an advance calculation of outcome and to bring the claim before that court.

Secondly, there could be situations where an act considered as tort in other countries is not given same status in the forum state. This would, undoubtedly, lead to confusion and difficulties. Moreover, application of only forum will cancel all the benefits, discussed previously, that can be reaped from applying foreign laws when the need to do so arises.

ii. The Law of the place of wrong

This theory has the advantage of providing a reasonable outcome. The reason is that the true nature of the plaintiff and the true nature of the obligations of the defendant can be fairly and reasonably determined based on the law of the place of wrong.

However, as has been discussed in connection with jurisdiction, at times, a tort act may be committed in one country while the wrongful result may occur in another state. In such events, this rule cannot provide a clear solution unless, of course, supplemented by a further rule deciding whether the law that applies is that of the country where the wrongful act took place or the state where the final result occurred. Additionally, the application of forum public policy rules might render this approach's effectiveness minimal.

iii. Proper Law of Tort

This approach calls for the application of the law that has significant connection/relationship with the tort/case. This is by far the most widely accepted approach. The difficulty with it, however, is that deciding on what constitutes a significant connection is left to the discretion of judges and may be subject to subjectivity. Legislations of countries have tried hard to provide a guideline based on which a judge determines a significant relationship. Article 81 of the Federal Draft Rules, for example, provides that extra-contractual liability is governed by the law of the place which is significantly connected to the case. It continues:

In determining significant connection, the places where:

1. The act which is the cause of the harm occurred
2. The harm resulting from the act occurred
3. The parties are domiciled
4. There is a question of enterprise liability, where the enterprise is carried on
5. The relationship is centered, if the existence of liability depends upon a relationship

shall be considered.

As you can see, the list provides the facts that a judge seized of an extra-contractual conflict case should consider in determining the applicable law. The challenge is, however, sometimes, more than one of these facts may appear relevant and it would be up to the judge to give primacy to one of them. Other than this difficulty, this rule, it is agreed, gives the ideal solution to the problem at hand.

Choice of Law in Property Matters

When a property related case containing a foreign element arises, first we need to make a distinction between movable and immovable property. This, as you might remember, is a question of characterization. Though the general rule for effecting primary characterization is the law of the forum, the widely accepted rule for classifying a property in to tangible or intangible and, movable or immovable is the law of the place where the property is located.

With regard to immovable property, the universally accepted rule is *lex situs* or the law of the country where the immovable property is situate. This is in accord with the international law principle of state sovereignty which maintains that a state is the sole supreme power over its territory and the people and property living and located within it. Hence, no law of other state can claim application over immovable property situated in a given state except the law made by the sovereign power itself.

When we come to tangible movable property, there are about four different approaches that deal with the issue of *lex causea*.

i. Application of the law of domicile of the owner

The fact that movable property can be moved easily with its owner without losing its individual character forms the core idea behind the formulation of this rule. Accordingly, this approach maintains movables should be considered as located at the place where their owner is domiciled and the law applicable should be the law of the country of domicile of the owner.

This approach is criticized for its potential to undermine the expectations of third parties and contracting parties that are connected to the property. The idea is when contracting parties or third parties enter in to a transaction connected to a property; their expectation will be that the property remains at the place it existed at the time of concluding the agreement. If a property is to be presumed to change with a change in domicile of its owner it will be prejudicial to the interest of these parties.

ii. The law of the place where the movable is situate

The simplicity with which movable property can be moved might create a problem when the property is moved to a certain location temporarily. In such instances, application of the situs rule might yield an undesirable consequence as the law may have no significant connection with the property. Suppose that a newly fabricated machine (movable property) that was a subject of a dispute is taken to Kenya (from Ethiopia) by the defendant for two months duration and for a display in a trade fair. If the dispute is not related to Kenya in any other manner, do you think the application of the law of Kenya is reasonable?

Secondly, application of this doctrine cannot give a practical result if a disputed movable property is moved from one place to another while litigation is underway. It becomes absolutely impossible to point out a regime of law that applies to a case as there would be various places that can be considered as situs of the property.

iii. Application of the law of the country where the transaction regarding the movable took place

The major problem with this approach is the fact that places of transaction might be fixed by chance or accidentally without the parties necessarily intending the application of the law of that country. If two European men enter in to a transaction related to a movable property in Mauritius while on picnic and if the property is

situated in Greece, do you think Mauritius law has enough connection with the matter to get applied? Why/why not?

iv. The proper law of transfer

This approach calls for the application of the law of the place/country with which the transfer of the movable property has significant connection.

Practice of states shows that usually, the law of the place where the property is located and the proper law of transfer are the two dominant approaches in terms of application. Please refer to Articles 68, 69 and 70 of the Federal Draft Rules in connection to the matter at hand.

Choice of law rules in regard to intangible property are divided in two classes. The first class concerns intangibles in the form of normal rights that arise from ordinary contracts. Claims could be a good example belonging to this class. The second category concerns rights which are represented in documents. The rights cannot be good separate from the documents embodying them. Negotiable instruments are examples of the second class.

In relation to the first type of intangible rights there exist three theories. These are application of: the law of the domicile of the creditor, law of place where the transaction is concluded and the proper law of transaction.

Negotiable instruments become issues of conflict of laws when they are issued in one country and the right they embody is to be enforced in another country. The widely accepted practice is that in cases involving negotiable instruments, the law of the place where the original (underlying) contract giving rise to the issuance of the document was concluded applies.

We have now come to the stage where we wind up our discussion on the different choice of law rules over various areas of transaction. A point worth paying attention to, however, is that choice of law rules exist addressing almost all kinds of relations of people with legal consequences and they are by no means limited to the subject matters we already covered. Hence, there are, for example, multitudes of choice of law rules on very specific types of contracts i.e., agency, labor, sales, insurance agreements... What has been attempted in this second part of chapter-three is a brief introduction to choice of law rules on the major/broader categories of personal and business relations of people. It would be, therefore, highly appreciated if students do a further reading on areas that are not covered under this chapter. Finally, with a view to giving you a chance to learn about choice of law doctrines on one specific type of contract, i.e., employment agreements, the following article written by Ibrahim Idris on choice of law doctrines *in relation to* employment contracts involving foreign workers in Ethiopia is reproduced the following way. Enjoy your reading the piece and prepare yourself for a couple of questions at the end of the task!!!!!!

Ibrahim Idris, Conflict of Laws and Employment of Foreign Nationals in Ethiopia, pp. 171 et seq. [footnotes omitted]

I

As is true with many other legal relations, problems of conflict of laws may occur in respect of employment contacts. One of these cases in which such problems occur, and to which this

paper is directed, is where an employment contract is concluded with a foreign national for work to be performed in Ethiopia.

It happens that, under Ethiopian law, a foreign national may come to work in Ethiopia, upon obtaining a work-permit. He may be employed by either an undertaking or a Public Administrative Agency for a defined period of time, or to do some specific work, such as the installation of machinery, supervision of work, or to study a project, or to train workers. Undoubtedly, in these and analogous legal situations in which the laws of two or more countries are involved, a series of questions concerning the choice of governing employment laws may be posed.

On the basis of what country's law, Ethiopian or foreign law dealing with employment relations, should an employment contract made with a foreign national be governed? Are the general principles of private international law governing contracts in general also applicable to employment contracts made with foreign nationals? If so, could parties to such a contract stipulate a governing employment law? Assuming the failure of parties to designate a governing law, does Ethiopian law allow the selection of one among those choices recognized in private international law? Assuming also that Ethiopian law rejects the application of the general principles of private international law; should there not be certain exceptional employment relations to which laws other than that of Ethiopia could be applied?

II

Prior to attempting to examine Ethiopia's position concerning the aforementioned questions, the author considers it appropriate to inquire briefly into the current international practices on whether or not the general principles recognized in private international law are also applicable to employment contracts of an international nature. In connection with this issue, two positions can be observed.

According to the first position, which, on the whole, has commanded wide acceptance in the private international law, judicial practice and legal literature of the west European countries,

those principles of private international law applicable to employment contracts in general are also applicable to employment contracts involving foreign employees. Thus, just as parties to a contracts in general can act, so parties to employment contracts of private international nature are at liberty to exercise the right to stipulate a governing law. The Federal Republic of Germany, Switzerland, France, Belgium and Greece are, for instance, countries in whose legal systems the right of parties to the choice of law in a conflict of laws is recognized. A part from this, in such socialist counties as Poland, Czechoslovakia and Albania, parties to employment contacts also have the right to a choice of law.

The recognition of law parties' right to the choice of a governing employment law, nevertheless, entails a controversial situation where parties to the contact have failed to provide the governing law in their agreement. In such a case, an attempt is made to resort to either of the following two principles: the "subjective theory" and the "theory of close connection with the contract".

*The subjective theory, also called the theory of hypothetical intention helps to ascertain a governing employment law with the aid of circumstances inherent in the employment contact. For instance, an agreement of parties to submit to the jurisdiction of a court of a certain country may be taken as a method indicating the intention of parties in favor of the law of the country to whose jurisdiction they have agreed to submit their case. On the other hand, according to the second theory, the law considered applicable may be that of the country with which the employment contract is believed to have a close connection. Of those laws of places regarded as having close connections, the *lex loci laboris*, i.e. the law of the place in which the work is performed, is the alternative in general preferred by many systems.*

The second position, also commanding wide international acceptance, is that which rejects the applications of the principles of private international law to employment contacts of an international nature. Unlike that exercised in respect of contacts in general and special contacts such as sales contracts, this view disapproves the autonomy of parties in relation to the choice of law in employment contacts. According to this position, the law to which

reference is always made is the *lex loci laboris*. Austria, Sweden, Denmark and Argentina are some of countries adhering to this custom. Amongst socialist countries, the legal literature in the Soviet Union is said to tend to in favor of denying the right of a choice of law by parties to an employment contact in a conflict of laws.

III

When turning our attention to Ethiopia, we see that it is country which has not yet formulated its own 'Conflict of Laws Rules'. Because of this, therefore, Ethiopian courts might find it hard to determine a governing law when conflicts of laws occur. Moreover, because Ethiopia lacks both a developed judicial practice and also a literature in respect of this particular area of a law, the courts' task is made difficult in their endeavor to determine a governing law.

Ethiopia is a country of codified laws. Judges are not permitted to make laws, as those in common law countries do. They are expected only to apply the laws to factual situations. In the absence of rules legislatively drawn up, however, judges are duty-bound to make a decision ensuring that justice is properly administered in each case. As Ethiopian law is not under the influence of the Anglo-American legal system, judicial decisions rendered by a superior court are not authoritatively binding on an inferior court. Thus, in view of the absences of "Conflict of Laws Rules", and of any rule on whether or not parties to employment contracts are entitled to exercise the right of the choice of law in a conflict of laws, the very decision of a court in favour of or against the exercise of such right need not be subjected to criticism, provided of course, it gives a rationale for adhering to one or the other position.

The courts' liberty to uphold one certain principle or another, in such a situation, may be substantiated by referring to the several attempts made in the past, in ascertainment of a law governing personal status involving foreign elements, in the late 1940s and early 1950s. For

instance, in a small number of decisions rendered by the Addis Ababa High Court, it was the principle of nationality to which the court adhered as a criterion of designating a law of country governing personal status. In other decisions rendered by the same court, and by the Supreme Court, there was indeed a switch towards favoring domicile as a criterion.

In assessing whether or not Ethiopian courts tends towards recognizing the right of a parties to a choice of law in employment contacts made with a foreign national, one may examine the position in light of two epochs in the Ethiopia legal system: the pre-1974 period, and the post-1974 Revolutionary periods.

It is to be noted that, prior to the Revolution of 1974, Ethiopian employment law, as embodied in the 1960 Civil Code, developed in line with the continental legal systems in general, and that of France in particular. The Civil Code's provisions on employment contracts, which, of course, were initially intended to regulate all employment relations of a civil nature, recognize the right of parities to formulate employment contracts, departing from terms of standard contracts that may be drawn up by public authorities. As far as employment is concerned, even those foreign nationals employed by State Administrative Agencies would not have the status of public servants. It is in fact the provisions of the Civil Codes that the meant to govern employment relations with such foreign nationals.

In view of this fact, and consistent with the general practice prevailing in continental legal systems, as for instance in France, in the pre-1974 period there was no doubt that courts were likely to favour the right of parties to a choice of law in an employment contract in case of a conflict of laws. In support of this assertion, a number of judgments could be cited in which Ethiopian courts turned to relevant foreign practices, with a view to retrieving principles capable of filling gaps left by pertinent domestic laws.

For instance, in Hallock v. Hallock, the Supreme Court gave the following reason on justify its resort to foreign jurisprudence in order to accept the principle of domicile as connecting factor:

“ . . . There is not codified law at present in Ethiopia with regard to rules of private international law nor with regard to the jurisdiction of the courts in (such) matters . . . in default of an express provision of law on the subject, it is necessary to turn to general possible principles of jurisprudence accepted in other countries”.

The practice of Ethiopian courts to resort to foreign legal principles was also observed by Norman Bentwich. For instance, in connection with the influential role of English law in Ethiopian law, he writes:

“ . . . English principles of Private International Law have been applied in cases where the court has had to deal with problems and situations in which the customary law of Ethiopia was unsuitable”.

Furthermore, Article 1731 (1) of the Civil Code sets forth that the provisions of a contract lawfully formed shall be binding on the parties as though they were law. Coupled with the absence of an express legal provision rejecting the right of a choice of law in an employment contract in which two or more laws are involved, Article 1731 (1) gives the impression that parties to such a contract would not be precluded from stipulating a governing employment law.

In the post-1974 Revolution period, Proclamation No. 1/1974, which ushered in the coming to power of the Provisional Military Government, announced the repeal of all pre-1974 laws and regulations considered inconsistent with this new proclamation and the subsequent legislation of the country. Ethiopia's shift in favour of socialism as a guiding principle of socio-economic and political development has brought about a significant change in the attitude to society towards law. As regards Employment law, the labor proclamation No. 64/75, promulgated to regulate employment relation between undertakings and workers, has had a tremendous effect.

Apart from recognizing work as being source of all production, this proclamation assures the worker freedom from exploitation, and pledges proper protection of health and safety. It also

pledges essential protection of the workers' right and conditions through legal arrangements. The engagement made by the Constitution of 1987 of the People's Democratic Republic of Ethiopia to give full protection to labor must not be underestimated.

In view of this development in Ethiopia, and despite the fact that no conflict of law Rules have as yet been introduced at least insofar as those labor contracts capable of being conversed by the labor proclamation are concerned, it is unlikely that courts would nowadays recognize the right of parties to the choice of law in a conflict of laws. In respect of this point, Istvan Szasy has maintained:

"The right of a choice of law by the parties in the sense of the conflict of law theory- could be recognized only for contract law transactions (and submitted nor even there). A labor contract is not a civil law contract so that, within the scope of a labor contract, the right of a choice of law by the parties cannot be recognized in any circumstances."

There is one more point worth mentioning. As far as the knowledge of this writer is concerned, whether in the pre-1974 period or post-1974 Revolution periods, no dispute about what law governs a given employment contract has in fact been brought to the attention of court; neither has it been a practice for parties to employment contracts to negotiate about a governing employment law. These facts do not however, imply that no such problem could occur at any time in the future. Whatever happens, Ethiopian law needs to be prepared for any contingency, by arming itself with a pertinent guiding principle.

IV

In addition to those countries where the legal application of general principles of private international law to an employment contract with a foreign element is rejected, those countries which uphold the right of individual parties to determine by agreement the law governing their employment contract also recognize resort to the Lex loci laboris, where no

other applicable law is stipulated. Lex loci labor is viewed as legal system having the closest most connection with the employment contract.

Indeed in the event of being confronted with a choice of law in a conflict of laws, the writer feels strongly that Ethiopian court ought to refer to the lex loci laboris as a governing employment law. In support of this choice, legal scholars have put forward numerous convincing reasons, of which examples follow.

There is no doubt that employment laws involve the interests of a large number of workers to whom every government pledges to give close attention. Every government also desires employment relation to be in conformity with its national policies, and the maximum realization of such policies can be attained by the application of the principle of lex loci laboris in the words of sazaszy, the lex loci laboris:

“... Guarantees the determination of the labor law relations in conformity with the principles and rules of a social and legal system to which the legal relation is socially and economically most related.”

Employment relations are also relations which are different from other contractual relations in their character. There are a number of rules concerning rights which parties to employment contract cannot deviate from in their agreements. Indeed, all governments have an interest in the uniform, observation of such rule for which reason it would be undesirable to recognize the right of parties to stipulate a law other than the lex loci laboris.

The application of the lex loci laboris avoids discriminatory treatment among employees working for the same employers, or in the same area, or in the same country. For instance, to subject employment relations of employees with identical skills, capacity or position to different employment laws engendering different benefits might well serve as a basis for labor disagreements.

To apply the lex loci laboris as a governing employment law gives a territorial character to the law of the country in which the work is performed. For this reason, the lex loci laboris can be

considered as having the closest and most authentic objective connection with employment relations. In connection with this question, Morgenstern and Knapp wrote:

“while rules of conflict of laws in labor matters have developed only in recent years, and national courts often still shows considerable hesitancy in the matter, doctrine has evolved sufficiently to make it possible to affirm that, as regards the terms and conditions of employment, as key important is attached to the law of the country in which the work is performed. This is true regardless of the nationality of the parties. Territoriality is thus basic rule in matter of labor law.”

Lastly, since the country to which employment disputes may be submitted is usually found at the place of work, the *lex loci laboris* is considered to be mostly likely understood by the parties, as well as by the court, as compared with laws emanating from other places. The court can also enforce such a law more effectively than can a court of another country.

V

For the reasons mentioned above and also many others, we feel that Ethiopia, like many other countries, should adhere to the principle of *lex loci laboris*. Consistent with the general practice of international law, the *lex loci laboris* needs nevertheless to be subject to adjustment in certain exceptional circumstances in which employment laws other than the *lex loci laboris* may be called in to operation. Employment relations with special characteristic features deserve special consideration regarding the parties' right to a choice of law in a case of conflict of laws.

Under Ethiopian law, it appears possible to ascertain a governing law for certain special types of employment contracts. In dealing with other contacts, difficulties arise, urging the necessary of looking into the law, judicial practices, and legal literature of other countries, in order to come to an equitable decision.

The first special employment relations that come immediately to mind are those concerning members of diplomatic missions and consulates in Ethiopia, and those persons employed as a result of bilateral or multilateral agreements entered into by the Government of Ethiopia. Obviously, the employment relations of such persons are not governed by Ethiopian employment laws, since they are not subject to Ethiopian law.

*Other special employment contracts, in relation to which the laws other than the *lex loci laboris* may be applied, pertain to those crew members of carriers, both water and air vehicles. Through no express provision to this effect are available in Ethiopian law, the authoritative governing employment laws can easily be ascertained.*

In the matter of employment relations of seamen, Ethiopians or foreign nationals, Ethiopian law adheres to the internationally accepted principle in which the law of the state of the flag is deemed authoritative. This principle is based on the fact that employment contracts between seamen and ships flying the flag of a certain country must comply with the maritime law of the country concerned, wherever the ships may be, including foreign territorial waters.

In accordance with the Ethiopian Civil Aviation Decree, the law of registration serves to govern a series of matters relating to aircraft, including the licensing of pilots and other persons engaged in the navigation of aircraft, and the suspension and revoking of such licenses.

The Chicago Convention on International Civil Aviation, opened for signature on 7 December 1944, has also been incorporated in the Ethiopian Civil Aviation Law. Article 32 (b) of this Convention provides that pilots and other members of the operating crew of every aircraft engaged in intentional navigation shall be issued with certificates of competency and licenses by the state in which the aircraft is registered. Thus, the employment of pilots and the other operating crew-members of aircraft is the subject of the law of registration of the aircraft, regardless of the nationality of each crew-member. It is conceivable that this

provision only applies to certification and licenses and not, e.g. to the right to dismiss which could be governed by another system of laws.

*There are also a number of other special employment relations which should be the subject of laws other than the *lex loci laboris*. For instance, let us take note of those foreign nationals who come to work in Ethiopia by assignment or by election, or who come to Ethiopia to work only for a temporary period, or to do a specific job. Also, as there are subsidiaries of multinational companies in Ethiopia, a member of the managerial staff of such a company may come to serve in Ethiopia for a limited period, and then move to other subsidiaries, in other counties, at other times.*

In each of the above situations, the problem is to decide what law among those in conflict should be applied to determine the employment relations concerned. As far as the Ethiopian legal system is concerned, it is in fact a hard task to suggest a solution to this problem. It is therefore incumbent upon those concerned to examine how similar problems are solved by other counties. Indeed, it behoves law-makers to give careful consideration to the particularity of each and every special relationship in employment, with a view to ascertaining the most appropriate governing law in case of conflict of laws.

Dear student, the article you just read was written during the time when Ethiopia was a Socialist state. You might have seen that some of the arguments made are based on the then existing labor law policy of the system. Today, however, the country advocates free market economic policy. This does not mean, nevertheless, that in the present time the government has no any stake in employment relations, in those involving foreign workers in Ethiopia in particular. Far from this, the labor law requires the fulfillment at all times of the minimum standards of labor. Let me now ask you two questions up on which you may reflect.

Do you think parties should be given the right to choose the applicable law in employment relations? Why? Why not? What do you think are the pros/cons of allowing/disallowing freedom of choice of the applicable law in labor realtions?

Taking in to account the current economic policy Ethiopia is following, which of the two alternative approaches you favor for the country?

Chapter Four

Recognition and/or Enforcement of Foreign Judgments/ Arbitral Awards

In this Chapter, we will take up a discussion on the third and the last component of private international law: the issue of recognition and enforcement! As you will see, a decision rendered by a court of one country might come before a court of another state either for recognition or for recognition and execution purposes. The successful party in an international arbitration might as well need the recognition/enforcement of the award given in his favor in a state outside where the award was delivered. Conflict of laws rules on recognition and enforcement, therefore, try to regulate the manner how such requests for recognition and enforcement should be entertained in the recognition forum.

The chapter has got two sections. The first section deals with recognition and/or enforcement of foreign judgments; an introduction to the justifications for recognition and enforcement as well as the preconditions for same will be discussed, among other things. Section two focuses on recognition and/or enforcement of foreign arbitral awards.

Objectives: At the end of the chapter you will be able to:

- Explain the difference between recognition and enforcement.
- Discuss the justifications for recognition and enforcement.
- Explain the preconditions that are placed by countries for recognition/enforcement.
- Evaluate the Ethiopian law on recognition and enforcement of foreign judgments/arbitral awards.

General Background

The successful party in any court or arbitration proceeding expects the judgment/award given in his favor to be performed without delay. The vanquished party, on the other hand, may cooperate or create hindrances in the process of execution of the judgment/award given against him. In the event where there exists enough property that can satisfy judgment-creditor's claim within the territory of the state where the decision was made, notwithstanding judgment-debtor's resistance, the judgment-creditor can safely rely on the execution power of the rendition forum and get whatever he is entitled to. However, if no property of judgment-debtor is found in the rendition state or if it is found to be insufficient to cover the debts, judgment-creditor has to look for other means of enforcing his right. One of the options available for judgment-creditors in such circumstances would be to look for a property that belongs to the debtor in a country other than where the original decision was given.

Assuming that some property owned by the judgment-debtor is found in another country, what should judgment-creditor do to distrain it? Should he institute a fresh action in the country where the judgment-debtor's property is situated? This option is open but involves excessive cost and inconvenience. The law dealing with recognition or/and enforcement of foreign judgments/arbitral awards, therefore, is an aspect of private international law that developed with a view to providing a more convenient, more cost-effective way of recognizing/enforcing a right pronounced in one country in another state/ over a property situated in another country. This alternative, undoubtedly, has a number of advantages over instituting a new claim in a state outside the rendition forum.

Though it is true that no binding rules of private international law on jurisdiction and choice of law exist in Ethiopia, this aspect of conflict of laws has, fortunately

enough, binding laws applicable to it. Unlike our studies so far, the part on recognition and/or enforcement of foreign judgments/ foreign arbitral awards will, therefore, be backed by analysis of the pertinent Ethiopian Civil Procedure Code provisions.

Section one

Recognition and/or enforcement of foreign judgments

In this part of the chapter, we shall be studying a number of important points about recognition/enforcement of foreign judgments and the state of Ethiopian law on the subject. We shall consider in a latter section the advantages that recognition and/or enforcement of a foreign judgment/arbitral award brings to the judgment-creditor and to the recognizing state. But now, as we are set to discuss more about recognition and/or enforcement of foreign judgments, it will be important to understand in the first place what a foreign judgment is. Simply defined, a foreign judgment is “a judgment not rendered by a court of the forum.” It is a judgment given by a foreign court (this is called the rendition forum). Forum court in this sense refers to the court before which a request for recognition/enforcement is tabled. Therefore, any judgment given by any different court other than the recognition forum constitutes a foreign judgment. You will consider the meaning of an arbitral award in the part that deals with recognition/enforcement of arbitral awards separately.

Before we delve in to a detailed discussion on pros and cons of recognition/enforcement as well as preconditions for it, is imperative that we establish the difference between the concepts of recognition and enforcement/execution. It is to the latter task that we now directly move on.

1.1 Distinguishing Recognition from Enforcement/Execution

Dear Distance Learner, have you ever thought about the difference between recognition and enforcement? If you did, what do you think are the points of difference?

It is true that some people think of recognition and enforcement as if they are always inextricably linked. The terms are, however, distinct.

Recognition is understood as “implying foreign judgments as having res judicata status and conclusiveness.” It means that the judgment rendered in a foreign country is held to be binding upon the parties in the country in which it is recognized. Enforcement, on the other hand, refers to “the granting of compulsory relief based on the judgment pronounced in a foreign state.”

It is possible that a judgment-creditor (a successful party) in a foreign judgment/award applies only for recognition. This happens when the foreign judgment whose recognition is sought for is of a declaratory nature. A declaratory judgment is judgment of a court in a civil case which declares the rights, duties or obligations of each party in a dispute. This type of judgment/ruling which is binding as to the rights, duties or status of the parties does not order any action or result in any award of damages to any party to the case. Judgments of this sort are typically requested when a party is threatened with a potential lawsuit or as part of a counter-claim to prevent further, similar lawsuits from the same plaintiff.

Recognition on its own, it is said, is a defensive process. A party who simply seeks recognition will generally do that because he needs to rely on the judgment/award by way of defense or set-off, or in some other way in a court proceeding. Requests for recognition usually arise when a court is asked to grant a remedy in respect of a dispute that has already been the subject of previous court/arbitral proceeding. The party in whose favor the case was decided will raise an objection indicating that the dispute has already been determined. To substantiate this claim of him, he may produce the previous judgment and ask the court to recognize it as valid and binding on the parties to the case and with regard to the issue with which the case dealt. If the judgment is recognized, the effect will be that it puts an end to those new proceedings as *res judicata*. To illustrate this, suppose that a company was sued by a foreign supplier for goods sold and delivered, but allegedly not paid for. Further assume that this case was decided in favor of the company and the supplier's claim was dismissed in another forum. If the supplier institutes a fresh claim in a certain state, the company would ask the court to recognize the judgment as a valid defense to the supplier's new claim.

By contrast, when enforcement is asked, "it is asked not merely to recognize the legal force and effect of the judgment/award, but also to ensure that it is carried out, by using such legal sanctions as are available." As a result, enforcement goes a step further than recognition.

In sum, the following can be said of the relationship between the two terms:

An award may be recognized without being enforced. However, if it is enforced, then it is necessarily recognized by the court which orders its enforcement. A court that is prepared to grant enforcement does so because it recognizes the judgment as validly made and binding upon the parties to it and, therefore, suitable for enforcement. In this context, the terms

recognition and enforcement do run together. One is a necessary part of the other.

1.2 General Advantages of Recognition and Enforcement of Foreign Judgments

It has been indicated earlier that recognition and/or enforcement of foreign judgments in the domestic forum has a number of advantages over instituting a fresh claim in the country where recognition/execution is demanded. Recognition and enforcement of foreign judgments, in addition to respecting the tenets of international comity, serves three general functions: conservation of judicial resources, reduction of enforcement-avoidance practices by judgment debtors, and facilitation of trade. Let us consider each of these benefits one by one.

- i. **Comity:** recognition or/and enforcement of a judgment given by a court of one state by court of another reflects the courtesy that the recognition state has towards the rendition state, some argue. Besides, the act of recognition/recognition will facilitate international harmony. It also shows mutual trust among states. On the other hand, if a state refuses to enforce/recognize a judgment given in another, the latter may retaliate by refusing to give effect to judgments originating from the former state.
- ii. **Judicial Economy:** re-litigation of factual determinations is expensive, time consuming, and administratively burdensome. When a case has been heard fully, finally, and fairly by a court in a foreign country, the forum court's reexamination of the issues would entail a "considerable expenditure of resources without commensurate gain."
- iii. **Discouraging non-cooperating judgment-debtors:** recognition of foreign judgments contributes to the effectiveness of legal systems in general by

reducing the incentive of judgment debtors to transfer assets as a means of avoiding enforcement of judgments.

iv. **Facilitating International Commerce:** recognition and enforcement of international judgments is a “central tool of trade integration” insofar as traders rely heavily on rapid and conclusive enforcement of contractual rights and remedies. Investors and traders do not want to spend their money on re-litigation and whether a state recognizes judgments originating from other countries and that its judgments are recognized/enforced in other countries (reciprocally) has become a major point of consideration for foreign businessmen in their decision making to invest in a certain country.

The importance of recognition of foreign judgments to the maintenance of judicial efficiency, an effective legal system, and international trade legitimizes a preference for recognition over non-recognition. Thus, arguments in favor of re-litigation must be overwhelmingly compelling in order to adequately justify limitations on international recognition and enforcement. And, it is because of these convincing justifications that today almost all countries of the globe have laws on recognition and /or enforcement of foreign judgments/arbitral awards.

1.3 Conditions for recognition and/or enforcement of foreign judgments

In the previous part we have seen that there are a number of advantages that recognition and/or enforcement provides. We also pointed out that almost every country in the world accepts the significance of these benefits. It is because states are aware of this importance that they provide a legal framework within which it can be done. This however, does not mean that states’ courts unconditionally recognize and execute foreign judgments. The truth remains far from that. No matter how the

world is becoming globalized rapidly and the slogan of international commerce without border-barrier is propagated, states still retain their sovereign powers. As expression of this power and in the absence of an obligatory international treaty, states often put in place regulatory rules that will help ensure conformity to their policies and values.

In the area of recognition and enforcement of foreign judgments also, states provide conditions that must be fulfilled before a judgment is given effect in their territories. The Civil Procedure Code of Ethiopia, Article 458, is framed in a manner that fulfills this need. It provides the Conditions for enforcement. The full text reads:

Article 458—Conditions for allowing application

Permission to execute a foreign judgment shall not be granted unless

- a) The execution of Ethiopian judgment is allowed in the country in which the judgment to be executed is was given;
- b) The judgment was given by a court duly established and constituted;
- c) The judgment-debtor was given the opportunity to appear and present his defense;
- d) The judgment to be executed is final and enforceable; and
- e) Execution is not contrary to public policy order and morals.

Before considering each of these conditions in a detailed manner, it is worth clarifying one point at this juncture. As you can see from the wording of this provision and the title of Chapter Two (under which this provision is found and the title of which reads Execution of Foreign Judgments), these are conditions for execution of foreign judgments. The chapter does not talk about recognition at all. Nowhere in the code are provided conditions for recognition. A question can arise as to what Ethiopian courts should do when a request for recognition of foreign judgments comes before them. Analyzing this difficult point Ibrahim Idris extensively provides:

Ethiopian law contains no provisions pertaining to requirements for the recognition of foreign judgments. It should be noted that (since recognition is a prerequisite for execution) if a foreign judgment is accepted for execution the issue of whether or not the judgment should be recognized will not arise. But a problem may be encountered in relation to those types of foreign judgments which demand only recognition. Assume for instance, that A produced to an Ethiopian court a foreign divorce decree, in an attempt to bar a new divorce action in Ethiopia. In such a situation, should the Ethiopian Court recognize the foreign divorce decree? If yes, what should the preconditions be, against which the decree could be tested? Could courts apply the preconditions for execution of foreign judgment by analogy with the recognition of the divorce decree? Alternatively, could a court in Ethiopia look into foreign laws and judicial practices, with a view to assisting itself to fill the gap left by the law of Ethiopia? Was the omission of provisions on recognition of foreign judgment deliberate on the part of Ethiopian legislators?

In an attempt to give answers to the questions he raised, the writer forwards:

..... Despite the absence of pertinent provisions in relation to recognition of foreign judgments, there is no reason why foreign judgments should not be recognized in Ethiopia, unless the sovereignty and independence of the country is jeopardized. And indeed insofar as an act is consistent with the general principles of international law and practice the non-availability of permissive rules in Ethiopian law need certainly not preclude Ethiopian courts from rendering justice. Provided that the criteria commanding international acceptance are met, a willingness on the part of Ethiopia courts to recognize foreign judgment would manifest the country's commitment in the observation and promotion of international law.

An investigation of the practice of Ethiopian courts reveals, in determining the criteria for recognition of foreign judgments resort may be made to either of the following alternatives:(a) in view of the fact that execution may also presuppose recognition, Ethiopian courts may be at

liberty to extended the application of the provisions or conditions for execution of foreign judgments provided in the Ethiopian Civil Procedure code to matters concerning foreign judgment requiring recognition; (b) they may look in to the experiences of other countries and adopt those conditions they feel are appropriate to the Ethiopian situation as they have frequently done in respect of legal situations in many other circumstances.

With regard to the non-inclusion of pertinent provisions on recognition of foreign judgment in the Civil Procedure Code of Ethiopia, the writer feels the omission was not made deliberately. Rather, the writer considers the following to be the major reasons for the omission of the provisions: firstly unlike the Civil Code of 1960, the Civil Procedure Code was not the product of the then Ethiopian Parliament which had the practice of enacting a law after the draft was prepared and thoroughly discussed by a codification commission. Instead, the Civil Procedure Code was issued by the late former Emperor Haile Selassie I in the form of decrees while parliament was not in session. Moreover, unlike many decrees, the Civil Procedure Code was not submitted for approval consistent with article 92 of the Revised Constitution of 1995 and because of this the Code lacked opportunity for possible improvement. Secondly, the draft of the Civil Procedure Code was the outcome of a one-man effort. This expert prepared his translated draft from the Indian Civil Procedure Code of 1908. Apart from not being accompanied by such relevant documents as exposed motifs the draft was not subjected to through study and discussion by legal experts as usually done with other codes of Ethiopia with a view to suggesting the inclusion of provisions such as those concerning the recognition of foreign judgment in Ethiopia.

Having tried to provide a solution for the absence of rules on recognition of foreign judgments, it is now time to consider the elements for enforcement under our law.

i. Reciprocity

The first requirement is Reciprocity. According to Ethiopian law, reciprocity constitutes a fundamental doctrine in the execution of foreign judgments. In fact,

Ethiopia is not the only country that applies the reciprocity test. The application of this condition will make foreign judgments from countries where Ethiopian judgments are not enforced non-enforceable.

The pitfall associated with reciprocity requirement is that it may victimize individual litigants simply because the state of the rendition forum does not enforce decisions emanating from the recognition state.

There are a number of issues that can be raised in relation to the manner how absence of reciprocal treatment in the rendition forum should be proved. Who should show to the recognition court that its decisions cannot be enforced in the rendition forum? How should absence of recognition/enforcement be proved? To appreciate these and many other invaluable questions and the answers to them, you can refer to Samuel Teshale's article on "Reciprocity under Ethiopian Law: a case Comment" that you find at the end of this chapter.

ii. A Court Duly Established and Constituted

Ethiopian law requires that a foreign judgment to be executed in Ethiopia, it must be one that was given by a court "duly established and constituted." The problem with this requirement is that, the Code does not give any hint according to which the question of whether the concerned court was duly established and constituted is to be determined. Above all, it becomes necessary to ascertain the appropriate law by which the court is deemed duly established and constituted. Should such matters be determined on the basis of Ethiopian law or a foreign law? The fact that nothing is mentioned on these points in Ethiopia law thus renders the application of the conditions very difficult. The following short excerpt describes the positions adopted by states.

In determining jurisdiction, a number of alternative methods may be observed today. In Anglo-American legal system and in those of many Latin

American countries, jurisdiction is defined in the light of the law of the rendition form, i.e., the law of the country whose court has pronounced the judgment. In the legal systems of such continental law countries as Greece and Austria, on the other hand, the jurisdiction of a court is ascertained on the law of the country in which execution of the foreign judgment is sought. In still other legal systems, such as that of Venezuela, jurisdiction is understood in the international sense.

Many scholars suggest that the Anglo-American approach is the most logical one. They maintain that a country has the sovereign power to establish and constitute its own institutions including courts according to its own law. Accordingly, it would be unreasonable to nature and status of a court based on the laws of another state (the recognition forum). With regard to Ethiopian choice also, there are people who suggest that following the latter approach would be advisable as long as that does not jeopardize the country's interest. Whatever law applies to judge the existence of jurisdiction, it is of a paramount importance that a recognition forum establishes jurisdiction before it enforces a foreign judgment. This is because, if courts execute judgments given by foreign courts which have no jurisdiction, then parties will be encouraged to extensively engage in forum shopping.

iii. Whether Judgment-debtor was Given the Chance to Present and Defend his Case

It is a requirement under Ethiopian law and the laws of many other countries that the judgment-debtor should be given an opportunity to appear and present his defense. This is a requirement that is put to ensure that procedural fairness had been maintained in the rendition forum. To this effect, the judgment-debtor must be served with a summon in due time, so that he would have the opportunity to defend his

case. If the debtor of a foreign judgment has not received a legally sufficient notice because ineffective means were used when effective means were readily available, and if as a consequence the debtor failed to appear to court, the foreign judgment cannot be executed.

It should be noted, however, that “if a judgment debtor has been given an opportunity to plead his case, a foreign judgment rendered *ex parte* may not be dismissed for lack of jurisdiction.”

iv. Whether the Foreign Judgment is Final and Enforceable

What constitutes a final and enforceable judgment is not provided under our law. Generally, however, “the concept of finality and enforceability implies that the foreign judgment at issue is not liable to review, modification or being set aside by another judgment.” Such kind of final decisions, it is believed, will have a res judicata effect and would bind the parties concerned without any further question. In general, and it seems also that this applies to our case;

If a judgment debtor shows that the foreign judgment is pending before the superior court of that country or an appeal will be taken, or that a stay of execution has been granted, the court shall stay the enforcement judgment until the appeal is concluded, the time for appeal expires, or the stay of execution expires or is vacated, upon proof that the judgment-debtor has furnished the security for the satisfaction of the judgment required by the state in which it was rendered.

Because of their special nature, it may be difficult to decide on the finality and enforceability of some specific types of decisions. These types of decisions tend to be temporary and that makes it difficult to easily decide on their status as final and enforceable. In this group are found interlocutory orders, maintenance decrees and custody decrees. Interlocutory orders can be divided in two types for the purpose of

deciding on their finality. Those interlocutory orders given before the final judgment is pronounced are never considered as final. On the other hand, those interlocutory orders given as part of the final judgment are deemed final and enforceable.

As regards a foreign maintenance decree, the generally accepted rule is that they would be considered final and enforceable if they are not capable of variation. "Concerning those decrees with variable maintenance, i.e., some holdings pertaining to arrears, and some installments which fall due, they have been agreed upon to be final and enforceable." As to whether the status of finality and enforceability might also be conferred to a judgment involving the custody of a child, "the usual practice is to tackle the issue by taking the welfare of the child concerned into account."

v. Public order and morality

Yet another condition for execution of foreign judgments under Ethiopian law is the requirement that the enforcement of the foreign given judgment be not contrary to Ethiopian public order and morality.

The difficulty that can arise with the application of this condition emanates from the fact that the concept of public order and morality is very elastic that it can cover almost anything. The meanings of the terms of public 'order' and 'morality' is extremely imprecise and it can be stretched to encompass a lot of things.

The other difficulty with this requirement is that the law maker, when it prescribed the public order and morality check, has not provided the specific grounds based on which refusal of foreign judgments can be decided. The Ethiopian court should therefore, apply the condition in a manner that will strike a balance between the two competing interests of 1) maintaining the underlying values of the people of Ethiopia, the basic government policies etc and 2), avoiding an unnecessary circumscription of the rights of the judgment-creditor.

It is also worth noting that, generally speaking, a decision which is a result of a fraudulent activity of the judgment-creditor is considered as failing to qualify on the scale of this condition.

Application and Procedures for Execution of Foreign Judgments in Ethiopia

Article 456 of the Civil Procedure Code, the second sub-article, makes it clear that a foreign judgment can only be executed in Ethiopia only if an application to that effect is made by the judgment-creditor. This, indeed, is the starting point. The law further discusses the form an application should take under Article 457. Accordingly, it is a requirement that application for execution of a foreign judgment be made in writing and shall be accompanied by:

- a) A certified copy of the judgment to be executed; and
- b) A certificate signed by the President or the Registrar of the court having given judgment to the effect that such judgment is final and enforceable.

It can be argued that implicit in this provision is the requirement that a copy of the judgment whose recognition is sought must be translated into Amharic language, which is the working language of the Federal Government of Ethiopia.

Though Ethiopian law, unlike laws of some other countries, does not explicitly require the judgment-creditor to authenticate the judgment in the country where it was given, one can notice that Ethiopian courts in practice require same to be authenticated by an Ethiopian consulate in the concerned rendition forum.

With regard to the level and type of court where application for execution can be made, Proclamation No 25/1996 (which replaces Article 456 (3)) provides that applications for recognition and execution of foreign judgments in Ethiopia are to be made to the Federal High Court. By virtue of the constitutional provision which

allows delegation of Federal Courts' powers, applications of this type, it seems, can be lodged before state supreme courts.

When we turn to the procedure that Ethiopian courts should follow during recognition and/or enforcement of foreign judgment, Article 459 prescribes the following:

Article 459- Procedure

- 1) The court to which the application is made shall make enable the party against whom the judgment is to be executed to present his observations within such time as it shall fix.
- 2) The court shall decide whether pleadings shall be submitted.
- 3) In case of doubt the court may suspend its decision until all doubtful points have been clarified.

As a matter of rule, immediately after application for execution is made, the judgment-debtor must be informed about it by the court. This will help the defendant to show up and present whatever defenses he has before enforcement/execution is allowed over his property.

This requirement of informing the judgment-debtor forthwith once an application is filed is not to be found in all systems. Under the new Brussels Regulation, for example, which prescribes two stages of proceedings, i.e., ex-parte proceedings and appellate contradictory proceedings, the judgment- debtor is not invited to the proceeding during the first stage.

Article 41 reads:

Ex-parte proceedings:

"The judgment shall be declared enforceable immediately on completion of the formalities in Article 53 without any review under Articles 34 and 35. The party against whom enforcement is sought shall not at this stage of the proceedings be entitled to make any submissions on the application."

During the appellate proceedings, however, the judgment-debtor will be served with the declaration of enforceability and he can appeal against this decision of enforceability passed during the ex-parte proceeding. The appeal is dealt with in contradictory proceeding which means that judgment-debtor will have the chance to raise the defenses available to him. What has to be noted about this system, however, is that because the system is based on the member states' (the European Union-except Denmark) agreement on a swift method of recognition and enforcement with regard to judgments originating from another member state, the appellate court may not review judgment as to its substance. The appellate court may only refuse or revoke a declaration of enforceability only on the grounds on which recognition can be refused (Articles 34 and 35 of Brussels Regulation on Jurisdiction and Recognition and/or Enforcement of Foreign Judgments).

The points we already raised would take us to what is provided under sub-article 2 of the provision under discussion. Though as a matter of rule Courts do not hold a hearing on applications for execution under Ethiopian law, this possibility is not completely ruled out should courts find any strong reason to do so. But it should be emphasized that this is rather an exception. According to Article 460 (1), the decision on execution of a foreign judgment is made based on the application "unless the court for some reason to be recorded decides to hear the parties at a hearing it shall fix."

Modes of Execution

In relation to ways of execution of foreign judgments, we can talk of two international modes. According to the first type, a foreign judgment is enforced only after the satisfaction of the conditions for execution and after an exequatur, i.e., written declaration of enforceability is granted. The basic idea behind this system is that the judgment that is sought to be enforced need not be litigated on as a new suit. Latin American states and European Countries are known to be the advocates of this doctrine.

In the other, second mode, however, foreign judgments are enforced upon another judgment and they are not enforced simply after checking the fulfillment of the conditions for execution. One should not equate this system as requiring a complete re-litigation, however.

What do you think is Ethiopian laws' position with regard to mode of execution that has to be followed? This can be ascertained or at least guessed a close reading of the provisions on procedure and decision i.e., articles 459 and 460.

Ibrahim Idris, makes the following suggestion on this point:

Close examination of Ethiopian law reveals that the law seems to be nearer to the second of the two modes. Under Ethiopian law prior to a foreign judgment being made effective, a domestic judgment must be made to that effect. For the rendering of a domestic judgment agreeing or confirming the foreign judgment, the court is bound to ascertain if the conditions stated in the civil procedure code are met. The fulfillment of the conditions becomes mandatory insofar as no international convention to which Ethiopia has become a party provides otherwise.

Finally, on the question of effects of a recognized/enforced judgment, there are two competing theories; the theory of equalization of effects and the theory of extension of effects. The two approaches imply:

- Equalization of effects – the judgment has same effects as the national judgment of the recognizing court;
- Extension of effects – the judgment is given the same effects as it would have been granted by the court of origin.

The European Court of Justice, the authority that is endowed the power to interpret the different community treaties including the Brussels Convention (also the Regulation), for example, has preferred in one of its decisions, *Hoffmann v Krieg* the extension of effects theory. The ruling goes:

“A foreign judgment which has been recognized by virtue of Article 26 of the Convention must in principle have the same effects in the state in which enforcement is sought as it does in the state in which judgment was given.”

What do you think is the position of Ethiopian law on this point? Please read Article 460 (3) of the Civil Procedure Code and write your answer in the space provided below.

The answer looks fairly easy. The above mentioned provision unequivocally declares that “once permission to execute is granted, the foreign judgment shall be executed in Ethiopia as though it had been given by an Ethiopian court.”

Section 2

Recognition and/or Enforcement of Foreign Arbitral Awards

2.1 General Remarks about arbitration and foreign arbitral awards

In our today's world, arbitration and other alternative dispute resolution mechanisms are widely in use as a substitute means of resolving disputes of both domestic and international character at an ever increasing scale. Because of a number of advantages ADR mechanisms provide over the formal state-sponsored court litigation, their significance in the present world (in particular in the commercial world) is increasing from day to day. One of these alternative, out-of-court, means of settling disputes which is by far the leading (in terms of popularity and efficiency) from the list of ADR mechanisms is arbitration.

Arbitration is "a private method of dispute resolution, chosen by the parties themselves as an effective way of putting an end to disputes between them, without recourse to the courts of law." In arbitration, as can be gathered from the definition, the parties themselves choose to arbitrate. Besides, the judges that are called arbitrators are generally chosen by the parties themselves (this is always the case in ad hoc type of arbitrations while it may not always be true in institutional arbitrations). The arbitrators will, in the first place, help parties reach at an agreement by themselves. However, if that is proved impossible, in arbitration, as opposed to the case for other ADRs like mediation, arbitrators can give a decision which will be binding on the parties.

There are a number of advantages that arbitration provides over a formal court proceeding. Just to mention some; arbitration most of the time involves speedy adjudication of a dispute as opposed to lengthy and time taking court litigations,

flexibility is highly ensured in arbitration as opposed to court litigations wherein rigid rules of procedure that are fixed in advance are mandatorily applied(parties, for example, can make informal communications in arbitration), confidentiality is, relatively speaking, maintained to a higher degree when a dispute is resolved by means of an arbitration than when it goes through a court of law where public hearing is the rule.....

One important aspect of arbitration that is worth noting is that an arbitral tribunal does not have the power and prerogatives of a court of law to enforce its decisions. Once an arbitral tribunal has made its award, it has fulfilled its function and its existence comes to an end. The award that it gives, if it is not carried out voluntarily by the losing party, may be enforced by legal proceedings.

In relation to enforcement, a distinction can be made between enforcement of an award in a state that is the seat of the arbitration and enforcement which is regarded as “foreign” or “international”. While internal enforcement is asked in the same country where the award to be executed is given, foreign awards are those that are made outside of the territory of the state in which recognition or enforcement is sought. Since in Private international law we study cases that, in one way or another, involve more than one state, it will be the latter type of enforcement, i.e., foreign or international enforcement that will be the focus of our study here.

In contrast to a domestic dispute where the assets of the losing party are usually located within the country in which the arbitration proceedings take place, in international commercial arbitration, the contrary is likely to be the case. And, this is the underlying reason why recognition and/or enforcement of an arbitral award is sought in a state other than the state where the award is delivered. In the words of the co-authors of the book titled International Commercial Arbitration:

The place of arbitration will usually have been chosen, by or on behalf of the parties, precisely because, inter alia, it is a place with which they have no connection. In other words, the place of arbitration has been chosen as a neutral forum. It would be purely fortuitous if the parties happened to have assets situated within this neutral country. If the award has to be enforced, it must generally be enforced in a country other than that in which it was made. ..., this is why it is important that international awards should be recognized and enforced internationally, and not merely in a country in which they are made.

Taking in to account this need and with a view to fostering commercial activities worldwide, many countries have laws that govern recognition and/or enforcement of foreign arbitral awards. Besides, there exist international treaties to which the majority of countries of the globe are a party.

2.2 Enforcing foreign arbitral awards in Ethiopia

Though it is not a member to any of the major conventions on recognition/enforcement of foreign arbitral awards, our country Ethiopia has incorporated a provision that deals with the issue in its Civil Code. Article 461 of the Code is given the title 'enforcement of foreign judgments.' This provision, which has got two sub-articles, firstly, lays down conditions that need to be fulfilled for enforcement of foreign arbitral awards Ethiopia. Secondly, under sub-article two, it is stated that the provisions dealing with enforcement of foreign awards can be applied, *mutatis mutandis*, to questions of foreign arbitral awards. By virtue of this gap filling provision, therefore, a judge seized of a question of enforcement of a foreign arbitral award can apply whatever rule he/she thinks are relevant from Articles 456-460. One of such provisions that will definitely be applied when a court entertains a question of recognition/enforcement of a foreign arbitral award is Article 459

which talks about 'procedure'. Since the law on foreign awards does not provide specific procedures that need to be followed when application of a foreign award is processed by a court, those steps that apply for a foreign judgments can be applied *mutatis mutandis*. One can make same kind of argument for the application of the provisions dealing with, form of application (article 457), and decisions (article 460). There is also a strong need for the basic principles as laid down under article 456 to be relied on in the case of recognition/enforcement of foreign arbitral awards.

It has to be noted that the title of this important provision on the subject under discussion, i.e., article 462, is worded: 'enforcement of foreign awards.' Once again, the question of whether the recognition aspect was intentionally omitted or not comes to the picture in connection to this provision as it does with the heading of the chapter itself, i.e., Chapter 2. What should be noted is that, as is the case for foreign judgments, a question solely of recognition can be brought regarding a foreign arbitral award decided abroad. In such circumstances, there may arise a practical necessity to apply the same yardsticks that we have on enforcement for recognition of foreign arbitral awards purpose. It is also to be remembered that enforcement at all times presupposes recognition of whatever is to be enforced (whether this is a foreign judgment or a foreign award). As such, the perplexity that can be faced whenever enforcement of a foreign award is asked because of lack of provisions on recognition might be remedied in the way we discussed above.

Before we move on to the discussion on the conditions for enforcement of foreign awards under Ethiopian law, it will be helpful to briefly see the direction of international conventions on the subject.

Starting from a long time back, different efforts had been exerted to come up with a multilateral treaty that regulates the issue of recognition and/or

enforcement of foreign awards. The first success in this respect came in the year 1923 when the Geneva Protocol was adopted. Though the year 1927 saw the coming in to effect of another treaty, i.e., the Geneva Convention-1927, the New York Convention on the Recognition and Enforcement of Foreign Arbitral Awards (1958) is the unparalleled treaty on the matter both in terms its broadness and the very wide acceptance it received from countries of the world. This convention, which is known as the New York Convention in short, was adopted by the UN Diplomatic Conference on 10 June 1958 and entered in to force on 7 June, 1959. The convention requires courts of contracting states to give effect to private agreements to arbitrate and to recognize and enforce arbitration awards made in other contracting states. This treaty which is considered as a foundational instrument for international arbitration is one of the most widely accepted treaties with 142 countries party to it. Only 52 countries, including Ethiopia, are non-members to this convention at this time.

2.2.1 Conditions for recognition and/or enforcement of foreign awards

The New York convention, among other things, lays down conditions for recognition/enforcement and grounds for refusal of foreign awards. Some of these grounds are the same as those included in our law while some are not. Let's have a look at what the Ethiopian law provides as conditions for enforcement and we shall discuss the New York Convention's requirements side by side with our law.

Article 461 – Enforcement of Foreign Awards

- 1) Foreign arbitral awards may not be enforced in Ethiopia unless:
 - a. Reciprocity is ensured as provided for by Art.458(a);

- b. The award has been made following a regular arbitration agreement or other legal act in the country where it was made;
 - c. The parties had equal rights in appointing the arbitrators and they have been summoned to attend the proceedings;
 - d. The arbitration tribunal was regularly constituted;
 - e. The award does not relate to matters which under the provisions of Ethiopian laws could not be submitted to arbitration or is not contrary to public order or morals; and
 - f. The award is of such nature as to be enforceable on the condition laid down in Ethiopian laws.
- 2) The provisions of the preceding Articles shall apply by analogy when the enforcement of a foreign award is sought.

The first condition relates to the question of whether or not the country in which the foreign award is given recognizes/enforces awards given on the Ethiopian soil. The New York Convention also recognizes reciprocity as a condition but in very exceptional circumstances.

The second requirement provides that the arbitration agreement should in the first place be made following the legal requirements in the country it was made. A much related condition under New York Convention makes capacity of the parties and generally the validity of arbitration agreement a prerequisite for enforcement.

The third condition pertains to 'procedural due process'. Though a private way of dealing with disputes, in arbitration, there should be followed some procedures that ensure the equal treatment of the parties. Our law requires that, parties to an arbitration proceeding be given equal right in appointing

the arbitrators and have the right to a hearing. Under New York Convention as well, “if the party against whom the award is invoked was not given proper notice of the appointment of the arbitrator or of the arbitration proceedings or was otherwise unable to present his case...”, then this can serve as a ground for refusal to enforce the award.

Fourthly, it is a requirement under our law that the arbitration tribunal be regularly constituted. This requirement, it can be argued, covers, among other things, the issue of jurisdiction which is explicitly made a precondition under New York Convention. This includes instances where there is either no valid agreement to arbitrate or the arbitration tribunal has acted in excess of its authority or *ultra petita*.

The fifth requirement has two conditions within it. The first relates to arbitrability and the second; public morality. According to the first condition, if the matter decided by the foreign tribunal was of the nature that under Ethiopian law it could not be subjected to arbitration proceedings, then such an award may not be enforced. The New York Convention provides, in a similar fashion, that “if the competent authority in the country where recognition and enforcement is sought finds that the subject matter of the difference is not capable of settlement by arbitration under the law of that country, enforcement of the award may be refused.”

Meeting the public morality and policy requirements is also another precondition. It has to be remembered from discussions elsewhere in this module that providing a definition for public policy and public morality a difficult task. However, this serves as a filtering point that gives the recognition/enforcing forum the chance to avoid the execution of awards that run contrary to the established values of its people. This same condition is

can be found under the New York Convention but the same treaty is cautious about an unnecessary expansive application of public policy.

Eventually, it is required under Ethiopian law that an award to be enforced must have the nature that makes it enforceable in conformity with Ethiopian law in general.

By way of conclusion, it can be said that our law has incorporated essential elements of the conditions for recognition/enforcement of foreign awards that are included in the New York Convention. There are, however, a lot other important points of the Convention that are not covered by the Ethiopian law.

Below is an article (a case comment) written by Samuel Teshale that makes theoretical analysis and practical observations on one of the conditions for recognition and/or enforcement of foreign judgments under Ethiopian law, i.e., reciprocity. I invite you to thoroughly read this enjoyable contribution.

Samuel Teshale, Reciprocity with Respect to Enforcement of Foreign Judgments in Ethiopia: A Critique of the Supreme Court's Decision in the *Paulos Papassinuos Case*, 12 the African J. of Int'l & Comp. Law 3, pp. 569 et seq.[footnotes omitted]

I. Introduction

The legal instruments specifically dealing with enforcement of foreign judgments in Ethiopia are the Ethiopian Civil Procedure Code of 1965 and the Federal Courts Proclamation of 1996. The latter provides that the Federal High Court of Ethiopia shall have first instance

jurisdiction over cases of enforcement of foreign judgments. The Civil Procedure Code, on the other hand, lays down the requirements for execution of foreign judgments in Ethiopia. (See appendix).

Among the various requirements laid down for granting execution of foreign judgments, the focus, in this article, will be on the reciprocity rule stipulated under Art. 458(a) of the Civil Procedure Code which provides as follows:

Permission to execute a foreign judgment shall not be granted unless the execution of Ethiopian judgments is allowed in the country in which the judgment to be executed was given;...

In particular, the author will attempt to scrutinise how the Ethiopian Supreme Court applied this provision in the Paulos Papassinuos Case.

II. Contents of the Case

A court in Greece declared Mr. Paulos Papassinuos testamentary successor to the property, which was located in Ethiopia, of his deceased mother. The Ethiopian Consular Office in Greece duly authenticated this judgment. Then, Mr. Papassinuos made an application to the Federal High Court of Ethiopia for execution. He claimed that execution of the Greek judgment in Ethiopia would not affect the latter's public order and morals, and that as the property was within the reach of the court the execution was practicable.

The court had to determine whether Greece allows the execution of Ethiopian judgments as required by Art. 458(a) of the Ethiopian Civil Procedure Code (i.e. the reciprocity requirement). In order to examine this, it ordered the Ministry of Foreign Affairs to supply information. The latter responded that no "treaty of judicial assistance" had been signed between Ethiopia and Greece. The court also noted that the applicant submitted no other evidence to show that Greece enforces judgments rendered in Ethiopia.

The court thus concluded in its judgment:

Since there is no treaty that enables Ethiopian Courts to execute judgments rendered in Greece, we hereby reject the application of judgment-creditor.

Thus, in his appeal to the Supreme Court, the judgment-creditor argued that Art.458 (a) merely requires proof of the fact that judgments rendered in Ethiopia are executed in Greece. It does not rule that there should be a treaty between the two states in order to execute judgments rendered in each other's courts. Hence, the Federal High Court had erred in its interpretation of the provision.

After examining the two alternatives interpretation, the Supreme Court held that Ethiopian judgments can be executed in a foreign state if there is a treaty of judicial assistance between Ethiopia and that state. As it was ascertained by the lower court that no such treaty had been signed between Ethiopia and Greece, it was not therefore proved that Greece executes judgments rendered in Ethiopia. Consequently, the judgment rendered in Greece should not be allowed execution in Ethiopia pursuant to Art. 458(a).

III. A Critique of the Supreme Court's Decision

The reasoning of the High Court appears to be less consistent than that of the Supreme Court. It seems to allow submission of evidence other than a treaty of judicial assistance to establish reciprocity. In its conclusion, however, it ignores such alternative and states that the non-existence of a treaty between Ethiopia and Greece is the sole proof requisite to establish the fact that Greece does not allow execution of judgments rendered in Ethiopia.

The Supreme Court is unequivocal: The only way to prove that another state allows execution of Ethiopian judgments is by showing a treaty of judicial assistance signed between Ethiopia and that state. If such a treaty does not exist, then the requirement of reciprocity is not satisfied.

Let us examine the holding of the Supreme Court in light of:

A. the objective of the reciprocity principle in relation to execution of foreign judgments;

B. its practical consequences, and

C. the impact on the other pertinent provisions of the Ethiopian law of execution of foreign judgments.

A. Is the interpretation of Art. 458(a) upheld by the Supreme Court harmonious with the objectives of reciprocity?

The reciprocity rule is necessitated by the absence of international sanction against states that refuse to enforce foreign judgments. It is a self-help measure designed to ensure respect for a state's judgment by another state. Pursuant to this principle, a state that has adopted reciprocity shall refuse to enforce judgments of those states that do not enforce its judgments.

The problem with reciprocity as applied by the Ethiopian Supreme Court, however, is that it results in refusal of enforcement of judgments originating from a state that normally respects Ethiopian judgments. According to the law of Quebec, for instance, a foreign judgment is enforceable if it fulfils the requirements of jurisdiction, finality, conformity with natural justice and principles of *lis pendens* and public order. These criteria are largely the same as the ones adopted by the Ethiopian law of execution of foreign judgments. Yet, the law of Quebec does not condition the enforcement of foreign judgments on reciprocity. Therefore, if judgment rendered in Ethiopia fulfils the above mentioned criteria, then it will normally be executed in Quebec. If we follow the interpretation of reciprocity adopted by the Supreme Court of Ethiopia in the *Papassinuos* case, however, judgments rendered in Quebec will not be executed in Ethiopia. No treaty of judicial assistance has ever been signed between Ethiopia and Canada.

According to the Law of Greece too, foreign judgments that are rendered by a competent court complying with principles of natural justice, *res judicata* and public order are freely enforceable. Besides, reciprocity is not a requirement. Thus, Greece will normally execute judgments rendered in Ethiopia. Yet, it has not signed a treaty to that effect with the latter.

In short, the very assumption of the Ethiopian court that any foreign state would not execute Ethiopian judgments in the absence of the treaty flies in the face of practice and law obtaining in a number of states. To be precise there are states which have not signed a treaty of judicial assistance with Ethiopia but which will normally enforce Ethiopian judgments.

Now that the Supreme Court rejects judgments originating from these states, the consequence can be retaliatory rejection of Ethiopian judgments. Therefore, reciprocity, as currently applied by the Ethiopian Supreme Court, is not serving to induce other states to execute Ethiopian judgments. Rather, it is doing exactly the opposite.

Moreover, the current mode of application of reciprocity by the judiciary in Ethiopia coupled with the fact that the country has not signed a treaty of judicial assistance with any states leads to a dangerous outcome of across the board rejection of foreign judgments in Ethiopia. It should be noted, on the other hand, that the reciprocity principle, as embraced by the majority of states in the world demands a respect for judgment of states that give due respect to the judgments of other states.

*The other goal of reciprocity is protection of nationals. It was for this purpose that the US Supreme Court in *Hilton v. Guyot* invoked reciprocity. According to that court, a judgment obtained in a state that does not honor American judgments would be denied enforcement when the judgment debtor (or the loser) is an American national. If the judgment is in favour of an American citizen, or if both litigants are not American citizens enforcement would be barred.*

The interpretation of the reciprocity principle preferred by the Ethiopian Supreme Court has no room for such distinctions. Therefore, it cannot serve this other goal of reciprocity – i.e. protection of nationals.

B. Can the interpretation of reciprocity upheld by the Supreme Court bring about desirable practical consequences?

The only remedy left to judgment-creditors such as Mr. Papassinous is an action de novo since the foreign judgment is denied as res judicata effect. This entails:

- 1. Miscarriage of justice and,*
- 2. Negative impact on the Ethiopian economy.*

- 1. Miscarriage of Justice*

- i. By action de novo, the person who has obtained a judgment abroad at considerable expense and inconvenience is subjected to another piece of litigation in Ethiopia on the same facts and issue. Indeed, such mishap may result even when the reciprocity principle is correctly applied. However, under the current mode of application of the principle by Ethiopian Courts, the mishap is bound to recur almost in every case. This makes the country a safe haven to judgment-debtors against successful litigants.*

- ii. The unfortunate judgment- creditor, who nevertheless, is persistent enough to bring an action de novo in Ethiopia, could face still other difficulties. Firstly, what if the Ethiopian court, seized of this action de novo, rules, on a reasonable ground, that Ethiopia does not have judicial jurisdiction over the case? Then, the person would be left without any remedy at all. For example, in *Tafesse Ayalew v. Clarville A. J. Co.*, the Addis Ababa High Court held that it lacked jurisdiction over the case presented to it since the parties had agreed in their contract to submit their dispute to English Courts. This is fairly reasonable decision. But it seems that according to the current mode of application to the reciprocity rule by the Ethiopian Courts, since Ethiopia and England had not signed a treaty of judicial assistance, even if one of the practices could succeed in winning a judgment in England, such judgment would not be “worth the paper on which it is written” when it comes to enforcement of it in Ethiopia.*

To make it worse, Ethiopia has neither a statute nor a precedent system pertaining to Private International Law. Hence, this area of law is devoid of certainty, uniformity, and predictability. If the reciprocity rule is correctly applied, only judgment -creditors from a state

that does not execute Ethiopian judgments will be subjected to this chaotic situation. According to the Supreme Court's interpretation of the rule, however, this problem is going to be the lot of all judgment-creditors seeking execution in Ethiopia.

2. Negative impact on the economy

i. The law of execution of foreign judgments is a notable signpost of the investment climate in a given country. Hence, it is bound to be seriously regarded by foreign businessmen. As Gutteridge points out:

Nothing can be imagined more galling to a man of business who has obtained a judgment in his own courts, than to discover that his debtor has sought refuge, in company with all his assets, in some foreign country and that the judgment which is obtained at such great trouble and expense is, not worth the paper on which it is written.

In other states, when parties are warned against such barriers, they resort to arbitration. In most legal systems, the reciprocity requirement does not apply in respect of foreign arbitral awards. One can readily agree with Juenger who capitalizes on the paradox of giving less credit to decisions of courts than to those of arbitral panels. At any rate, that fact would serve as an outlet to the businessman galled by the risks of re-litigation. The Ethiopian law, however, does not give such an outlet because it requires the application of the reciprocity requirement to foreign arbitral awards too!

If the current mode of application of reciprocity by the Supreme Court persists, therefore, foreign businessmen may avoid entering into transactions with their Ethiopian counterparts or they will simply increase "the transaction costs of doing business" in Ethiopia by demanding advance payment, guarantee and so on. In both cases, the business initiatives of Ethiopians would be damaged.

The other area to be negatively affected is the judiciary itself. That Ethiopian courts deny res judicata effect to foreign judgments means that they will retry the case all over again. This

surely entails an unnecessary waste of the scarce resources and judicial time on foreign disputes of succession, divorce or child custody, which usually have no or little significance to Ethiopia. Therefore, the Supreme Court's decision is oblivious of "fundamental tenets of judicial economy".

C.

Is the Supreme Court's holding justified by a close textual interpretation of the governing law?

The author submits that foreign judgments calling for treaty of judicial assistance are separately addressed under Art. 456(1) of the Civil Procedure Code which provides:

Unless otherwise expressly provided for international conventions [to which Ethiopia is party], foreign judgments may not be executed in Ethiopia except in accordance with the provisions of this chapter.

The law has laid down two grounds for execution of foreign judgments in Ethiopia, namely, on the basis of treaty and on the basis of statutory requirements. Hence, an inquiry for a treaty of judicial assistance would be appropriate only in relation to foreign judgments that rely, for their execution in Ethiopia, on Art. 456(1), i.e. on a treaty provisions. Art.458 (a) governs the rest of foreign judgments i.e. those that do not invoke a treaty for their execution. To demand a showing of a treaty under the latter, thus, makes the two disparate provisions redundant, contrary to the canon of positive interpretation.

As the foregoing discussion clearly reveals, therefore, the Supreme Court's holding that only a treaty of judicial assistance shall prove the existence of reciprocity is erroneous both as a teleological and a textual interpretation of Art. 458(a). Worse still, that interpretation can result in jeopardy to the interests of Ethiopia and its citizens.

IV.

R

ECOMMENDATIONS

How, then, should the reciprocity rule be applied?

A. In order to achieve the main objective reciprocity, it must suffice to prove that execution of Ethiopian judgments in effect allowed in the state in question. An applicant should never be required to adduce a treaty of judicial assistance to establish reciprocity. Prof. Juenger, following his assessment of the laws and practice of numerous countries, reported as to the practical application of reciprocity, as follows:

To be sure, an official declaration by foreign state or a showing that it does in fact honor foreign judgments is usually not required; “de facto recognition” –i.e. Some assurance that the rendition state can be expected to recognize foreign judgments will suffice.

As to how this “de facto recognition” is to be proved, the following models are instructive. In Germany, which has the same rule of reciprocity as that of Ethiopia, what is required is a proof that under its statute or case law the rendition state recognises German judgments. This is done by consulting “standard commentaries and reference books” or on the basis of the testimony submitted by German institutions for Comparative Law.

The Spanish law has a very interesting lesson to offer Ethiopian judicial practice. According to Hemanz, there are two “tires” in the Spanish law of enforcement of foreign judgments. The first “tier” is the enforcement judgments originating from a foreign state that has signed a treaty with Spain. If there is no such treaty, the foreign judgment will be enforced on the basis of reciprocity. It seems that the first “tier” corresponds to the Art. 456(1) of Ethiopian Civil Procedure Code while the second “tier” corresponds to Art.458 (a).

As to the modalities of proof of reciprocity, a variety of alternatives have been considered in Spanish jurisprudence. Some jurists suggested that whether the rendition state executes Spanish judgment should be established by looking into its statutory law. Others argue that it is actual practice of the foreign state that must be adduced. Still others propose submission of

both statute and factual data. There is also another opinion according to which positive reciprocity should be established by statute or negative reciprocity by factual data.

The Venezuelan Supreme Court, on the other hand, simply required a certificate signed by two attorneys practicing in the rendition state confirming that the latter executes Venezuelan judgments.

A cursory glance at the abovementioned example indicates that the alternative being recommended by the author presents a problem of evidence. Yet, this problem is a necessary evil to be grappled with by a legal system that has opted to benefit from the reciprocity necessarily hinders speedy and inexpensive dispute settlement. What must be sought, hence, short of repeal of the reciprocity rule, is a mitigation of the rigors of proof.

It may be argued that the jurisprudence of certain state is reflected in both its statutes and judicial practice. Therefore, both must be adduced to establish whether or not that state allows execution of foreign judgments. The author is of the view that though conceptually correct, this approach would present a formidable problem of evidence against any execution of foreign judgments in Ethiopia. Thus, it should be sufficient to show on the basis of either the statute or case law of the rendition state that such state can be expected to allow execution of Ethiopian judgments.

B. It needs to be underlined incidentally that the reciprocity requirement has qualifications. Some of the significant exceptions, as can be gathered from the general practice of states adhering to the reciprocity principle are:

- 1. Reciprocity does not usually apply to non-monetary judgments such as those for child custody. Refusal to enforce child custody judgments, for instance, on the ground of reciprocity may conflict with Ethiopia's commitment to the UN Convention on the Rights of Child.*

2. *The reciprocity requirement should not be applied to deny execution of a foreign judgment granted in favour of an Ethiopian national. That amounts to punishing one's own citizens for the defects of a foreign state.*

3. T
he reciprocity requirement should not result in the denial of justice to the parties. It should not, for instance, be applied when exclusive jurisdiction over the case belongs to the rendition state. In that situation, since Ethiopian courts would not entertain the action de novo for lack of judicial jurisdiction, the judgment-creditor will be unable to obtain any remedy anywhere.

Annex 1

Draft proclamation to Provide for Federal Rules of Private International Law

Whereas people's lives are not restricted within the boundaries of a single state or territorial unit as they are in constant and continuous interaction through marriage. Trade and other activities of daily life in a foreign state where in the course of these relationships disputes are invariably bound to arise:

Whereas it is necessary to incorporate laws that would resolve conflict of laws situations arising out of or in connection with the mobility of people and the diversity of laws:

Whereas it is necessary to incorporate laws that would resolve conflict of laws situation arising out of or in connection with the mobility.

Whereas it is appropriate to provide for a fair and just legal order in cases involving a "foreign element" that is. Whenever all or some of the subjects of disputes occurred elsewhere than in the forum or where one of the parties is a national or domiciliary of another state:

Recognizing that a just and fair disposition of such cases may demand that the court takes account of this "foreign element" to the extent of applying the law of another state insofar as it does not contradict the public policy, fundamental principles of law and morals of the society in which the court is situated;

Whereas the constitution recognizes international treaties ratified by Ethiopia as an integral part of the law of the land and as a member of the international community the country accepts diversity of laws and recognizes and respects the interests of other state and their residents:

Recognizing that there have been no rules of private international law that would guide our courts in adjudicating cases involving a "foreign element" where differences in stance and

inconsistency of decisions persisted in the limited judicial practice due to differences in principles:

Whereas the constitution grants to the states the power to enact civil laws;

Whereas it is necessary to have rules resolving conflict of laws problems between the laws of Ethiopia and the laws of other countries (international conflict). On the one hand and among state laws (inter-state conflicts), on the other;

Whereas in view of the foregoing it is believed in enacting rules of private international law governing the jurisdiction of a court choice of law rules and the recognition and enforcement of judgments rendered by foreign courts or foreign arbitral awards;

Now, therefore, in accordance with Article 55(1) of the Constitution of the Federal Democratic Republic of Ethiopia, It is hereby proclaimed as follows:

Chapter I General provisions

1. Short Title

This proclamation may be cited as “Federal Rules of Private International Law Proclamation No. ____ of 20 ____

2. Definitions

In this Proclamation, unless the context requires otherwise:

1. “Applicable law” shall mean the system of law governing the relationship between the parties and by reference to which their mutual rights and obligations under it are to be ascertained.
2. “Connection” shall refer to a relationship created due to nationality, domicile or residence, the place where facts occur or where contracts are made from which the juridical situation in question arises or the place where the property to which the juridical situation applies.
3. “Court” shall mean a court or tribunal established by law.

4. "Law" shall mean all written legislation as well as rules established by courts, and customary law to the extent that such law is applied by the courts of the country or by the court of the constituent parts of a federal system whose law is in question.
5. "Personal law" shall mean the law of the place where a person is domiciled in accordance with the provisions of Ethiopian law.
3. Reference of terms

Unless otherwise provided for the purpose of this proclamation the terms "Country" and "Ethiopia" shall apply *mutandis* to inter-state conflicts.

4. Scope of Application

1. This Proclamation regulates in the field of private law in international and inter-state matters:
 - a) the jurisdiction of the federal Ethiopian court;
 - b) the applicable law and
 - c) the conditions for recognition and enforcement of foreign decisions and arbitral awards.
2. It shall not extend to public laws in particular to criminal, revenue, customs, or matters that are governed by administrative law.
3. The special provisions of Chapter 4 relating to applicable law shall apply *mutatis mutandis* to inter-state conflict of laws.

5. Foreign element

Foreign element refers to:

1. A personal nature and may pertain to nationality domicile or residence of the interested parties or
2. A local nature and may pertain to the place where facts occur or contacts are made from which the juridical situation arises: or
3. A material nature and may pertain to the place where the property to which juridical situation applies is situated.
6. Ascertainment of Foreign element
 1. The existence of foreign element in a case shall be ascertained in accordance with the provisions of Ethiopia law.

2. Notwithstanding the provisions of sub-article (1) of this Article questions relating to foreign nationality shall be determined in accordance with the appropriate foreign law.

7. Characterization

1. Characterization being a technical process indicating the law governing the issue in question; relates to the method employed to identify whether a certain case has the nature of:

a) substance or procedure: or

b) Movable or immovable property: or other matters of classification

2. Characterization necessary for the solutions of a conflict of laws shall be made by Ethiopian law except where the conflict is resolved by the application of foreign law.

8. Requirement of Full Faith and Credit

In inter-state matters full faith and credit shall be given to the laws judicial proceedings and judgments of the competent court of a state by all other states.

Chapter II Jurisdiction

Section 1. General jurisdiction

9. Jurisdiction in general

1. Unless otherwise provided by this proclamation jurisdiction shall lie with the Ethiopian courts if the defendant is domiciled in Ethiopia.

2. In inter-state disputes jurisdiction shall lie with the federal high court.

3. Unless otherwise provided, the relevant provisions of the federal civil procedure code shall apply to the judicial jurisdiction of the federal High court

Section 2: Special jurisdiction

10. Jurisdiction Based on the Nature of the matter

A person not domiciled in Ethiopia may be sued in Ethiopian courts:

1. in matters relating to a contract if the place of performance of the obligation is in Ethiopia in matters relating to individual contracts of employment if the employee habitually carries out his work in Ethiopia or if the employee does not habitually

carry out his work in any one country if the place where the business which engaged the employee was or is now situated in Ethiopia.

2. in matters relating to maintenance if the maintenance creditor is domiciled or resident in Ethiopia or if the matter is ancillary to proceedings concerning the status of a person, if the defendant is an Ethiopian.
3. in matters relating to tort if the wrongful conduct or the injury occurred in Ethiopia
4. As regards a civil claim for damages or restitution which is based on an act giving rise to criminal proceedings, the Ethiopian court seized of those proceedings to the extent that it has jurisdiction under Ethiopian law to entertain civil proceedings
5. as regards a dispute arising out of the operations of a branch, agency or other establishment if the branch, agency or other establishment is situated in Ethiopia
6. as settler, trustee or beneficiary of a trust created by the operation of a law or by a written instrument or created orally and evidenced in writing if the trustee is domiciled in Ethiopia;
7. As regards a dispute concerning the payment of remuneration claimed in respect of the salvage of a cargo or freight if the cargo or freight in question:
 - a) has been arrested to secure such payment or could have been so arrested, but bail or other security has been given under the authority of the Ethiopian court
 - b) could have been so arrested, but bail or other security has been given under the authority of the Ethiopian court

Provided that this provision shall apply only if it is claimed that the defendant has an interest in the cargo or freight or had such an interest at the time of salvage

11. Jurisdiction based on the Nature of the action

A person not domiciled in Ethiopia may also be sued in Ethiopian courts:

1. Where he is one of a number of defendants if he is domiciled in Ethiopia:
2. as a third party in an action on a warranty or guarantee or in other third party proceedings. If the Ethiopian court seized of the original proceedings:
3. on a counter-claim arising from the same contract or facts on which the original claim was based if the original claim is pending in the Ethiopian court:

4. In matters relating to a contract, if the action may be combined with an action against the same defendant in matters relating to rights in term in immovable property. if the property is situated in Ethiopia
12. Jurisdiction concerning Marital Rights and Duties
 1. For lawsuits or measures concerning marital rights and duties jurisdiction shall lie with the Ethiopian courts if one of the spouses is domiciled in Ethiopia
 2. If neither spouse has his domicile or residence in Ethiopia but one of the spouses is an Ethiopian national jurisdiction for lawsuits or measure concerning marital rights and duties shall lie with the Ethiopian courts if it is impossible or highly impracticable to bring a lawsuit or petition at the domicile of one of the spouses
 3. The provisions of sub article 2 of this Article shall apply mutatis mutandis to law suits concerning divorce and separation.
 13. Jurisdiction concerning filiations
 1. without prejudice to the law governing the authority entitled to register entries, in registering an acknowledgement of paternity jurisdiction shall lie with the concerned Ethiopian authorities at the child's place of birth or residence provided that the domicile or place of nationality of either spouse is in Ethiopia.
 2. If an acknowledgement is made in a judicial proceeding the judge seized with the lawsuit may also record the acknowledgement
 3. For a challenge of acknowledgement jurisdiction shall lie with the same courts as for declaration of paternity or disowning
 4. Without prejudice to the laws relating to the institution responsible for the well – being of children, if the adopting person or the adopting spouses are not domiciled in Ethiopia but one of them is an Ethiopian national jurisdiction for adoption shall lie with the Ethiopian courts if it is impossible or highly impracticable to have an adoption granted at the domicile.
 14. Jurisdiction concerning Guardianship
 1. Ethiopian courts shall have jurisdiction to organize in accordance with Ethiopian law the guardianship of an incapable person in Ethiopia whose status and capacity are not governed by Ethiopian law if the guardianship has not been organized by the

authorities of his country of domicile or nationality and until such time as the guardianship becomes organized.

2. Ethiopian courts shall have jurisdiction over the organization of guardianship of criminals placed under interdiction whenever the person involved was convicted by an Ethiopian court.

15. Jurisdiction Concerning Succession

1. For probate proceedings and inheritance litigation jurisdiction shall lie with the Ethiopian courts if the deceased was last domiciled in Ethiopia
2. Sub-article (1) of this Article shall not apply to an immovable property situated outside Ethiopia.

16. Jurisdiction Concerning Limitation of Liability

Where by virtue of the relevant Ethiopian law an Ethiopian court shall have jurisdiction in actions relating to liability from the use or operation of a ship, it shall also have jurisdiction over claims for limitation of such liability

17. Jurisdiction in Matters Relating to insurance

In matters relating to insurance jurisdiction shall be determined according to the following provisions (Articles 18 – 22) without prejudice to the provision of Article 10 sub-article (5) of this proclamation.

18. Jurisdiction over Suits Against Insurers

1. An insurer may be sued in Ethiopian courts where:
 - a) he is domiciled or registered in Ethiopia or
 - b) the policy-holder is domiciled in Ethiopia or
 - c) he is a co-insurer and proceedings against the leading insurer was brought in Ethiopia
2. An insurer who is not domiciled in Ethiopia but has a branch, agency or other establishment in Ethiopia shall in disputes arising out of the operations of the branch, agency or establishment be deemed to be domiciled in Ethiopia.

19. Jurisdiction regarding Liability Insurance

In respect of liability insurance or insurance of immovable property, the insurer may in addition be sued in the Ethiopia courts if the harmful event occurred in Ethiopia. The same

applies if movable and immovable property are covered by the same insurance policy and both are adversely affected by the same contingency.

20. Suits Brought by Insurers

1. Without prejudice to the provisions of sub-article 3 of Article 21, an insurer may bring proceedings only in the Ethiopian courts if the defendant is domiciled in Ethiopia, irrespective of whether he is the policy-holder the insured or a beneficiary
2. The provisions of this section shall not affect the right to bring a counterclaim in the court in which in accordance with this section the original claim is pending in Ethiopia.

21. Choice of Jurisdiction

The foregoing provisions (Articles 10 – 20) may be departed from only by an agreement:

1. Which is entered into after the dispute has arisen, unless otherwise provided by law, or
2. which allows the policy-holder the insured or a beneficiary to bring proceedings in courts outside Ethiopia or
3. which is concluded between a policy-holder and an insurer both of whom are domiciled in Ethiopia and which has the effect of conferring jurisdiction on the courts of Ethiopia even if the harmful event were to occur aboard provided that such an agreement is not contrary to law of Ethiopia or
4. which is concluded with a policy-holder who is not domiciled in Ethiopia, except in so far as the insurance is compulsory or relates to immovable property situated outside Ethiopia or
5. Which relates to a contract of insurance in so far as it covers one or more of the risks set out in Article 22.

22. Risks Defined

1. Any loss or damage to:
 - a) sea-going ships installations situated offshore or on the high seas, or aircraft, arising from perils which relate to their use for commercial purposes;
 - b) goods in transit other than passengers' baggage where the transit consists of or includes carriage by such ships or aircraft

2. Any liability, other than for bodily injury to passengers or loss of or damage to there baggage:
 - a) Arising out of the use or operation of ships installations or aircraft as referred to in sub-articles
 - b) in so far as such aircraft are registered according to Ethiopian law and same does not prohibit agreements on jurisdiction regarding insurance of such risks;
 - c) For loss or damage caused by goods in transit as described in sub-article (1) (b) of this Article;
3. Any financial loss connected with the use or operation of ships installations or aircraft as referred to in sub-article (1) (a) of this Article in particular loss of freight or charter hire.
4. Any risk or interests connect with any of those referred to in sub-article (1) to (3) of this article.

23. Jurisdiction over consumer Contracts

In proceedings concerning a contract concluded by a person for a purpose which can be regarded as being outside his trade or profession, hereinafter called 'the consumer' jurisdiction of Ethiopian courts shall be determined by this section, without prejudice to the provisions of Article 10 sub-article (5) if it is:

1. a contract for the sale of goods on installment credit terms; or
2. a contract for a loan repayable by installments or for any other form of credit made to finance the sale of goods or
3. any other contract for the supply of goods or a contract for the supply of services and
 - a) if the consumer had his domicile in Ethiopia before the conclusion of the contract and a specific invitation was addressed to him or an advertisement was posted in Ethiopia: and
 - b) the consumer took in Ethiopia the steps necessary for the conclusion of the contract
4. where a consumer who is domiciled in Ethiopia enters into a contract with a party outside Ethiopia but has a branch agency or other establishment in another country,

that party shall in disputes arising out of the operations of the branch, agency or establishment, be deemed to be domiciled in that place

5. This Section shall not apply to contracts of transport

24. Suits Brought by or Against Consumers

1. A consumer who is domiciled in Ethiopia may bring proceedings against the other party to a contract in Ethiopian courts
2. The provisions of sub-article (1) shall not preclude the consumer from bringing proceedings in the country in which the other party is domiciled.
3. However the other party may only bring proceedings against the consumer in Ethiopian courts

25. Choice of Jurisdiction

The foregoing provisions (Articles 23 – 24) may be departed from only by an agreement

1. Which is entered into after the dispute has arisen unless otherwise provided by law; or
2. which allows the consumer to bring proceedings in foreign courts: or
3. Which is entered into by the consumer and the other party to the contract, both of whom are at the time of conclusion of the contract domiciled in Ethiopia, and which confers jurisdiction on the Ethiopian courts. Provided that such an agreement is not contrary to the law of Ethiopia.

26. Exclusive Jurisdiction

Ethiopian courts shall have exclusive jurisdiction over the following matters, regardless of domicile:

- a) movable property or tenancies of immovable property, if the property is situated in Ethiopia
- b) However, in proceedings which have as their object tenancies of immovable property concluded for temporary private use for a maximum period of six consecutive months the courts of the country in which the defendant is domiciled shall also have jurisdiction provided that the landlord and the tenant are natural persons and are domiciled in the Ethiopia;

1. In any proceeding which relates to business organizations or other legal persons, if the relevant laws of Ethiopia are applicable
2. In proceedings which have as their object the validity of entries in public registers, if the register is kept in Ethiopia
3. in proceedings concerned with the registration or validity of patents, trademarks, designs or other similar rights required to be deposited or registered the deposit or registration has been applied for or taken place in Ethiopia or is under the terms of an international convention deemed to have taken place in Ethiopian
4. in proceedings concerned with the enforcement of foreign judgments if the judgment has been or is to be enforced in Ethiopia

27. Agreement Conferring Jurisdiction

1. If the parties one or more of whom is domiciled in different countries, have agreed that an Ethiopia court is to have jurisdiction to settle any disputes which have arisen or which may arise in connection with a particular legal relationship that court shall have exclusive jurisdiction such an agreement conferring jurisdiction shall have exclusive jurisdiction
 - a) in writing or evidenced in writing or
 - b) in a form which accords with practices which the parties have established between themselves or
 - c) in international trade or commerce in a form which accords with a usage of which the parties are or ought to have been aware and which in such trade or commerce is widely known to and regularly observed
2. Where such an agreement is concluded by parties none of whom is domiciled in Ethiopia, the Ethiopian courts may decline jurisdiction
3. The Ethiopian court on which a trust instrument has conferred jurisdiction shall have exclusive jurisdiction in any proceedings brought against a settler trustee or beneficiary if between these persons or their rights or obligations under the trust are involved
4. If an agreement conferring jurisdiction on Ethiopian courts was concluded for the benefit of only one of the parties that party shall retain the right to bring proceedings in any foreign court which has jurisdiction by virtue of this proclamation

5. In matters relating to individual contract of employment an agreement conferring jurisdiction on an Ethiopian court shall have legal force only

- a) if it is entered into after the dispute has arisen: or
- b) if the employee invokes it to seize courts other than those for the defendant's domicile or those specified in Article 10 sub-article (1) of this proclamation

28. Jurisdiction Created by Appearance

A part from jurisdiction derived from other provisions of this proclamation the Ethiopian court before whom a defendant enters an appearance shall have jurisdiction. This provision shall not apply where appearance was entered solely to contest the jurisdiction. This provision shall not apply where appearance was entered solely to contest the jurisdiction, or where the facts specified in Article 26 of this proclamation have no connection with Ethiopia

Section 5: Examination as to Jurisdiction and Admissibility

29. Examination of Jurisdiction

- 1. Where a defendant not domiciled in Ethiopia is sued in an Ethiopian court and does not enter an appearance the court shall declare of its own motion that it has no jurisdiction unless its jurisdiction is derived from the provisions of this proclamation
- 2. The court shall stay the proceedings so long as it is not shown that the defendant has been able to receive the document instituting the proceedings in sufficient time to enable him to arrange for his defense or that all necessary steps have been taken to this end.

Section 6: Pendency

30. Jurisdiction of the court first seized

- 1. Where proceedings involving the same or similar questions of law or fact and between the same parties are brought in the Ethiopian and foreign courts the Ethiopian courts shall of its own motion stay its proceedings until such time as the jurisdiction of the foreign court first seized is established.
- 2. Where the jurisdiction of the foreign court first seized is established the Ethiopian court shall decline jurisdiction in favor of that court.

3. The provisions of this Article shall not be applicable where actions come within the exclusive jurisdiction of Ethiopian courts
4. For the purpose of this section “the court first seized” shall mean the court before which the action is first instituted and a file number is given thereto.

31. Jurisdiction Over Related Action

1. Where actions involving the same or similar questions of law or fact (related actions) are brought in the courts of different countries and the foreign court first seized has jurisdiction over the related action, while the actions are pending at first instance, the Ethiopian courts shall stay its proceedings.
2. Where the foreign court first seized has jurisdiction over both related actions, the Ethiopian court seized of one of the related actions may on the application of one of the parties or of its own motion decline jurisdiction over the action

32. Provisional Measures

Notwithstanding that according to this proclamation Ethiopian courts have no jurisdiction they may give such provisional including protective measures, pursuant to Ethiopian law.

Chapter III Applicable law General

33. Scope of Conflicts Rule

1. Unless otherwise provided in this proclamation the law significantly connected to the case shall apply to both international and inter-state conflict of laws
2. Where this proclamation refers to a foreign law the reference shall encompass all provisions that are applicable to the case according to that law

34. Mandatory Application of Foreign Law

1. In matters relating to personal status Ethiopian courts shall of their own motion apply the appropriate foreign law
2. In all other matter Ethiopia courts shall only apply the appropriate foreign law on the request of the person who invokes the provisions of such law.

35. Renvoi

1. Where a foreign law is applicable under this proclamation and the rules relating to private international law of that country provides that another foreign law is applicable, then such other foreign law shall be applicable and if such other foreign

law does not consider itself applicable the law of the country with significant connection to the case shall apply

2. Where under this proclamation a foreign law is applicable and the matter is referred back to Ethiopia Ethiopian law shall apply

36. Proof of foreign law

1. The burden of proving the necessity of applying a foreign law and the content of the applicable foreign law shall lie on the party who asserts the application of that foreign law.
2. The evidence submitted by any party to prove the contents of foreign law shall not be binding on the court which may establish the contents and interpretation of a foreign law from its own investigation
3. Where the Ethiopian court is satisfied that the contents and interpretation of a foreign law is not sufficiently clear in whole or in part to enable its application the court may, to such extent as may be necessary apply Ethiopian law instead of the foreign law.

37. Exclusion of Application of Foreign law

The application of provisions of a foreign law shall be excluded if the outcome is incompatible with Ethiopian public policy or to fundamental principles of justice and fairness and to such principles as are laid down in international human rights legislations

38. Mandatory Application of Ethiopian law

Notwithstanding the applicable law designed by this proclamation, the mandatory application of laws that are deemed to be territorial and that pertain to:

1. the Federal constituent and regional constitutions
2. the organization function and services of both the federal and regional public service
3. Matters of police forces and internal security and
4. the basis of the economic organization of the country

and of those provisions of law that are stipulated to safeguard public interests of high standing shall be reserved

39. Fraud

The existence of forging elements shall not affect the law to be applied where such foreign element was created with the sole object of avoiding the application of such law.

40. Domicile and Residence of a Natural Person

For the purpose of this proclamation, the domicile and residence of a natural person shall have the meaning given to them in the Civil Code of Ethiopia.

41. Seat of Business organization

1. Business organizations shall be domiciled at the seat
2. The seat of a business organization shall be at the country of incorporation

Chapter IV Special Provisions

Section I. Persons

42. Status of Natural Persons

The status of a natural person shall be governed by the personal law of such person

43. Capacity of natural persons

1. The general capacity of natural person of exercising rights shall be governed by the personal law of such person
2. The special capacity to perform specified legal acts shall be governed by the law applicable to the matter to which such acts relate.

44. Exceptions

1. An act performed by a person who would not have had the capacity to perform that act under his personal law shall be valid, if he has capacity under the law of the country in which the act is performed
2. The provisions of this Article may not apply to matters relating to family law succession and donation inters vivos.

45. Status and Capacity of Bodies Corporate

Subject to the relevant provisions of Ethiopian law governing the existence and operation of a body corporate and the powers of its organs the status and capacity of business organization or other legal persons shall be governed by the law of the country of incorporation

Section 2: Marriage And Divorce

46. Substantive Requirements of marriage

1. The substantive requirements for the validity of a marriage shall be governed, for any of the future spouses by the law which he or she earns his or her status at the time the marriage is celebrated.
2. Where one or more requirements for the validity of a marriage celebrated in Ethiopia which would otherwise be governed by a foreign law are disregarded by reason of Ethiopian conception of public policy such requirements shall be governed by Ethiopian law.

47. Formal Requirements of marriage

A marriage shall be valid as regards form if it is celebrated in accordance with the form prescribed by the law of the place where the marriage is celebrated

48. Marriage celebrated by diplomatic Agent or Consul

1. An Ethiopian diplomatic agent or consul may celebrate in a foreign country a marriage between two Ethiopian citizens and between an Ethiopian citizen and a foreigner.
2. A marriage celebrated in Ethiopia by a diplomatic agent or consul of a foreign country between nationals of that country or between a national of that country and another person who is not a national of that country including Ethiopia shall be valid if celebrated in the forms prescribed by the law of that country.
3. The provisions of sub-article 92) of this Article shall apply notwithstanding that reciprocity is not provided for

49. Personal effects of marriage

The personal effects of marriage shall be governed by

- 1) the law of domicile of the spouses:
- 2) where this is not common to both spouses by the law of the place where the spouses had their last domicile together
- 3) where this place is not common to both spouses the law chosen by the spouses by appearing before the court

4) in its absence the effects common to the laws of both domiciles shall be applied

50. Pecuniary effects of marriages

1. The effects of marriage as regards the property of the spouses is in the absence of a contract specifying the property regime governed by the law of their common domicile
2. When the law is not common to both spouses or when the law does not recognize the marriage as valid, the property regime shall be governed by the law of the place where the spouses had their last common domicile. Where the domicile is not common, it shall be governed by the law chosen by the spouses by appearing before the court. Where no law has been chosen the effects common to the laws of both domiciles shall apply
3. The property regime of immovable shall be governed by the law of the place where the immovable are situated

51. Marriage contract Relative to property

1. The marriage contract relative to property shall be governed by the law expressly or impliedly chosen by the parties.
2. In the absence of such choice or where there is doubt as to the intention of the parties, it shall be governed by the law of the status of the spouses or where such law is not common to both spouses by the law of the place of celebration of the marriage
3. The law which governs the marriage contract relative to property shall also determine whether such contract may be subsequently modified.

52. Permission to marry

Foreigners without a domicile in Ethiopia may be permitted by the competent authority to marry in Ethiopia if the marriage will be recognized in both future spouses countries of domicile or nationality

53. Legal Relationships with Third parties

1. The effects of the property regime on the legal relationship between a spouse and a third party shall be governed by the law of the spouse's domicile at the time when the legal relationship arose.

2. If however, when the legal relationship arose, the third party knew or should have known the law governing the property of the spouses then that law shall apply

54. Divorce and Separation

1. Without prejudice to sub-articles (2) and (3) of Article 21 a divorce or separation may not be ordered in Ethiopia unless the spouses or one of them is an Ethiopian or domiciled in Ethiopia at the time divorce or separation is sought
2. The granting of divorce or separation shall be governed by Ethiopian law
3. The effects of divorce or separation shall be governed mutatis mutandis by Articles 52 and 53 of this proclamation

55. Provisional measures

1. An Ethiopian court before which a laws it for diverse or separation is pending may order provisional measures regarding obligations to supply maintenance, management of the property of the spouses the custody of children and others unless it clearly lacks jurisdiction over the laws it or it has been finally determined that it lacks jurisdiction
2. The provisional measures shall be governed by Ethiopian law

56. Irregular union

The existence and effects of an irregular union shall be governed mutatis mutandis by the provisions of this proclamation relating to marriage.

Section III Filiations

Sub-section I general Provisions

57. Existence and Effects

The existence and effects of filiations from a lawful wedlock shall be governed by the law governing the personal effects of marriage at the time of the birth of the child, and if the child is born after the dissolution of the marriage by the law governing the effects of the marriage immediately before dissolution.

58. Filiations outside wedlock

1. the ascertainment of paternity or maternity in respect of a child born outside wedlock shall be governed by the law of domicile of the guardian of the child

2. The question whether a declaration of paternity or maternity may be made in the case of a child born from a father or mother who was lawfully married at the time of conception or birth shall be determined in accordance with the law governing the personal effects of such marriage at the time of the conception or birth of the child.

59. Mutual Rights and Obligations Between parents and child born out of wedlock

The mutual rights and obligations between the father and the child born out of wedlock and between the father and the mother of the child born out of wedlock shall be governed by the law which governed the status of the mother and the child at the time of the birth of the child.

Sub section 2 acknowledgement

60. Applicable Law

The provisions of Article 57 shall apply *mutatis mutandis* to the question of the substantive validity of an acknowledgement of paternity of a child born out of wedlock and to the question whether such admission may validly be made in respect of a child born out of wedlock when one of the parents was lawfully married

Sub-section 3 Adoption

61. Substantive Requirements

1. The substantive requirements for adoption shall be those required by the personal law governing the status of each of the parties
2. If it is parent that an adoption would not be recognized in the country of the adopter's or adopting spouses domicile or nationally and this would result in serious detriment to the child then the authority shall also take into account the prerequisites of the law of that country if even then recognition does not appear secured the adoption may not be granted

62. Foreign Adoption

An adoption made in a foreign country shall be valid in Ethiopia if it was made in accordance with the substantive and formal requirements of the law of:

- 1) the country of which both parties are citizens or

- 2) the country where both parties had their domicile or
- 3) the country of which one party is a national and in which the other party had his domicile

Section IV Guardianship and other protective measures

63. Applicable Law

Ethiopian law shall govern the guardianship and all other protective measures for the protection of incapable persons whose status and capacity are governed by Ethiopian law

64. Foreign Guardianship

The organization of guardianship or of any other protective measure taken in a foreign country for the protection of an incapable person whose status and capacity are governed by Ethiopian law shall be valid until the guardianship becomes organized in Ethiopia.

Section V. Succession

65. Succession of Immovable

The succession whether testate or intestate of immovable property shall be governed by the law of the place where the property is situated

66. Succession of Movable

The succession, whether testate or intestate of movable property shall be governed by the personal law of the deceased at the time of his death.

67. Gratuities mortis casual and construction of wills

The substantive validity of testamentary provisions and other provisions mortis caused and the construction of the intention of the testator or person making the provision shall be governed by the personal law of the deceased at the time of his death

Section VI. Possession and Ownership

68. Corporal property

Possession ownership and any rights in rem relating to corporeal property shall be governed by the law of the place where the property is situated

69. Goods in Transit

Possession and ownership and any other rights in rem relating to goods in transit shall be governed by the law of the country of destination.

70. Pledge of Claims, Securities and other Rights

1. The pledge of claims securities and other rights shall be governed by the law chosen by the parties. The choice of law may not be invoked against third parties
2. If not choice of law has been made the pledge of claims securities and other rights shall be governed by the law significantly connected thereto.
3. Against the debtor only the law governing the debt guaranteed may be invoked

71. Intellectual property

Rights in intellectual property shall be governed by the law of the country in which those rights were created provided however that the court may apply Ethiopian law when the defendant is an Ethiopian or it is in the interest of Ethiopia to do so.

Section VII. Obligation

72. Choice of Applicable law

1. Where a counteract involves a foreign element as laid down in article 5 the parties may choose the law governing the substance of the contract, that is the law of nationality, the law of domicile, the law of the place where the transaction was made the law of the place where the subject matter is situated the law of the place where the transaction is to be performed or the law of the place which is reasonably connected to the matter
2. The choice of law shall be explicit or clearly evident from the agreement or from the circumstances

73. Applicable law in Default of Choice

Where the parties have not clearly expressed their intention contracts shall be governed by the law of the place with which the contract is significantly connected

74. Contracts Relating to Immovable

1. Contracts relating to immovable property shall be as regards their substance governed by the law of the place where the property is situated
2. Any provision to the contrary shall be of no effect
3. Ethiopian law shall determine whether such property is to be regarded as movable or immovable

75. Contracts with Consumers

1. Contracts for goods and services which are for the current personal or family consumption or use of a consumer and which are not connected with the professional or business activity of the consumer shall be governed by the law of the country in which the consumer has his domicile.
 - a) if the supplier received the order in that country
 - b) if an offer or advertisement in that country preceded the making of the contract and the consumer in that country performed the legal actions required to make the contract or
 - c) if the supplier prompted the consumer to go abroad and make his order there
2. Any provisions to the contrary shall be of no effect.

76. Employment contracts

1. An employment contract shall be governed by the law of the country where the employee habitually performs his work.
2. If the employee habitually performs his work in more than one country, the employment contract shall be governed by the law of the country in which the employer has its seat of business or if there is none of the employer's domicile or residence.
3. The parties may subject the employment contract to the law of the country of the employee's domicile or of the employer's seat of business domicile or residence

77. Contracts on Intellectual Property

1. Without prejudice to the relevant provisions of Ethiopian law contracts on rights in intellectual property shall be governed by the law of the country where the transferor or licensor has his residence
2. The parties may choose the law governing the contract

3. Contracts between employers and employees on rights in intellectual property created within the scope of employment shall be subject to the law governing the employment contract.

78. Gratuities inter vivo

Gratuities inter vivos are governed, as regards their substance by the personal law of the donor.

79. Form

1. A contract shall be valid as to its form if it conforms to the law governing the contract or to the law of the place where it is concluded or performed
2. If at the time of conclusion of the contract the parties are in different countries it shall be sufficient for it to conform to the law of one of these countries
3. If for the protection of a party the law governing the contract prescribes the fulfillment of a form the form shall be governed by that law unless it permits the application of a different law.

80. Agency

1. The provisions of Articles 72 and 73 of this proclamation shall apply to the relationship between principal and agent
2. The conditions under which an act of an agent binds the principal to a third party shall be governed by the law of the country expressly designated by the principal and the third party or if none is designated by the law of the country in which the agent acted, if the principal or the third party has his domicile or residence in that country. If not, the law of the country which is significantly connected to the case shall be applicable
3. The law made applicable by sub article 2 of this Article shall also apply to the relationship between an unauthorized agent and a third party.

81. Applicable law

Extra-contractual liability is governed by the law of the place which is significantly connected to the case

In determining significant connection the places where

- 1) the act which is the cause of the harm occurred
- 2) the harm resulting from the act occurred:
- 3) The parties are domiciled
- 4) there is a question of enterprise liability where the enterprise is carried on
- 5) the relationships is centered if the existence of liability depends upon a relationship shall be considered

82. Other obligations

1. Other extra-contractual obligations, and in particular those deriving from unlawful enrichment, unauthorized agency and the payment of that which was not due, shall be governed by the law which governs the existing or alleged legal relationship from which the obligations result.
2. In the absence of such legal relationship the obligations shall be governed by the law of the place in which they occurred.

Chapter V. Recognition and Enforcement of Foreign judgments

83. Principle

1. Foreign judgments may not be recognized and conformed in Ethiopia except in accordance with;
 - a) international agreements ratified by Ethiopia
 - b) The provisions of this proclamation
2. No foreign judgment shall be recognized and enforced in Ethiopia unless a written application to this effect is made by the interested party.
3. An application under sub article (2) shall be made to the division of the federal High court where recognition or enforcement is to take place.

84. Conditions for Granting Recognition and Enforcement

1. A foreign judgment shall be recognized and enforced in Ethiopia where
 - a) the judgment was given by a court duly established
 - b) jurisdiction lay with the court of the country in which the judgment was rendered;
2. The establishment and constitution or the jurisdiction of the court under sub-article (1) (b) and (c) of this Article respectively shall be ascertained by the laws of the

country in which the judgment was rendered provided the application of this sub article shall not affect the provision of this proclamation relating to jurisdiction and recognized principles of international law.

3. The burden of proving the situations specified under sub articles 1(a) and (b) of this Article shall be on the judgment creditor

85. Grounds for Non recognition and non enforcement

1. A foreign judgment shall not be recognized and enforced in Ethiopia if its recognition or enforcement would be clearly incompatible with Ethiopian public policy or morals
2. A foreign judgment shall also not be recognized or enforced if the judgment debtor proves that:

- a) the judgment was rendered in violation of fundamental principles of procedure especially the party was denied the opportunity to appear and present his defence
- b) a lawsuit between the same parties concerning the same cause of action was first provided that the prerequisites for the recognition or enforcement of that judgment are met.
- c) The judgment enforces obligations arising from the taxation criminal or other public laws of a foreign country However, the enforcement of civil aspects of criminal judgments shall not be regarded as the enforcement of public law of a foreign country

86. Form of Application and Procedure

1. An application for recognition or enforcement shall be in writing and shall be accompanied by:
 - a) a complete and certified copy of the judgment to be executed and an official translation into Amharic of same;
 - b) a certificate signed by the president or the registrar of the court having given judgment to the effect that such judgment is final and enforceable
 - c) an authentication of the judgment by the Ethiopian consulate in the country in which the judgment was given

2. The court to which the applications are made shall enable the party against whom the judgment is to be conformed to present his observations within such time as is shall fix.
3. The court shall decide whether pleadings and evidence may be submitted
4. In cases of doubt the court may suspend its decision until all doubtful points have been clarified
5. If a foreign judgment is invoked on a preliminary point the court sized may itself decided on recognition if it has jurisdiction if not it shall direct the case to another court which has jurisdiction

87. Decision

1. The decision shall be made on the basis of the applications unless the court for some special reason to be recorded decides to hear the parties at a hearing which it shall fix
2. In any case the court shall not conduct a retrial of the foreign judgment sought to be recognized or enforced
3. The court shall at the same time decide on costs
4. Where the application is allowed and permission for recognition or enforcement is granted, the foreign judgment shall be recognized or enforced in Ethiopia as though it had been given by an Ethiopian courts

88. Recognition and Enforcement of Foreign Awards

1. Foreign arbitral awards may not be recognized and enforced in Ethiopia unless
 - a) the award has been made following a regular arbitration agreement or other legal act in the country where it was made
 - b) the parties have had equal rights in appointing the provisions of Ethiopian laws could not be submitted to arbitration or is not contrary to public order or morals; and
 - c) the arbitration tribunal was regularly constituted
 - d) the award does not relate to matters which under the provisions of Ethiopian law could not be submitted to arbitration or is not contrary to public order or morals; and
 - e) the award is of such nature as to be recognizable or enforceable on the condition laid down in Ethiopian laws.

2. The provisions of the preceding Articles shall apply by analogy when the recognition or enforcement of a foreign award is sought.

Chapter VI. Status of Formalities procedure and evidence

89. Forms of Legal Instruments

Unless otherwise provided and legal instrument shall be valid in form where it has been in the form prescribed by:

1. the law of the place where it was made or
2. the law governing the matter to which the instrument applies or
3. the personal law of the parties to the instrument when such law is common to the parties

90. Procedure

Procedural formalities shall be governed by the law of the place where the proceedings are instituted or pending

91. Evidence

1. Evidence shall be governed by the law applicable to the merits of the dispute:
2. However, where the proceedings are instituted or pending in Ethiopia Ethiopian rules of evidence shall be applied provided that they are practicable and more favorable to the establishment of the evidence
3. Ethiopian rules of evidence shall apply provided that they do not affect the merits of the dispute

92. Prescription

Prescription shall be governed by the law applicable to the merits of the dispute

93. Arbitration

Arbitration proceedings shall be governed by the law of the country where arbitration takes place unless either the law of another country or an institutional or special arbitration procedure has been designated by the parties

94. Publicity

Measures of publicity relating to the creation transfer or extinction of rights of a proprietary nature shall be governed by the law of the place where the property is actually or fictitiously situated.

Chapter VII. Final Provisions

95. Repealed and Inapplicable laws

1. The provisions of the Civil Procedure Code of 1965 (Articles 8(2) 456-461) on pendency and the execution of foreign judgments are hereby repealed
2. All rules or practices previously in use concerning matters provided for herein shall be repealed and replaced by this proclamation.

96. Transitory Provisions

1. Lawsuits and motions that were rejected by Ethiopian courts for lack of jurisdiction before the entry into force of this proclamation may be brought again after the entry into force of this proclamation if pursuant to this proclamation they henceforth have jurisdiction and the claim can still be asserted.
2. For lawsuits and motions that are pending at the time this proclamation enters into force the applicable law shall be determined according to this proclamation
3. For motions for recognition or enforcement of foreign decisions that are pending at the time this proclamation enters into force the conditions for recognition and enforcement shall be governed by this proclamation

97. Effective Date

This proclamation shall enter into force on the date of its publication in the Federal Negarit
Guazetta

Done at Addis Ababa this day of200.....

Girma Wolde Giorgis

President of the Federal
Democratic

Republic of Ethiopia

List of References

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- ROBERT ALLEN SEDLER, *The Conflict of Laws in Ethiopia*, (1965, Haile Selasie I University in association with Oxford University Press)
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- L.Collins (ed), *Dicey and Morris on Conflict of Laws* (1993)